

6. INFORMATION ON OUR GROUP

6.1 OUR COMPANY

Our Company was incorporated in Malaysia under the Act on 13 March 2019 as a private limited company under the name Pioneer Heat Holdings Sdn Bhd. We converted to a public limited company on 23 October 2025 to facilitate the Listing.

Our Company was incorporated as an investment holding company. Through our subsidiaries, our Group is principally involved in the (1) provision of mechanical engineering services and (2) civil engineering projects to construct industrial and ancillary facilities.

As at the date of this Prospectus, our issued share capital is RM200,000.00 comprising 260,200,000 Shares. The movements in our issued share capital since our date of incorporation are set out below:

Date of allotment	No. of Shares allotted	Consideration / Nature of transaction	Cumulative issued share capital	
			RM	No. of Shares
13 March 2019	100	RM100.00 / Cash	100.00	100
1 June 2022	900	RM900.00 / Cash	1,000.00	1,000
22 November 2024	199,000	RM199,000.00 / Otherwise than cash ⁽¹⁾	200,000.00	200,000
26 August 2025	260,000,000	Nil / Otherwise than cash ⁽²⁾	200,000.00	260,200,000

Notes:

(1) Via capitalisation of retained earnings and amount due to shareholders; and

(2) Via bonus issue of Shares.

There were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment. As at the LPD, we do not have any outstanding warrants, options, convertible securities or uncalled capital.

Upon completion of our Listing, our enlarged share capital will increase from RM200,000.00 comprising 260,200,000 Shares to RM21,875,000.00 comprising 346,900,000 Shares.

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6. INFORMATION ON OUR GROUP (CONT'D)

6.2 OUR GROUP STRUCTURE

6.2.1 Pre-IPO changes

(i) Capitalisation

On 22 November 2024, our Company capitalised retained earnings of RM50,000.00 and the amount owing to the shareholders of RM149,000.00 via the issuance of 199,000 Shares at an issue price of RM1.00 per Share as set out below:

Shareholders	Advances capitalised	Retained earnings capitalised	No. of new Shares issued
	RM	RM	
Wong Hing Chong	43,806.00	14,700.00	58,506
Wong Hing Kok	43,806.00	14,700.00	58,506
Wong Heng Chong	28,906.00	9,700.00	38,606
Ken	14,006.00	4,700.00	18,706
William	14,006.00	4,700.00	18,706
Goh Siew Lin	4,470.00	1,500.00	5,970
Total	149,000.00	50,000.00	199,000

The Capitalisation was completed on 22 November 2024 and the issued share capital of our Company increased from RM1,000.00 comprising 1,000 Shares to RM200,000.00 comprising 200,000 Shares.

The shareholding structure of our Company before and after the Capitalisation is as follows:

	Before the Capitalisation		After the Capitalisation	
	No. of Shares	%	No. of Shares	%
Wong Hing Chong	294	29.4	58,800	29.4
Wong Hing Kok	294	29.4	58,800	29.4
Wong Heng Chong	194	19.4	38,800	19.4
Ken	94	9.4	18,800	9.4
William	94	9.4	18,800	9.4
Goh Siew Lin	30	3.0	6,000	3.0
	1,000	100.0	200,000	100.0

(ii) Pre-IPO changes in PHCDSB

Prior to the pre-IPO changes in PHCDSB, the shareholders of PHCDSB were as follows:

Shareholders	No. of shares	%
Pioneer	187,500	75.0
Ng Chin Kiat ("NCK") ⁽¹⁾	62,500	25.0
	250,000	100.0

Note:

⁽¹⁾ Ng Chin Kiat was previously the director of PHCDSB up to his resignation on 31 March 2025. He is not related to the Promoters or substantial shareholders of our Group.

On 31 March 2025, our Company entered into a share sale agreement with NCK whereby our Company acquired 25.0% equity interest in PHCDSB from NCK at a total cash consideration of RM254,564.00, being 25.0% of the audited net assets of PHCDSB of RM1,018,256.00 as at 31 March 2024. The pre-IPO changes in PHCDSB were completed on 31 March 2025.

As at the LPD, PHCDSB is a wholly-owned subsidiary of our Company.

6. INFORMATION ON OUR GROUP (CONT'D)**(iii) Bonus issue of Shares**

Upon completion of the Capitalisation, the issued share capital of our Company was RM200,000.00 comprising 200,000 Shares.

On 26 August 2025, our Company completed a bonus issue of 260,000,000 Shares on the basis of 1,300 Shares for every 1 existing Share held ("**Bonus Issue**"). Upon completion of the Bonus Issue, our share capital is RM200,000.00 comprising 260,200,000 Shares.

The shareholding structure of our Company before and after the Bonus Issue is as follows:

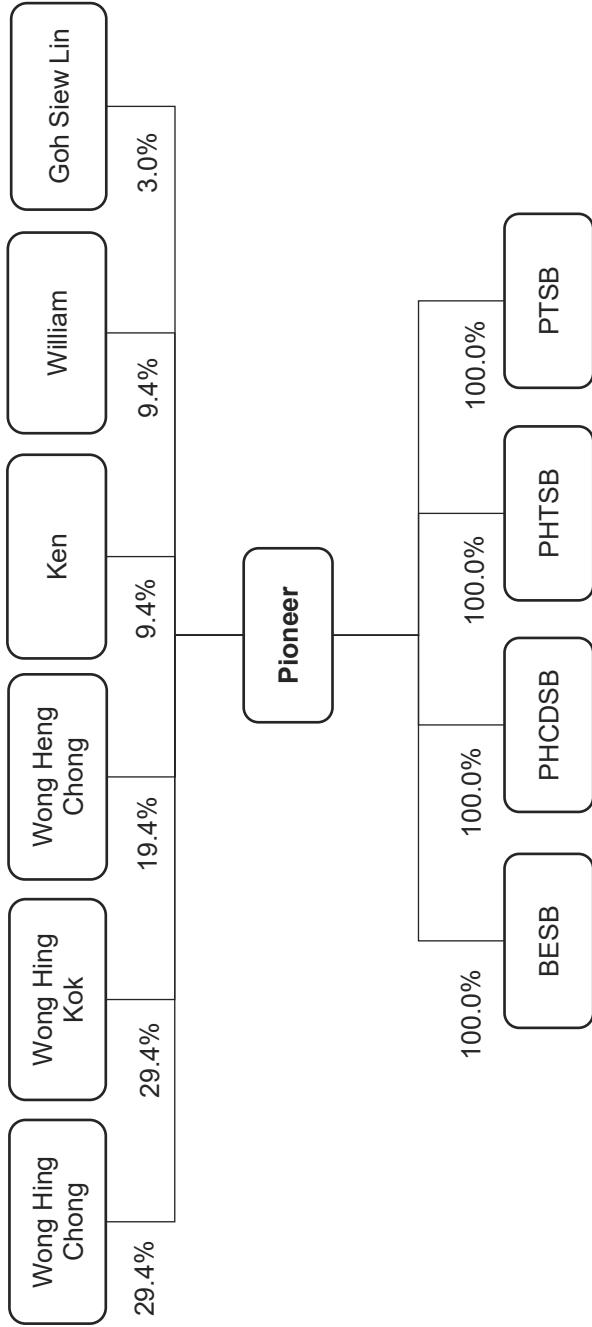
	Before the Bonus Issue		After the Bonus Issue	
	No. of Shares	%	No. of Shares	%
Wong Hing Chong	58,800	29.4	76,498,800	29.4
Wong Hing Kok	58,800	29.4	76,498,800	29.4
Wong Heng Chong	38,800	19.4	50,478,800	19.4
Ken	18,800	9.4	24,458,800	9.4
William	18,800	9.4	24,458,800	9.4
Goh Siew Lin	6,000	3.0	7,806,000	3.0
	200,000	100.0	260,200,000	100.0

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6. INFORMATION ON OUR GROUP (CONT'D)

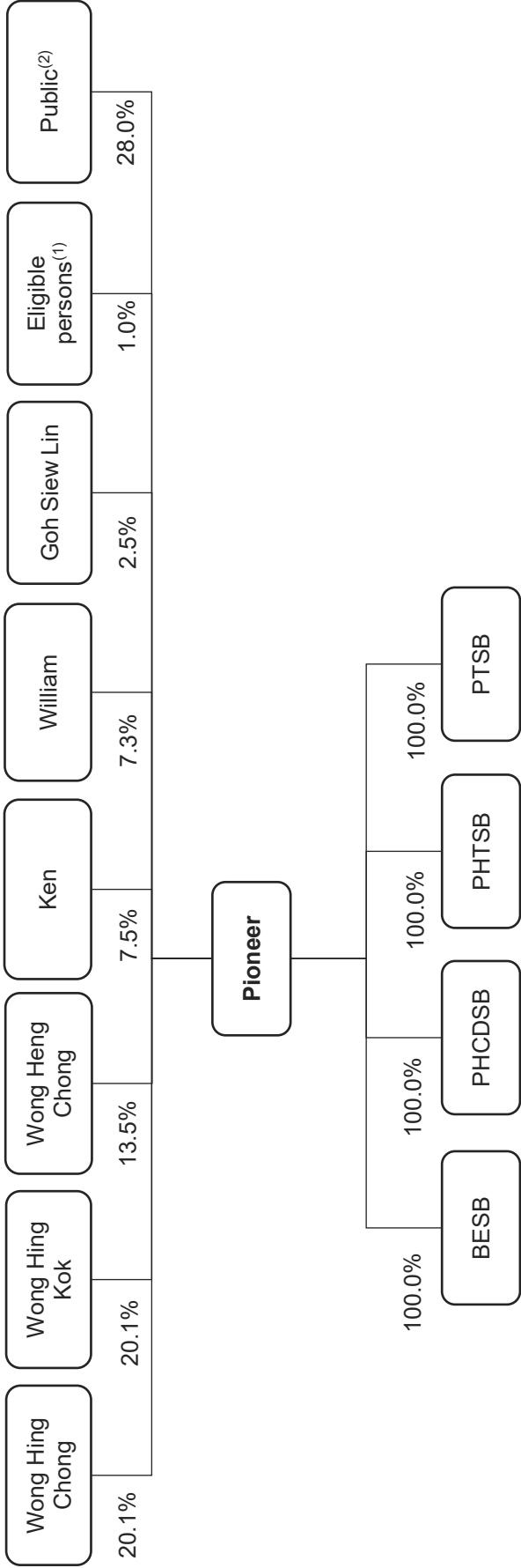
6.2.2 Our Group structure

(i) An overview of our Group structure before the Listing is as follows:



6. INFORMATION ON OUR GROUP (CONT'D)

(ii) Our Group structure upon the Listing is set out below:



Notes:

- (1) Comprising Pink Form Allocations to our eligible Directors and eligible employees, who are also family members of our Directors and are not deemed as public shareholders.

(2) Comprising the Malaysian Public, selected investors and Pink Form Allocations to our eligible employees (other than eligible employees set out in Note (1) above) as well as persons who have contributed to the success of our Group. These shareholders are deemed as public shareholders.

6. INFORMATION ON OUR GROUP (CONT'D)

6.3 OUR SUBSIDIARIES

The details of our subsidiaries are set out below:

Company	Registration No.	Date / Place of incorporation	Principal place of business	Effective equity interest (%)	Principal Activities
BESB	201501008603 (1133938-W)	5 March 2015 / Malaysia	Malaysia	100.0	Provision of mechanical engineering services comprising piping system engineering
PHCDSB	202201015014 (1460711-T)	26 April 2022 / Malaysia	Malaysia	100.0	Management and construction of civil engineering projects
PHTSB	199701028995 (444494-M)	23 August 1997 / Malaysia	Malaysia	100.0	Provision of mechanical engineering services comprising heat treatment, flange management and non-destructive test services
PTSB	201501006598 (1131930-T)	16 February 2015 / Malaysia	Malaysia	100.0	Provision of mechanical engineering services comprising heat treatment, flange management and non-destructive test services

6. INFORMATION ON OUR GROUP (CONT'D)**6.3.1 BESB****(i) Share capital**

As at the LPD, the issued share capital of BESB is RM1,000,000.00 comprising 1,000,000 ordinary shares. Details of the movement in the issued share capital of BESB since incorporation up to the LPD are as follows:

Date of allotment	No. of shares allotted	Consideration / Nature of transaction	Cumulative issued share capital	
			RM	No. of shares
5 March 2015	2	RM2.00 / Cash	2.00	2
15 March 2016	349,998	RM349,998.00 / Cash	350,000.00	350,000
29 July 2019	650,000	RM650,000.00 / Cash	1,000,000.00	1,000,000

There were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment. As at the LPD, BESB does not have any outstanding warrants, options, convertible securities or uncalled capital.

(ii) Shareholders and directors

As at the LPD, BESB is our wholly-owned subsidiary.

As at the LPD, the directors of BESB are Wong Hing Chong, Wong Hing Kok, Ken, William and Goh Siew Lin.

(iii) Subsidiary and associated company

As at the LPD, BESB does not have any subsidiary and/or associated company.

6.3.2 PHCDSB**(i) Share capital**

As at the LPD, the issued share capital of PHCDSB is RM750,000.00 comprising 750,000 ordinary shares. Details of the movement in the issued share capital of PHCDSB since incorporation up to the LPD are as follows:

Date of allotment	No. of shares allotted	Consideration / Nature of transaction	Cumulative issued share capital	
			RM	No. of shares
26 April 2022	100	RM100.00 / Cash	100.00	100
22 August 2023	249,900	RM249,900.00 / Cash	250,000.00	250,000
18 July 2025	500,000	RM500,000.00 / Otherwise than cash ⁽¹⁾	750,000.00	750,000

6. INFORMATION ON OUR GROUP (CONT'D)**Note:**

(1) Via the capitalisation of dividends payable amounting to RM500,000.00.

There were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment. As at the LPD, PHCDSB does not have any outstanding warrants, options, convertible securities or uncalled capital.

(ii) Shareholders and directors

As at the LPD, PHCDSB is our wholly-owned subsidiary.

As at the LPD, the directors of PHCDSB are Ken and William.

(iii) Subsidiary and associated company

As at the LPD, PHCDSB does not have any subsidiary and/or associated company.

6.3.3 PHTSB**(i) Share capital**

As at the LPD, the issued share capital of PHTSB is RM300,000.00 comprising 300,000 ordinary shares. Details of the movement in the issued share capital of PHTSB since incorporation up to the LPD are as follows:

Date of allotment	No. of shares allotted	Consideration / Nature of transaction	Cumulative issued share capital	
			RM	No. of shares
23 August 1997	3	RM3.00 / Cash	3.00	3
27 October 1998	75,000	RM75,000.00 / Cash	75,003.00	75,003
14 December 2000	200,000	RM200,000.00 / Otherwise than cash ⁽¹⁾	275,003.00	275,003
21 September 2005	24,997	RM24,997.00 / Cash	300,000.00	300,000

Note:

(1) Via bonus issue of shares.

There were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment. As at the LPD, PHTSB does not have any outstanding warrants, options, convertible securities or uncalled capital.

(ii) Shareholders and directors

As at the LPD, PHTSB is our wholly-owned subsidiary.

As at the LPD, the directors of PHTSB are Wong Hing Chong, Wong Hing Kok, Ken, William and Wong Wei Yong (son of Wong Hing Chong, brother of Ken and cousin of William).

6. INFORMATION ON OUR GROUP (CONT'D)**(iii) Subsidiary and associated company**

As at the LPD, PHTSB does not have any subsidiary and/or associated company.

6.3.4 PTSB**(i) Share capital**

As at the LPD, the issued share capital of PTSB is RM350,100.00 comprising 350,100 ordinary shares. Details of the movement in the issued share capital of PTSB since incorporation up to the LPD are as follows:

Date of allotment	No. of shares allotted	Consideration / Nature of transaction	Cumulative issued share capital	
			RM	No. of shares
16 February 2015	100	RM100.00 / Cash	100.00	100
25 May 2016	350,000	RM350,000.00 / Cash	350,100.00	350,100

There were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment. As at the LPD, PTSB does not have any outstanding warrants, options, convertible securities or uncalled capital.

(ii) Shareholders and directors

As at the LPD, PTSB is our wholly-owned subsidiary.

As at the LPD, the directors of PTSB are Ken, William, Goh Siew Lin, Wong Wei Yong (son of Wong Hing Chong, brother of Ken and cousin of William) and Wong Wei Nanx (nephew of Wong Hing Chong, Wong Hing Kok and Wong Heng Chong as well as cousin of Ken and William).

(iii) Subsidiary and associated company

As at the LPD, PTSB does not have any subsidiary and/or associated company.

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7. BUSINESS OVERVIEW

7.1 OUR INCORPORATION, HISTORY AND MILESTONES

The history of our Group can be traced back to 1997 with the incorporation of PHTSB by Wong Hing Chong (i.e. our co-founder and Ken's (our Chief Executive Officer and Executive Director) father), Wong Hing Kok (i.e. our co-founder and William's (our Executive Director) father) and Wong Heng Chong (i.e. our co-founder and Ken's and William's uncle), which focused on the provision of pre-heating and post-weld heat treatment services as well as hardness test services (a type of NDT service) at project sites, primarily for oil and gas refineries, petrochemical complexes and power plants in Malaysia. We commenced operations from a rented shoplot in Bahau, Negeri Sembilan.

Our business grew and we gradually expanded our service offerings and operations with the incorporation of BESB (i.e. by Goh Siew Lin, our Chief Operating Officer and a non-related party) on 5 March 2015. The core expertise of BESB is in the provision of mechanical engineering services, comprising piping system engineering. The table below sets out the key events and milestones of our history and the development of our business since 2016:

Year	Key events and milestones
2016	- We expanded our service offering to include a broader range of mechanical engineering services where we secured our first project to provide piping system engineering services, for a liquefied natural gas project in March 2016. This marks the beginning of our expansion beyond our initial service in the provision of pre-heating, post-weld heat treatment and hardness test services. - As our business grew, we relocated to a rented double-storey shoplot in Seremban, Negeri Sembilan. We occupied the first floor unit of the shoplot to carry out our administrative functions.
2018	In August 2018, we further expanded our mechanical engineering offerings when we secured our first project to provide flange management services, for an oil and gas project.
2022	- In June 2022, we secured an oil and gas project in which our initial scope of works comprised piping system engineering works. During the tenure of the project, our scope of works expanded to include the supply of subcontractors to construct industrial and ancillary facilities, in which our role focused on project management. This marks the expansion of our service offerings to take on civil engineering projects to construct industrial and ancillary facilities. - In August 2022, we secured our first standalone civil engineering project to construct the Syariah Subordinate Court in Papar District, Sabah.
2024	<u>Expansion of service offerings:</u> - In January 2024, we secured our first overseas project in Batam, Indonesia to provide post-weld heat treatment services, for an oil and gas project. - In May 2024, we secured our first project to provide installation of mechanical units, for a petrochemical project. This is an expansion of offering under our piping system engineering services. - In August 2024, we secured our first project to provide electrical and instrumentation services, for a petrochemicals project. This is an expansion of offering under our piping system engineering services. - In September 2024, we secured a contract to begin offering a wider range of NDT services, namely industrial radiograph testing, phased array ultrasonic testing, ultrasonic thickness gauging and time of flight diffraction, for a gas power generation project. This marks the start of expanding our range of NDT services offered to meet diverse customer needs. As at the LPD, we provide 13 types of NDT services.

7. BUSINESS OVERVIEW (CONT'D)

Expansion of operations:

- We have, since 2014, been offering pre-heating services, post-weld heat treatment services, and hardness test services for projects in Bintulu, Sarawak. As we continue to secure more projects in Bintulu, Sarawak, we purchased more machinery and equipment to support the increase in scale of our services. Hence, in April 2024, we rented a 2-storey semi-detached light industrial building in Bintulu, Sarawak ("**Bintulu warehouse**") which has a built-up area of approximately 2,123 sq ft, occupying a land area of approximately 6,198 sq ft.

Our Bintulu warehouse is used to carry out in-house maintenance of machinery and equipment, as well as to store materials, machinery and equipment, and tools and consumables. Our Bintulu warehouse is primarily used to cater to projects in East Malaysia.

- Then, in November 2024, we acquired a single-storey cluster factory with 2-storey office in Pasir Gudang, Johor ("**Pasir Gudang warehouse**"), which has a built-up area of approximately 5,185 sq ft, occupying a land area of approximately 7,276 sq ft.

Our Pasir Gudang warehouse is used to carry out in-house maintenance of machinery and equipment, as well as to store materials, machinery and equipment, and tools and consumables. It also consists of a dark room for the interpretation of results for industrial radiograph testing. Our Pasir Gudang warehouse is primarily used to cater to projects in the Southern region.

- 2025
- In August 2025, we rented a 2-storey end lot shop office in Labu, Negeri Sembilan which has a built-up area of approximately 4,348 sq ft ("**Seremban headquarters**"). Following that, we relocated our operations from the previous shop office in Seremban to our Seremban headquarters, which remains as our headquarters up until to-date.

- In the 3rd quarter of 2025, we commenced the land clearance and earthworks for our New Sendayan HQ on a piece of land measuring approximately 107,155 sq ft in Sendayan, Negeri Sembilan, which our Group acquired in September 2019.

- 2026
- In April 2026, our subsidiary, BESB, was awarded a Vendor Registration Certificate with 6 PETROS License and Work Category ("**PLWC**") codes by Petroleum Sarawak Berhad, for a validity period of 3 years (i.e. 24 April 2026 to 23 April 2029). With that, our Group is allowed to participate in quotation and tender offers by Petroleum Sarawak Berhad and its related corporations under the respective scope of the 6 PLWC codes, via BESB.

- In June 2026, our subsidiary, PHTSB, was awarded a Vendor Registration Certificate with 4 PLWC codes by Petroleum Sarawak Berhad, for a validity period of 3 years (i.e. 15 June 2026 to 14 June 2029). With that, our Group is allowed to participate in quotation and tender offers by Petroleum Sarawak Berhad and its related corporations under the respective scope of the 4 PLWC codes, via PHTSB.

Please refer to Section 7.21(viii) and (ix) of this Prospectus for further details of the Vendor Registration Certificates awarded to BESB and PHTSB respectively.

- We commenced building works for our New Sendayan HQ in the 2nd quarter of 2026. Please refer to Section 7.7.1 for further details on the construction of our New Sendayan HQ.

7. BUSINESS OVERVIEW (CONT'D)

7.2 PRINCIPAL BUSINESS ACTIVITIES

We are a mechanical engineering service provider, with core expertise in piping system engineering and related specialised services such as heat treatment services, flange management and NDT services. Our mechanical engineering services primarily serves the oil and gas, petrochemical, utility and manufacturing industries.

We are also involved in civil engineering projects to construct industrial and ancillary facilities. We are involved in the implementation of construction projects, which includes daily project management of all the construction works required for timely completion of the projects. We engage subcontractors to execute the construction works for all our civil engineering projects to construct industrial and ancillary facilities. Depending on the scope of work, we may supply machinery for earthworks or provide installation of fencing and internal partition.

Our business activities can be summarised as follows:

Principal business	Mechanical engineering services (a) Piping system engineering (b) Specialised services • Heat treatment services • Flange management • NDT services	Civil engineering projects • Construction of industrial and ancillary facilities • Focus on project management
Customers	• Contractors (Main contractors and subcontractors) • Industrial end-users (plant owner/operators)	• Contractors (Main contractors and subcontractors)
End industries served	• Oil and gas • Petrochemical • Utility • Manufacturing	• Public utilities • Oil and gas

The details of our principal activities and services offerings are as set out below:

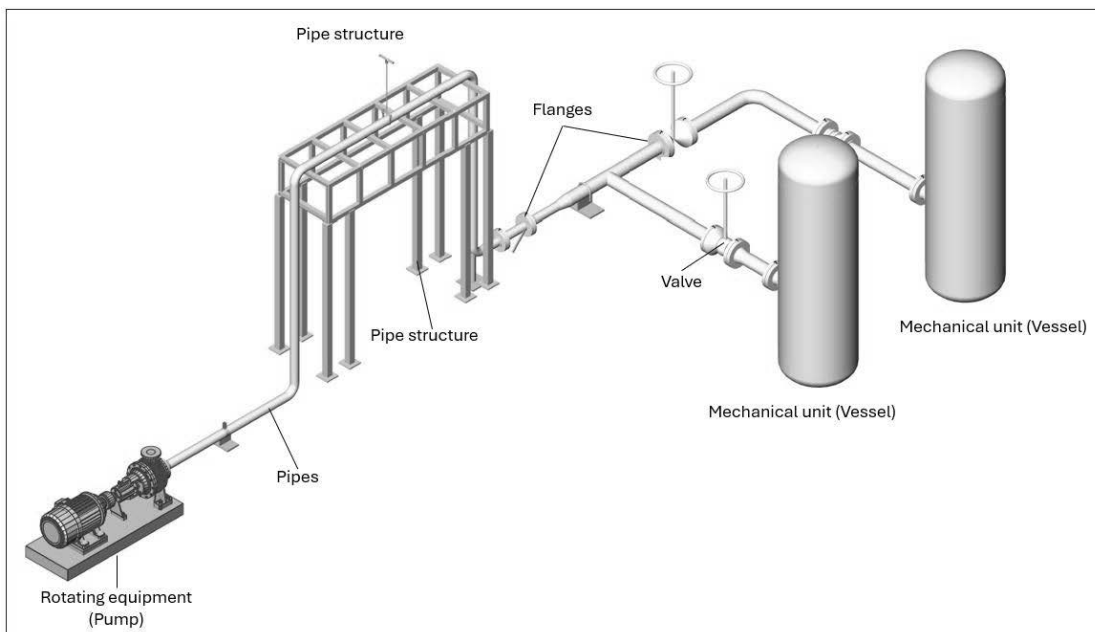
7.2.1 Provision of mechanical engineering services

We provide mechanical engineering services with core expertise in piping system engineering and related specialised services, encompassing engineering, procurement, fabrication, installation, commissioning and/or, repair and maintenance works.

Piping systems play a crucial role in industrial plants to transport fluid (e.g. liquid, gases and slurries), connect mechanical units and rotating equipment within the plant for seamless integration across network of systems in the plant. A piping system is made up of pipe spools (comprised of pipes, fittings, flanges, gaskets, valves, strainers, and bolts and nuts) and pipe structures (e.g. supports and hangers) assembled into a complete network. A robust and efficient piping system is critical for continuous, safe and optimised plant operations, especially in industrial environment where piping systems are often used to transport materials under high pressure and extreme temperatures across various stages of production, processing and distribution. In addition to piping systems, an industrial plant is also made up of several other key components, namely mechanical units (e.g. process columns, pressure vessels, heat exchangers, refiner tanks and storage tanks), rotating equipment (e.g. pumps, compressor, electric motors and blowers), and electrical and instrumentations (e.g. switchgears, switchboard, uninterruptible power supply, gauges, analysers, flow meter and transmitters).

7. BUSINESS OVERVIEW (CONT'D)

An illustration of piping systems and mechanical units is as shown below:



7.2.1.1 Piping system engineering

Our scope of work for piping system engineering can be one or combination of a few services below, depending on our customer's project requirements:

- **Engineering** – we have in-house engineering capability to develop weld mapping for the piping systems to facilitate the fabrication and installation processes, where our customers (i.e. main contractors, subcontractors or industrial end-users) will typically provide us with the engineering design drawing. The weld mapping that we develop shows details such as cut lengths, weld details, valve and instruments locations, spool identifications, support types and spacing, where necessary.
- **Procurement and sourcing** – we may procure the materials for fabrication of pipe spools and structures, as well as rotating equipment and instrumentations, or these supplies may be supplied by the main contractor. Where mechanical units are required to complete the systems, these are generally procured by the main contractor.

Further, we may be involved in sourcing for subcontractors to carry out certain works required for our projects, in which these subcontractors will also supply the equipment required for the said works that they are carrying out. For example, we source for subcontractors to outsource the installation and commissioning of electrical and instrumentation works (which include equipment such as hand tools, heat gun and hacking machine), as well as blasting and painting works (which include equipment such as air compressor, blasting pot and paint mixer).

- **Fabrication** – we are involved in the fabrication of pipe spools and pipe structures according to the weld mapping. Pipe spool fabrication is the process of creating prefabricated sections of piping systems. Pipe structure fabrication involves cutting, bending and welding works to form piping structures that are used to support the pipes. Our fabrication works are mainly carried out at fabrication sites designated by our customers located in close proximity to the respective project site, or at a designated work area within the respective project site. As and when required, we may also outsource fabrication works (comprising fabrication of pipe spools and pipe structures) to third party subcontractors to speed up the completion of work required. In such scenario, subcontractors will supply manpower to our designated fabrication site or designated work area within the respective project site, to carry out fabrication works using our Group's

7. BUSINESS OVERVIEW (CONT'D)

machinery and equipment. After fabrication, we will perform hydrotesting on the pipe spools to check for leakages before the parts are installed based on project schedules.

When surface finishing works are required, such as blasting and painting works for pipe spools and pipe structures (which include equipment such as air compressor, blasting pot and paint mixer), we will outsource it to third party subcontractors.

Please refer to Section 7.3.1 for information on our fabrication, installation and QAQC processes.

- **Installation** – involves the alignment of prefabricated pipe spools to ensure correct orientation and flow direction, welding works to join the pipe spools together to form the piping system, and alignment of pipe flanges to the corresponding flanges of the rotating equipment and mechanical units to complete the systems. Precise alignment of pipe spools with the plant's routing requirements is critical for optimal performance and safety. For existing plant maintenance, scheduled plant turnaround activities, plant modification or refurbishment projects, we may conduct pipe tie-ins to connect the new pipe spools to existing piping systems.

Minor modification works such as cutting and welding are done on-site, where required. We provide on-site machining including flange facing, tube sheet groove milling, and pipe cold cut and bevelling. We are equipped with specialised portable machining tools to perform work on customers' premises. We also provide minor fabrication works such as threading, drilling, cutting, grinding and welding works, as well as painting works to carry out any repair on-site. Post installation, we will also apply labelling to the pipe spools for documentation and traceability for future maintenance purposes.

In addition, we also provide installation works for piping structures and related services such as cleaning works (i.e. high-pressure cleaning or chemical cleaning) to remove dirt and debris inside and outside of the pipes prior to commissioning.

As piping systems are an integral part of process systems and utility systems in an industrial plant, depending on project requirements, we are also involved in the installation of mechanical units, including welding, erection, levelling, and painting (where required); and the installation of related instruments and rotating equipment, and electrical components. The mechanical units and rotating equipment are connected to the piping systems to form a complete processing or utility system for commissioning.

Connecting pipe to rotating equipment (pump)



- **Commissioning** – the final phase where the system is inspected, tested and verified to ensure it operates safely, efficiently, and according to design specifications before it is handed over for operational use. We are involved in pre-commissioning where we conduct a final inspection and test of the piping system before handover to our customer. We may also support main contractors on the commissioning of the overall process systems or utility systems, as our piping system forms part of the entire system.

During fabrication and installation processes, we also offer specialise services such as heat treatment services, flange management and NDT services. Please refer to Section 7.2.1.2 for further information on our specialised services. These services can be offered as part of our piping system engineering projects or as a standalone service.

7. BUSINESS OVERVIEW (CONT'D)

7.2.1.2 Our specialised services

We offer a comprehensive piping engineering solution which includes specialised services such as heat treatment services, flange management and NDT services. These services are carried out at project site and can be delivered as a standalone service or as a package for piping system engineering projects.

(i) Heat treatment services

We provide heat treatment services which are typically carried out during fabrication and/or installation of piping systems, where welding activities will cause a rise in material temperatures which could potentially affect the mechanical properties of the components involved. Heat treatment is a material treatment process where critical thermal processes are applied to maintain the structural integrity (e.g. increased ductile quality, increased resistance to heat and vibrations, reduced brittleness which results from the rapid heating and cooling of the welding process), performance, and longevity of welded joints (i.e. strengthened joints). We mainly receive PO from our customers and deliver our heat treatment services by project basis.

We offer 2 types of heat treatment services, namely pre-heating and post-weld heat treatment:

- **Pre-heating service** involves raising the temperature of the base metal in the weld area before and during welding. This process reduces thermal shock and the risk of hydrogen-induced cracking, slows the cooling rate after welding which promotes ductile microstructure formation, improves weld penetration and fusion, enhances overall weld quality and reliability, and ultimately reduces the risk of weld defects.

We offer a range of pre-heating methods to meet customer's requirement/ project requirements, including resistance heating (i.e. using electrical heating pads or coils), induction heating (i.e. for uniform and controlled temperature distribution), and open flame or gas torch (i.e. for localised applications, typically in field settings). The type of pre-heating methods to be used is determined by the main contractor.

Illustrations on the setup for pre-heating works are as shown below:



Resistance heating



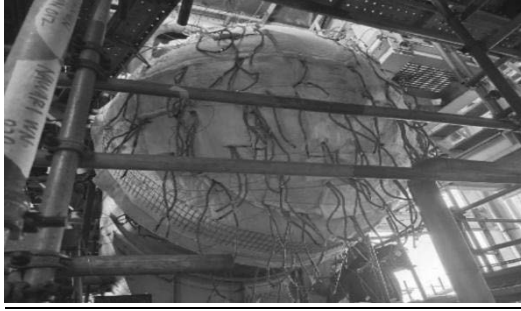
Resistance heating

- **Post-weld heat treatment service** involves a controlled process of reheating the welded area to a specific temperature after welding, then slowly cooling it. This process relieves residual stresses from welding that could lead to distortion or premature failures, restore ductility and toughness at the heat-affected areas, enhances fatigue resistance and overall lifespan of the piping systems and structures, and ensures compliance with applicable codes and customer's specifications.

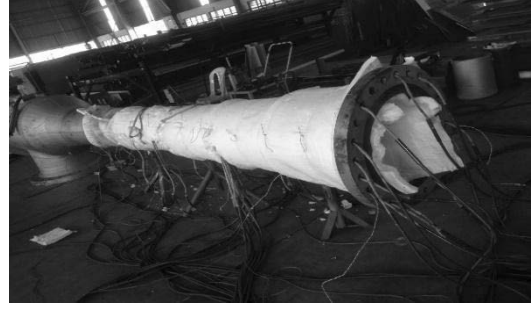
We offer a range of post-weld heat treatment methods subject to customer's requirements, including furnace post-weld heat treatment (i.e. electrical and gas firing mainly for large components), localised electric resistance or induction heating (i.e. for on-site treatment of specific joints), and thermocouple monitoring and data logging (i.e. to ensure temperature accuracy and traceability). The type of post-weld heat treatment methods to be used is determined by the main contractor.

7. BUSINESS OVERVIEW (CONT'D)

Illustrations on the setup for post-weld heat treatment works are as shown below:



Localised electric resistance heating



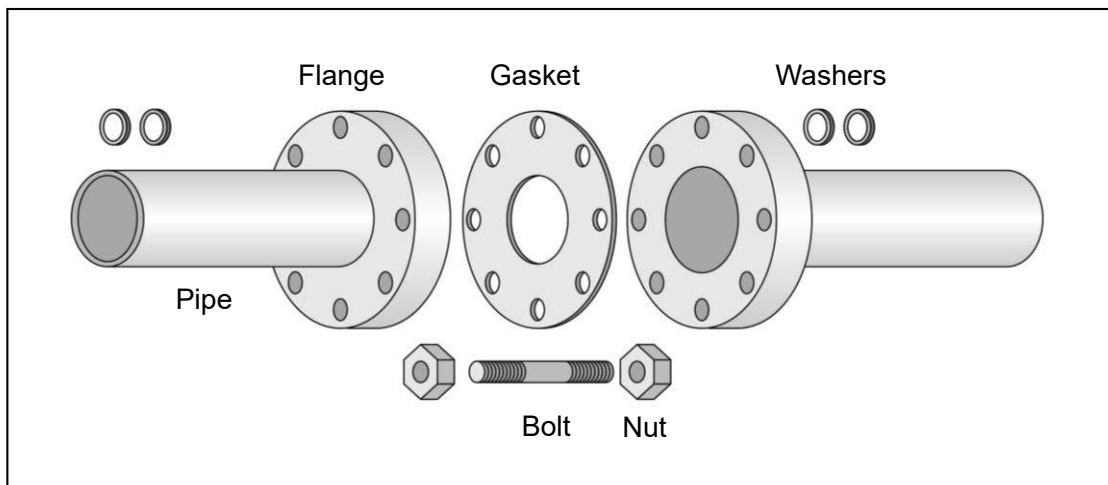
Localised electric resistance heating

At project completion, we will issue a final report which will be approved and signed off by our customer (i.e. main contractor or subcontractor) to confirm the completion of works.

(ii) Flange management

We offer flange management services which aim to provide a secure and leak-tight connection between flanged joints on pipes, rotating equipment and mechanical units, as well as improve structural integrity of the piping systems that operate under high pressure and extreme conditions. Flange management is a form of quality control measure. Timely flange management reduces operational downtime and safety hazards by ensuring compliance with standards, especially in high-risk environments such as refineries, offshore platforms, petrochemical plants and utility plants. Controlled bolting is part of flange management which includes manual torquing, hydraulic bolt torquing and hydraulic bolt tensioning.

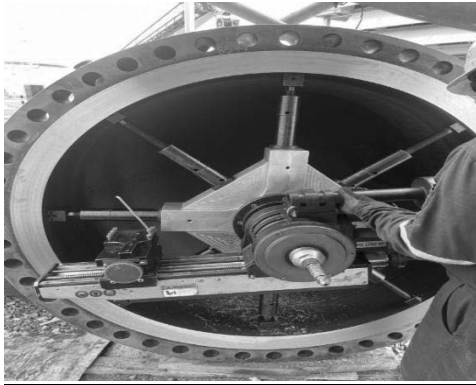
A flange is a mechanical component used to connect pipes, valves, pumps or other rotating equipment in a piping system. Flange creates a sealed joint by being bolted together with a gasket in between to prevent leaks. An illustration on the components of a flange is as shown below:



We receive PO from our customers and deliver our flange management services by project basis. Flange management covers the entire lifecycle of a bolted flange joint in projects (e.g. new built, plant maintenance and plant turnarounds), to ensure all bolts are tightened properly, flanges are inspected, materials are correct, and the process and parts are traceable and documented. It is conducted at installation and commissioning stages.

7. BUSINESS OVERVIEW (CONT'D)

Illustrations of our flange management services are as shown below:



Flange resurfacing



Flange resurfacing



Hydraulic bolt torquing



Hydraulic bolt tensioning

Our flange management services encompass the preparation, assembly, tightening/ controlled bolting, inspection and documentation of bolted flange joints:

- Preparation – involves the development of flange management procedures and flange management database comprising type, rating, size and surface condition of flanges, as well as the types and sizes of flanges related components such as gasket, bolts, nuts, and washers, based on the material lists provided by the customers and based on project requirements;
- Assembly – involves the inspection of the alignment of flanges and its related components, placement of gasket in between the flanges faces, as well as insertion of bolts through the holes of flanges;
- Controlled bolting – involves the tightening of bolts in a specific sequence and torque (i.e. the rotational force applied to tighten bolts, which creates tension in the bolts and compresses the gasket between the flanges) to achieve the correct preload or clamping force;
- Inspection – involves the verification of torque using calibrated torque tools. This tension is crucial for creating a tight seal and preventing leaks in flanged connections, ensuring a secure and reliable connection. It also involves ensuring the gaskets are not extruding or misaligned, the gap between flanges is uniform, and bolt heads or nuts are flush and even; and
- Documentation – involves tracking, verifying, and recording every bolted connection in a piping system, whereby each flange joint is assigned a unique identifier tag which contains details of the flange. At project completion, we will issue a final report which will be

7. BUSINESS OVERVIEW (CONT'D)

approved and signed off by our customer (i.e. main contractor or subcontractor) to confirm the completion of works.

For maintenance projects, as part of flange management, we offer the following services:

- **Valve servicing** which include the removal, reinstatement, overhaul, servicing, testing and painting of valves comprising manual valves, pressure safety valves, isolation valves and pressure relief valves, in which the servicing is carried out in-house. This is to ensure that the valves function properly and safely within the piping system. Servicing of control valves is outsourced to third party subcontractors and includes cleaning, packing gland replacement, seat lapping machining, calibration and hydrostatic testing of control valves (which include equipment such as calibrator). We also replace worn-out packing gland inside the valves to create a tight seal. Finally, we will conduct hydrotesting to verify the integrity of the joints.
- **Heat exchanger tube bundle routine inspection and servicing** is the regular maintenance of the tube bundle to ensure efficient operations, structural integrity and compliance with safety standards. The process begins with removing the tube bundle from the shell of a heat exchanger using tube bundle extractor machine. The tube bundle will be inspected visually for damage (e.g. cracks, corrosion and fouling) and hydrotesting will be performed to detect internal defects or leaks. Then it will be cleaned using mechanical tools (brushes and scrapers), chemical cleaning agents, or high-pressure hydrojetting to remove fouling and deposits.

Tube bundle servicing includes repairing or plugging damaged tubes, replacing gaskets, re-tubing if necessary, and ensuring proper alignment during reassembly. Finally, all findings and actions are documented for compliance with the required standards and future maintenance planning. All the work required can be done by our in-house team.

(iii) NDT services

NDT refers to a set of techniques used to inspect, evaluate and ensure the integrity of piping systems, piping structures and mechanical units without causing damage to the material or disrupting operations. NDTs are compulsory quality assurance and testing procedures that are carried out after works are completed to ensure the reliability of a welded joint, the properties of the steel materials meet the required specification, and that there are no hidden defects such as cracks, corrosion, inclusions, and dimensional inaccuracies of the piping systems, piping structures and mechanical units. This is because any failure within the piping systems, piping structures or mechanical units can result in catastrophic consequences, including leaks, explosions, environmental contamination, or even loss of life.

We provide NDT services for the piping works that we carry out, as well as for piping works carried out and mechanical units fabricated by other subcontractors. The range of NDT services that we offer are as set out below:

Type of test	Description
Conventional NDT methods	
(i) Industrial radiograph testing	A method that uses ionizing radiation such as X-rays or gamma rays to inspect the internal structure of a material or component. It is used to detect internal defects such as cracks, porosity, voids or improper weld fusions.
(ii) Phased array ultrasonic testing	A method that uses multiple ultrasonic elements and electronic time delays to steer and focus sound beams without moving the probe, to detect flaws, measure thickness, and evaluate material properties in welds, metals and composites.

7. BUSINESS OVERVIEW (CONT'D)

Type of test	Description
(iii) Hardness testing	A method of evaluating the hardness of a material without causing significant damage or alteration to the tested material. It measures the resistance of material to deformation in a way that does not adversely affect the material's performance.
(iv) Dye penetrant testing	A method that involves applying liquid penetrant (i.e. a coloured or fluorescent dye) to detect surface-breaking defects such as porosity, cracks, seams, laps and cold shuts of open surface of nonporous materials.
(v) Magnetic particle testing	A method that involves magnetising ferromagnetic materials such as carbon steel, to detect surface and near-surface flaws such as cracks or voids.
(vi) Ultrasonic flaw detection	A method that uses high-frequency ultrasonic sound waves to detect defects or imperfections on the surface of materials, or detect internal flaws, discontinuities, and defects within materials.
(vii) Positive material identification ("PMI")	A method used to verify and analyse the chemical composition and alloy grade of metallic materials and components. PMI is crucial when there is uncertainty or lack of material certification, ensuring that metals and alloys conform to required standards and specifications for safety, quality and performance.
(viii) Ultrasonic thickness gauging	A method that uses high-frequency ultrasonic sound waves to measure the thickness of the materials.
(ix) Ferrite testing	A method used to measure the ferrite content in austenitic and duplex stainless steel materials and welds. Ferrite testing determines the percentage of ferrite phase present in the microstructure of the stainless steels, which directly affects their mechanical properties, corrosion resistance, weldability, and overall durability.
(x) Leak testing	A method used to detect, locate and quantify leaks in pressure boundaries, vessels, pipelines, or any sealed system. It ensures the integrity, safety, and performance of critical systems by identifying leaks that could cause failures or inefficiencies.
(xi) Visual inspection	A method of direct examination of a component or structure using the human eye, sometimes assisted by optical tools, to detect visible surface defects or irregularities such as cracks, corrosion, misalignments, deformations, welding defects and surface discontinuities.
(xii) Holiday detector testing	A method of inspecting coated or painted surfaces to find defects such as holes, pinholes, cracks, or voids, that allow electrical current to pass through, indicating breaks or flaws in the non-conductive protective layer. These defects in coatings may compromise the integrity of the coating as they can lead to corrosion and premature failure of the underlying metal.

Advance NDT methods

(xiii) Time of flight diffraction	A method that uses diffracted sound waves that bend around the tips of flaws, for detection and accurate sizing of internal flaws such as cracks and lack of fusion, in welds and other structural materials.
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7. BUSINESS OVERVIEW (CONT'D)

Illustration of our NDT services are as shown below:



Ultrasonic flaw detection



Ultrasonic thickness gauging



Positive material identification



Phased array ultrasonic testing

Our Group through PHTSB has obtained licence from the Department of Atomic Energy Malaysia (formerly known as the Atomic Energy Licensing Board) (“**ATOM Malaysia**”) to purchase, own, transport, handle, use and store irradiating apparatus, namely the industrial radiograph machine (iridium and uranium rays). To maintain this licence, we must register and maintain a person responsible towards licence as well as a radiation protection officer, throughout the tenure of our licence. Please refer to Section 7.21 for further details on our licences and permits. For industrial radiograph testing, technicians must be certified by Jabatan Pembangunan Kemahiran (“**JPK**”) and registered with ATOM Malaysia to conduct industrial radiograph testing. As at the LPD, we have 7 technicians that are registered and certified industrial radiograph handlers (i.e. comprising 1 technician with *Level I certification and 6 technicians with *Level II certification). Save for industrial radiograph testing, there is no specific licence required to conduct other types of NDT services. Other NDT services can be carried out by technicians that are trained in-house.

Note:

- * A technician with Level I certification is qualified to assist in industrial radiograph testing under the supervision of a technician with Level II certification and above. Technicians with Level II certification are authorised to sign off on the final report for industrial radiograph testing, whereas a technician with Level I certification is not allowed to do so. Hence, our Group currently has sufficient industrial radiograph handler for its operations with 7 registered and certified technicians in total.

At project completion, we will issue a final report to our customer. For industrial radiograph testing, the final report must be signed off by our radiography interpreter (i.e. an industrial radiograph handler with at least Level II certification by JPK and who is registered with ATOM Malaysia). As at the LPD, we have 6 industrial radiography handlers with Level II certification by JPK who can sign off the final report as our radiography interpreter. For other NDT services, the final report can be signed off by our NDT technicians that are trained in-house. Our customer (i.e. main contractor or subcontractor) will in turn review and accept the report to confirm the completion of works.

7. BUSINESS OVERVIEW (CONT'D)

7.2.1.3 Our customers

Our customers comprise mainly contractors as detailed below:

- **Main contractors**, the EPCC contractors who are awarded projects by industrial end-users (i.e. plant owners and/or operators), in which we act as a subcontractor to them.
- **Subcontractors** appointed by main contractors, in which we act as a subcontractor to them. These subcontractors are involved in the provision of engineering services (including mechanical engineering and civil engineering services), and generally appoint our Group when they do not have sufficient in-house resources, or when they do not have the in-house expertise or the required machinery to carry out the works.

Our Group may compete with subcontractors when we meet the main contractor's vendor requirements and submit a tender for the same project. We do not compete for projects where the subcontractor holds specific qualifications or registrations that our Group does not hold.

Our services are typically delivered on project basis. We mainly receive purchase orders from our customers based the scope of work required.

We primarily serve oil and gas refineries, petrochemical complexes, utility plants and manufacturing facilities. Our mechanical engineering services support the entire lifecycle of industrial plants, encompassing new plant construction and ongoing plant operations (i.e. existing plant maintenance, scheduled plant turnarounds, plant modifications, and refurbishment projects).

The services that we offer are tailored to support our customers' operational needs. These services are vital in ensuring the efficiency, reliability and safety of the industrial processes. Our mechanical engineering services are integral to sustaining continuous production and meeting the demanding environmental and safety requirements of complex industrial plants.

7.2.2 Civil engineering projects

With the aim to provide a complementary service to our customers, we expanded our service offering to take on civil engineering projects to construct industrial and ancillary facilities such as buildings, site office, road works and drainage works. We generally secure our projects through main contractors. Please refer to Section 7.2.3 for further information on these projects. We are involved in the implementation of construction projects, which includes project management of all the construction works required for timely completion of the projects.

As at the LPD, we engage subcontractors to execute the construction works for all our civil engineering projects to construct industrial and ancillary facilities, in which our subcontractors will also supply the required equipment to carry out their scope of works. Depending on the scope of work, we may supply machinery for earthworks or provide installation of temporary structures (e.g. fencing and internal partition). Temporary structures may be installed prior to the start of construction works to facilitate our project management activities. Fencing is installed to set site boundaries to limit unauthorised access, ensure site safety, security, efficient site management and compliance with regulatory requirement. Internal partition may also be installed at certain areas of the construction site or within our temporary site office, to organise different construction activities to improve efficiency. Our roles and responsibilities focus on ensuring timely delivery of construction project to our customers which can be summarised but not limited to the following:

7. BUSINESS OVERVIEW (CONT'D)

- (i) Plan, manage, supervise and monitor the entire construction project;
- (ii) Prepare a work schedule which shows the work activities, sequence and milestones according to the project requirements and specifications;
- (iii) Engage, manage and supervise the required subcontractors to perform construction works based on designs provided;
- (iv) Prepare and implement any health and safety plan according to the construction progress; and
- (v) Perform final inspections, jointly with the customer representative at the end of construction works and handing over to our customer prior to demobilising resources from the construction site. Demobilisation of resources involve the systematic withdrawal and removal of all temporary facilities, equipment, machinery, materials and workforce from the site upon completion of construction activities. This process includes dismantling site offices and temporary structures (e.g. fencing and internal partition), removing equipment and machinery, clearing surplus materials and waste, reinstating affected areas and ensuring the site is left in a safe, clean and compliant condition.

As we are involved in the management of construction works, our Group maintains CIDB certification and has 6 qualified Occupational Safety and Health Coordinators as at the LPD. Further, we will appoint 1 Safety and Health Officer by project basis for any project with a contract value which exceeds RM20.00 million, in which such appointment is required under the Occupational Safety and Health (Safety and Health Officer) Order 1997 for any work of engineering construction where the total contract value of the project exceeds RM20.00 million. A Safety and Health Officer is an individual who has completed relevant trainings and certification (e.g. Safety and Health Officer Course), and is registered with DOSH. On the other hand, an Occupational Safety and Health Coordinator is an employee with adequate occupational safety and health knowledge and is not required to be registered with any regulatory bodies. As at the LPD, we have appointed 4 Safety and Health Officers for our Group which are required for projects with contract value which exceeds RM20.00 million. The application of relevant licences required to carry out construction works are undertaken by our subcontractors.

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7. BUSINESS OVERVIEW (CONT'D)

7.2.3 Our projects

The table below shows our past projects and on-going projects for our mechanical engineering segment with a total contract value above RM1.00 million, in the Financial Years Under Review and up to the LPD:

No.	Project name/ Project industry/ Location	Customer(s)	Services provided	Commencement	Completion/ Expected completion	% of completion (⁽¹⁾ as at LPD	Total contract value (RM' million)
Past projects							
1.	Project Euro/ Oil and gas/ Negeri Sembilan	HQC Engineering Malaysia Sdn Bhd (Main contractor)	Piping system engineering and specialised services	July 2020	October 2022	100.0	2.41
2.	GES Klang Terminal Project/ Oil and gas/ Selangor	(i) HQC Engineering Malaysia Sdn Bhd (Main contractor) ⁽²⁾ (ii) Makeen Energy Malaysia Sdn Bhd (formerly known as Crisplant (M) Sdn Bhd) (Main contractor) ⁽²⁾	Piping system engineering Piping system engineering	October 2021 July 2022	August 2022 March 2023	100.0 100.0	3.16 1.32
3.	Pengerang Integrated Petroleum Complex Project/ Oil and gas/ Johor	Dialog Plant Services Sdn Bhd (Main contractor)	Specialised services	April 2022	November 2023	100.0	1.02
4.	Fire Main Pipeline/ Manufacturing facilities/ Sarawak	BMech Engineering Sdn Bhd (Main contractor)	Piping system engineering	July 2022	March 2023	100.0	5.00

7. BUSINESS OVERVIEW (CONT'D)

No.	Project name/ Project industry/ Location	Customer(s)	Services provided	Commencement	Completion/ Expected completion	% of completion (¹) as at LPD	Total contract value (RM' million)
5.	Sarawak Methanol Project/ Petrochemicals/ Sarawak	Equator Engineering Sdn Bhd (Subcontractor)	Piping system engineering and specialised services	December 2022	July 2024	100.0	1.59
6.	SMDS Project/ Petrochemicals/ Sarawak	PEC (M) Sdn Bhd (Main contractor)	Piping system engineering and specialised services	June 2023	December 2023	100.0	2.26
7.	Agogo FPSO Project/ Oil and gas/ Indonesia	PT San Pio Engineering (Subcontractor)	Piping system engineering and specialised services	July 2024	September 2024	100.0	1.03
8.	Urbany/ Others/ Kuala Lumpur	Urbany Construction Sdn Bhd (Main contractor)	Piping system engineering	December 2024	December 2024	100.0	1.04
9.	Sarawak OGP Project/ Oil and gas/ Sarawak	Equator Engineering Sdn Bhd (Subcontractor) ⁽⁴⁾	Piping system engineering and specialised services	August 2024	June 2026	100.0	5.66
10.	Project Light Hydrocarbon Drains ("LHD") and Heavy Hydrocarbon Drains ("HHD") Underground Piping Replacement/ Petrochemicals/ Johor	NAEC (Malaysia) Sdn Bhd (Subcontractor)	Specialised services	August 2025	May 2026	100.0	1.02

7. BUSINESS OVERVIEW (CONT'D)

No.	Project name/ Project industry/ Location	Customer(s)	Services provided	Commencement	Completion/ Expected completion	% of completion (⁽¹⁾) as at LPD	Total contract value (RM' million)
Ongoing projects							
11.	GES Klang Terminal Project/ Oil and gas/ Selangor	GES Klang Terminal Sdn Bhd (formerly known as GPS Klang Terminal Sdn Bhd) (Industrial end-user)	Piping system engineering	March 2022	August 2026	98.6	7.20
12.	Sarawak Methanol Project/ Petrochemicals/ Sarawak	Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd) (Main contractor)	Piping system engineering and specialised services	September 2023	August 2026	99.6	14.08
13.	Project Basil/ Petrochemicals/ Pahang	(i) Fumiko Sdn Bhd (Subcontractor) ⁽³⁾ (ii) HQC Engineering Malaysia Sdn Bhd (Main contractor) ⁽³⁾	Piping system engineering and specialised services Piping system engineering	May 2024 August 2024	October 2026 December 2026	81.1 70.5	32.40 ⁽⁵⁾ 26.89
14.	Sarawak OGP Project/ Oil and gas/ Sarawak	Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd) (Main contractor) ⁽⁴⁾	Piping system engineering	June 2024	March 2027	77.8	30.45
15.	Project Brex/ Manufacturing facilities/ Selangor	Aluminium Company of Malaysia Berhad (Industrial end-user)	Piping system engineering	December 2024	October 2026	81.5	7.01

7. BUSINESS OVERVIEW (CONT'D)

No.	Project name/ Project industry/ Location	Customer(s)	Services provided	Commencement	Completion/ Expected completion	% of completion (⁽¹⁾) as at LPD	Total contract value (RM' million)
16.	Project Tankri/ Oil and gas/ Terengganu	Toyo Kanetsu (Malaysia) Sdn Bhd (Main contractor)	Piping system engineering and specialised services	March 2025	October 2026	91.2	10.46
17.	Project CRM/ Manufacturing facilities/ Selangor	Aluminium Company of Malaysia Berhad (Industrial end-user)	Piping system engineering	May 2026	November 2026	50.0	10.20

Notes:

(1)

Percentage of completion is estimated based on the progress billings as at the LPD compared against the total contract value.

(2)

HQC Engineering Malaysia Sdn Bhd and Makeen Energy Malaysia Sdn Bhd (formerly known as Crisplant (M) Sdn Bhd) are both main contractors of GES Klang Terminal Project. Our Group secured a contract from each HQC Engineering Malaysia Sdn Bhd and Makeen Energy Malaysia Sdn Bhd, for provision of piping system engineering.

(3)

HQC Engineering Malaysia Sdn Bhd is the main contractor for Project Basil and Fumiko Sdn Bhd is a subcontractor appointed by HQC Engineering Malaysia Sdn Bhd. Our Group secured a contract from each HQC Engineering Malaysia Sdn Bhd and Fumiko Sdn Bhd, for provision of piping system engineering as well as provision of piping system engineering and specialised services, respectively.

(4)

Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd) is the main contractor for Sarawak OGP Project and Equator Engineering Sdn Bhd is a subcontractor appointed by Samsung E&A Malaysia Sdn Bhd. Our Group secured a contract from each Samsung E&A Malaysia Sdn Bhd and Equator Engineering Sdn Bhd, for provision of piping system engineering as well as provision of piping system engineering and specialised services, respectively.

(5)

Subsequent to the LPD, our Group had on 27 July 2026 received a variation order to extend the completion date to 31 October 2026 with an additional contract value of RM5.01 million.

There is no requirement for us to have a Petronas License or to be in Petronas Approved Vendor List to be appointed by our customers for these projects under mechanical engineering segment. However, if such requirement is stated in the contract for any specific mechanical engineering services to have a Petronas License or to be in the Petronas Approved Vendor List, we will not be able to participate for the affected scope of work.

7. BUSINESS OVERVIEW (CONT'D)

The table below shows our past projects and on-going civil engineering projects with a total contract value above RM1.00 million, in the Financial Years Under Review and up to the LPD:

No.	Project name/ Project owner/ Location	Customer	Services provided	Commencement	Completion/ Expected completion	% of completion (¹) as at LPD	Total contract value (RM' million)
Past projects							
1.	Project Papar/ Jabatan Kerja Raya/ Sabah	Bintang Kejora Sdn Bhd (Main contractor)	Construction of industrial and ancillary facilities	August 2022	January 2024 ⁽²⁾	100.0	6.68
2.	Project Petronas Berhad/ Terengganu	Toyo Gas (Malaysia) Bhd (Main contractor)	Construction of industrial and ancillary facilities	March 2025	September 2025	100.0	1.93
Ongoing projects							
3.	Project Jabatan Pengurusan Pepejal Negara/ Johor	Muar/ Ilmiah Sdn Bhd (Main contractor)	Construction of industrial and ancillary facilities	July 2023	December 2026	73.8	21.08
4.	Project Pejabat Daerah Mersing/ Johor	Mersing/ Jurutera Bhd (Main contractor)	Construction of industrial and ancillary facilities	July 2024	October 2026	71.1	23.43

Notes:

- (1) Percentage of completion is estimated based on the progress billings as at the LPD compared against the total contract value.
- (2) Due to a dispute concerning the construction costs between our Group and the main contractor, the contract between our Group and the main contractor was mutually terminated in January 2024. Kindly refer to Sections 12.2.2(ii)(a) and 12.2.8 of this Prospectus for further details on the impact of arising from the termination of contract.

7. BUSINESS OVERVIEW (CONT'D)**7.2.4 Our business locations**

The details of our business locations are as follows:

Facilities	Location	Function	Land area (sq ft)	Built-up area (sq ft)
Seremban headquarters	No. 55, Jalan Pusat Komersial, Irama Sendayan 1/2, Taman Irama Sendayan 1, 71900 Labu, Negeri Sembilan	Headquarters and administrative office	2,174	4,348
Pasir Gudang warehouse	No. 8, Jalan Senangin 5, Taman Pasir Putih, 81700 Pasir Gudang, Johor	Warehouse ⁽¹⁾	7,276	5,185
Bintulu warehouse	Sublot 11, Parent Lots 1632 & 1633, Block 20, Kemena Land, District Kidurong, 97000 Bintulu, Sarawak	Warehouse ⁽²⁾	6,198	2,123

Notes:

- (1) Storage of materials, machinery and equipment, tools and consumables, as well as irradiating apparatus. To carry out in-house maintenance of machinery and equipment. Also consist of a dark room for the interpretation of results for industrial radiograph testing carried out.
- (2) Storage of materials, machinery and equipment, tools and consumables, as well as irradiating apparatus. To carry out in-house maintenance of machinery and equipment.

7.2.5 Warranty and defect liability period

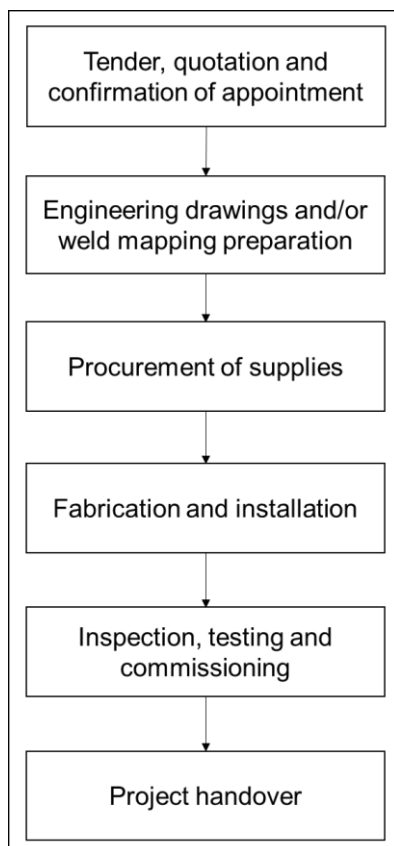
Due to the nature of our products and services, we do not provide warranty for the pipe systems fabricated, installed and commissioned, or for the other mechanical engineering services provided. Nevertheless, following project handover, some of our projects are subject to a defect liability period of 12 months or up to issuance of the certificate of final acceptance of the project, according to the terms of the respective contract.

In addition, some of our projects are subject to retention sum. Please refer to Sections 7.3.1 and 7.3.2 for further information.

7. BUSINESS OVERVIEW (CONT'D)

7.3 OUR OPERATIONAL PROCESS FLOW

7.3.1 Provision of mechanical engineering services



(a) Tender, quotation and confirmation of appointment

We may be invited to tender or receive requests to quote for projects to provide mechanical engineering services. We will then prepare and submit a tender or provide a quotation to the prospective customer based on the project scope and complexity, resources required and project timeline. During the evaluation stage of our submitted tender or quotation, we may further liaise with the prospective customer to provide technical clarifications, negotiate contract terms, or submit revised tender documents or quotations.

Customers will issue a purchase order, work order agreement, contract or letter of award to our Group to confirm that we have secured a project.

Some contracts may require our Group to submit a retention sum of up to 10.0% of the contract sum awarded, in accordance with the letter of award. The retention sum serves as a security to our customer to safeguard and guarantee our performance towards the completion of projects.

Following confirmation of order, for large scale projects, we will form a dedicated project team as well as develop detailed plans for management of project scope, schedule, cost, resources and procurement, according to the needs of the project.

(b) Engineering drawings and/or weld mapping preparation

For projects where our Group serves as a subcontractor, our customers will typically provide us with the engineering design drawing for the required piping system which sets out the routing of piping systems, dimensions, flange points and quantity of materials required. Upon further consultation with our customers and site visits, we will prepare the weld mapping internally for the required piping system according to our customers' specifications as well as the layout, installation requirements and structural constraints of the given plant environment.

For EPCC projects, we will prepare the engineering design drawings internally based on the engineering process diagram provided by our customer. Then we will also prepare the weld mapping internally. The engineering design drawings will be endorsed by third party qualified engineers engaged by us.

(c) Procurement of supplies

For projects where we are involved in procurement activities, we will source the required supplies from our suppliers and/or suppliers nominated by our customers. The supplies required for fabrication works such as steel, pipes and instrumentations will be received at the fabrication site or work area within the project site designated by our customer. For

7. BUSINESS OVERVIEW (CONT'D)

projects where we are not involved in procurement activities, our customers will procure the supplies themselves. Similarly, where fabrication works are required, our customers will have the supplies delivered to the designated fabrication site or work area within the project site for us to undertake fabrication works. Supplies such as rotating equipment and mechanical units will be delivered to project sites according to project schedule.

We will inspect all incoming supplies together with our customers to ensure that there are no defects and that the supplies comply with the required specifications. Any defective supplies will be returned to the supplier for replacement.

As and when required, we may also source for subcontractors as additional resource to carry out certain works for our projects, in which these subcontractors will also supply the equipment required for the said works. For example, we may source for subcontractors to carry out installation and welding works (which include equipment such as welding machine), or installation and commissioning of electrical and instrumentation works (which include equipment such as hand tools, heat gun and hacking machine).

(d) Fabrication and installation

Fabrication process comprises cutting, fit-up, welding, surface finishing and storage. We conduct quality inspections throughout our fabrication processes, as detailed below:

- Cutting and inspection

We will mark the materials for cutting, bending, fitting and welding based on the weld mapping for the required piping system. We will carry out inspections on the material markings to ensure that they reflect the markings indicated in the weld mapping. If there are any discrepancies, we will revise the material markings according to the specifications of the weld mapping.

Following this, the materials will undergo cutting and/or bending to form the respective parts of the pipe spools (such as sections, elbows and tees) and pipes structures.



We will then inspect the respective parts to ensure they fulfil the specifications of the weld mapping prior to fitting and welding of the parts together to form pipe spools and pipe structures.

- Fit-up and inspection

Fit-up refers to the process of aligning and assembling the respective parts (such as sections, elbows, tees and flanges) for welding. It ensures that the parts are positioned correctly according to the design specifications and welding requirements. During the fit-up process, we will carry out visual inspections and dimensional checks to ensure that the dimensions of the pipe spools comply with the specifications of the weld mapping. We will then conduct fit-up inspection to verify that the pipe components are correctly aligned, positioned, and prepared before welding begins. This inspection ensures compliance with the project specifications, codes and standards required.

7. BUSINESS OVERVIEW (CONT'D)

- Welding and inspection

The respective parts will be welded together to form pipe spools and pipe structures. For pipe spools, we will conduct hydrotest using high-pressured water jet to ensure the integrity, safety and performance of the welded area and flanges. Further, we will assign a tag to every pipe spools to ensure the traceability of each pipe spool for cross checks against the engineering design, weld mapping and/or inspection records.



- Surface finishing and temporary storage

We outsource the sand blasting and painting works to third-party subcontractors to provide surface finishing for the pipe spools and pipe structures fabricated (which include equipment such as air compressor, blasting pot and paint mixer). Depending on project schedule, completed pipe spools and pipe structures may be delivered back to the fabrication site designated by our customer for temporary storage, or delivered directly to the project site.

Installation process comprises site preparation, fit ups or tie-ins, installation of mechanical parts, welding, inspection and surface finishing and labelling, as detailed below:

- Site preparation

We engage third-party subcontractors to install scaffolding to facilitate installation activities (which include equipment such as hand tools). Then, we will commence the installation of pipe structures. For pipe tie-ins, the tie-in point on the existing pipe is isolated using valves or blinds to prevent flow and pressure.

- Fit-up and inspection

Pipe spools are lifted and positioned using cranes or other lifting equipment to the designated areas. Pipes and prefabricated pipe spools are then aligned with each other and supported using alignment tools and clamps.

- Welding and inspection

We carry out welding, threading, flanging, grooving and socket welding to join the pipes and prefabricated pipe spools. Minor modification works may also be required on-site.

- Surface finishing and cleaning

We will then clean and paint the welded areas. We will also apply labelling to the pipe spools for documentation and traceability for future maintenance purposes. Prior to pre-commissioning of the piping system, we will conduct cleaning works (i.e. high-pressure cleaning or chemical cleaning) to remove dirt and debris inside and outside of the pipes.

- Installation of mechanical units, rotating equipment, electrical components and instrumentations

As piping systems are integral part of process systems and utility systems in an industrial plant, depending on project requirements, we are also involved in the installation of mechanical units, including erection, levelling, welding and painting

7. BUSINESS OVERVIEW (CONT'D)

(where required); and the installation of related instrumentations and rotating equipment, and electrical components. These mechanical units and rotating equipment are connected to the piping systems to form a complete processing or utility system for commissioning.

(e) Inspection, testing and commissioning

Following installation, we will pre-commission the piping system where we conduct final inspection and testing to ensure that the piping system complies with the engineering design and functions according to the specifications of our customer. We will support main contractors in their commissioning of the overall process systems or utility systems, as our piping system forms part of the entire system to be commissioned.

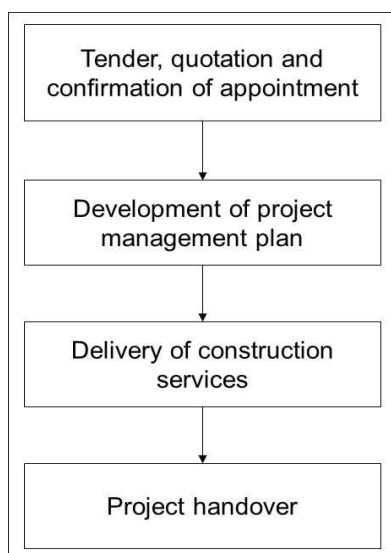
(f) Project handover

Upon commissioning, the piping system will be deemed as functioning according to our customer's required specifications and we will hand over the piping system to our customer.

Based on the terms of the contract, we may be responsible for rectifying any defects found following project handover during the defect liability period as specified in the contract, which lasts for a period of 12 months or up to issuance of the certificate of final acceptance of the project.

Our customer may be entitled to retain up to 10.0% of the contract sum awarded, as a retention sum, based on the terms of the contract. The retention sum serves as a security to our customer to safeguard and guarantee our performance towards the completion of works and rectification of defects during the defect liability period. Our customer will release the retention sum to us once the defect liability period or any additional period following expiry of defect liability period, as specified in the contract, is completed.

7.3.2 Civil engineering projects



(a) Tender, quotation and confirmation of appointment

We may be invited to tender or receive requests to quote for civil engineering projects to construct industrial and ancillary facilities. We will then prepare and submit a tender or provide a quotation to the prospective customer based on the project scope, timeline, budget and resources required. Customers will issue a contract or purchase order to our Group to confirm that we have secured a project.

Some contracts may require our Group to submit a retention sum, up to a maximum of 5.0% of the contract sum awarded, in accordance with the letter of award. The retention sum serves as a security to our customer to safeguard and guarantee our performance towards the completion of projects.

(b) Development of project management plan

Upon securing a project, we will develop a project management plan which includes, amongst others, a work schedule, health and safety plan as well as detailed plans for cost management, resource management, communications management and/or risk management, according to the requirements and specifications of the project.

7. BUSINESS OVERVIEW (CONT'D)

In addition, we will form a project management team comprising a project manager, site manager, quantity surveyor, safety health officer site engineer and site supervisor, as well as other stakeholders such as the subcontractors required for the project. Our project manager will oversee the implementation of the construction project, including project management of all construction works required and overseeing of works performed by subcontractors, to ensure the timely delivery of the construction project according to our customer's specifications.

(c) Delivery of construction services

We will manage and monitor the progress of the project, including communicating project requirements to the subcontractors engaged for the delivery of construction services and taking corrective actions to ensure timely delivery of the construction project according to our customer's specifications. Our project management and monitoring procedures may entail status reports by the project management team, assessment of deliverables and monitoring of costs incurred, according to the needs of the project.

As and when required, depending on the scope of work, we will also supply machinery for earthworks or provide installation of fencing and internal partition.

(d) Project handover

Upon the completion of construction works, we will conduct inspections on the completed facilities jointly with a representative from our customer to ensure that the facilities meet our customer's specifications. Following this, we will demobilise our resources from the construction site and hand over the facilities to our customer.

Based on the terms of the contract, we may be responsible for rectifying any defects found following project handover during the defect liability period as specified in the contract, which lasts for a period of 12 months.

Based on the terms of the contract, our customer may be entitled to retain 10.0% of each progress billing, as retention sum, up to a maximum of 5.0% of the contract sum awarded, in accordance with the letter of award. The retention sum serves as a security to our customer to safeguard and guarantee our performance towards the completion of projects. Once the work is completed, our customer will issue CPC and after receiving complete documentation from us, our customer will release the retention sum to us. Similarly, we also retain 10.0% of each certified work done against our subcontractors as retention sum, up to a maximum of 5.0% of the awarded sub-contract value. We will release the retention sum to our subcontractors after we receive the retention sum from our customer as a back-to-back arrangement.

7.4 QUALITY CONTROL PROCEDURES AND CERTIFICATIONS

7.4.1 Quality control procedures

Our quality management system is supported by our in-house quality assurance and quality control team, where they conduct quality control procedures at various stages of our fabrication and installation processes, as detailed in Section 7.3.1 of this Prospectus. We adopt a stringent internal quality assurance policy in our operations to ensure our services adhere to both our internal and international standards.

Further, some of our customers conduct performance audits on an ad-hoc basis to assess our ability to achieve their requirements, in terms of product quality, fabrication facilities and fabrication processes. In order to continue meeting expectations and securing sales from our customers, it is crucial for us to continuously uphold high quality standards in our operations.

7. BUSINESS OVERVIEW (CONT'D)

7.4.2 Quality certifications

Our Group's commitment towards quality and safety is further attested by our compliance with local and international quality standards, and we obtained the certifications of compliance as follows:

Company certified	Standard	Certification body	Date first awarded	Current validity period	Scope of certification
BESB	MS ISO 9001:2015	TÜV NORD (Malaysia) Sdn Bhd ⁽¹⁾	7 April 2021	11 April 2024 – 6 April 2027	Provision of engineering, procurement, construction, commissioning and maintenance services for mechanical piping works in oil and gas and power plant industries
BESB	BS EN ISO 9001:2015	TÜV UK Ltd ⁽¹⁾	7 April 2021	9 April 2024 – 6 April 2027	Provision of engineering, procurement, construction, commissioning and maintenance services for mechanical piping works in oil and gas and power plant industries
PHTSB	MS ISO 9001:2015	TÜV NORD (Malaysia) Sdn Bhd ⁽¹⁾	21 November 2014	21 November 2023 – 20 November 2026	Provision of field heat treatment services in oil and gas industry and power plants
PHTSB	BS EN ISO 9001:2015	TÜV UK Ltd ⁽¹⁾	21 November 2014	3 July 2023 – 20 November 2026	Provision of field heat treatment services in oil and gas industry and power plants

Note:

- ⁽¹⁾ Where the certification of compliance to a quality assurance and quality control standard is awarded by both a local and international certification body, the certification is recognised both locally and internationally.

7. BUSINESS OVERVIEW (CONT'D)

7.5 PRINCIPAL BUSINESS SEGMENTS AND MARKETS

For the Financial Years Under Review, our Group's revenue is mainly derived from our mechanical engineering services segment, which accounted for 95.6%, 60.0%, 64.2% and 75.5% of our total revenue respectively.

The breakdown of our Group's revenue by principal activities in the Financial Years Under Review is as follows:

Business activities	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Provision of mechanical engineering services	15,330	95.6	18,890	60.0	27,586	64.2	73,745	75.5
- Piping system engineering	12,543	78.2	14,517	46.1	23,399	54.5	66,110	67.7
- Specialised services	2,787	17.4	4,373	13.9	4,187	9.7	7,635	7.8
Civil engineering projects	705	4.4	12,578	40.0	15,380	35.8	23,916	24.5
Total revenue	16,035	100.0	31,468	100.0	42,966	100.0	97,661	100.0

Our Group's principal market is in Malaysia, which accounted for 100.0%, 100.0%, 97.4% and 100.0% respectively of our total revenue for the Financial Years Under Review. During this period, our Group also derived revenue from 1 overseas country, namely Indonesia.

The breakdown of our Group's revenue segmentation by geographical region is as follows:

Revenue by geographical region	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia:	16,035	100.0	31,468	100.0	41,842	97.4	97,661	100.0
- West Malaysia	10,011	62.4	12,035	38.2	29,231	68.0	71,319	73.0
- East Malaysia	6,024	37.6	19,433	61.8	12,611	29.4	26,342	27.0
Overseas:	-	-	-	-	1,124	2.6	-	-
- Indonesia	-	-	-	-	1,124	2.6	-	-
Total revenue	16,035	100.0	31,468	100.0	42,966	100.0	97,661	100.0

7. BUSINESS OVERVIEW (CONT'D)

Our Group's revenue is mainly derived from customers in the petrochemicals and oil and gas industries. During the Financial Years Under Review, customers from the petrochemicals industry accounted for 0.9%, 41.6%, 33.8% and 32.9% of our total revenue respectively. Over the same period, customers from the oil and gas industry which accounted for 58.0%, 15.7%, 24.1% and 35.5% of our total revenue respectively.

The breakdown of our Group's revenue by project industries in the Financial Years Under Review is as follows:

Project industries	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Provision of mechanical engineering services	15,330	95.6	18,890	60.0	27,586	64.2	73,745	75.5
- Petrochemicals	139	0.9	13,085	41.6	14,522	33.8	32,095	32.9
- Oil and gas	9,299	58.0	4,936	15.7	10,361	24.1	34,681	35.5
- Utility plants	329	2.0	676	2.1	723	1.7	696	0.7
- Manufacturing facilities	5,409	33.7	135	0.4	328	0.8	6,258	6.4
- Others ⁽¹⁾	154	1.0	58	0.2	1,652	3.8	15	-
Civil engineering projects	705	4.4	12,578	40.0	15,380	35.8	23,916	24.5
Total revenue	16,035	100.0	31,468	100.0	42,966	100.0	97,661	100.0

Note:

⁽¹⁾ Comprises revenue derived from provision of services to customers in the construction industry.

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7. BUSINESS OVERVIEW (CONT'D)

7.6 OUR COMPETITIVE STRENGTHS

7.6.1 We have an established history with 29 years of experience in the industry

We have an established history of 29 years since commencement of our business in 1997. We began our journey by providing on-site pre-heating and post-weld heat treatment services as well as hardness test services, supporting new plant construction and ongoing plant operations (i.e. existing plant maintenance, scheduled plant turnarounds, plant modifications, and refurbishment projects) for oil and gas refineries, petrochemical complexes, utility plants and manufacturing facilities. Since 2016, we have grown our business through expansion of our service portfolio to offer a wider range of mechanical engineering services comprising piping system engineering and related specialised services which include heat treatment, flange management and NDT services. We further diversified our capabilities by taking on civil engineering projects to construct industrial and ancillary facilities in 2022.

Our ability to deliver mechanical engineering services in demanding and high-risk environments such as oil and gas refineries, petrochemical complexes and utility plants reflects our technical competence and reliability in handling high-pressure and high-temperature operating conditions. Our proven track record is further evidenced by our successful involvement in various projects as set out in Section 7.2.3.

Our growing reputation will in turn attract more business opportunities and continue to enhance our financial performance. As at the LPD, we have an unbilled order book amounting to RM50.43 million, comprising an unbilled order book amounting to RM38.15 million for our provision of mechanical engineering services segment and an unbilled order book amounting to RM12.28 million for our civil engineering projects segment. Please refer to Section 12.13 of this Prospectus for further information on our order book.

The growth of our Group is reflected in the scale of our expanding business operations. We have evolved from operating from a rented shoplot in 1997 to currently operating a 2-storey shop office and 2 warehouses as at the LPD. The establishment of our warehouses is a testament to the growing volume of projects we receive from customers. Further, the scope of the projects we undertake has grown over the years, as demonstrated by the CIDB certifications held by our Group, as follows:

<u>Company certified</u>	<u>Grade</u>	<u>Scope of certification</u>
PHTSB	G5	Participation in tenders for projects with a contract value of up to RM5.00 million
BESB and PHCDSB	G7	Participation in tenders for projects with a contract value of any amount, without any maximum limit

We believe that our established history and proven track record provide a solid foundation for continuing to drive the growth of our Group.

7.6.2 We have in-house technical expertise to provide mechanical engineering services

We have in-house technical expertise to provide mechanical engineering services comprising piping system engineering, heat treatment, flange management and NDT services. We also have in-house engineering capability to develop weld mapping for the piping systems to facilitate the fabrication and installation processes, which is supported by 6 engineers. Further, our fabrication activities are supported by 44 certified welders and our installation activities are supported by 149 skilled installers. In addition, our specialised services are carried out by trained technicians in which we have 25 technicians to support our heat treatment offerings, 15 technicians to support our flange management offerings, and 13 technicians to support our NDT service offerings. Among these technicians, we have 7 technicians that are registered and certified industrial radiograph handlers by ATOM Malaysia and JPK to carry out industrial

7. BUSINESS OVERVIEW (CONT'D)

radiograph testing (i.e. a type of NDT that involves the use of industrial radiograph machine (Iridium and uranium rays)). Our heat treatment and flange management services are also carried out by skilled technicians.

Further, to ensure the quality of our service offerings, our piping system engineering and heat treatment services are provided in accordance with the requirements of internationally recognised standards such as the MS ISO 9001:2015 and BS EN ISO 9001:2015, as attested by the certifications obtained. Please refer to Section 7.4.2 for further details on our quality certifications. Through our compliance with internationally recognised standards, we are able to provide confidence to customers on the quality of our services and expand our market reach, which enables us to secure more customers.

7.6.3 Our mechanical engineering services serve the entire lifecycle of a plant

Our mechanical engineering services support the entire lifecycle of industrial plants, encompassing new plant construction and ongoing plant operations (i.e. existing plant maintenance, scheduled plant turnarounds, plant modifications, and refurbishment projects). Further, our piping system engineering and related specialised services are comprehensive to meet the demands of customers for piping systems in oil and gas refineries, petrochemical complexes and utility plant, covering various aspects of piping system development and maintenance.

Our mechanical engineering services which involve engineering, procurement, fabrication, installation, commissioning and/or repair and maintenance, are custom-fitted to the layout, operational requirements and structural constraints of each plant environment, catering to customer's needs for both new-built projects, and maintenance or upgrades of existing plants. Further, our related specialised services comprising heat treatment, flange management, and NDT services are essential processes carried out during and/or after piping works to ensure the structural integrity, performance reliability, and safety of the piping systems under operational conditions. Our services are integral in maintaining properly functioning plants that promote safe and compliant operating environments.

A project where we have been providing periodic maintenance works comprising piping system engineering and specialised services is the SMDS Project. Further details of our projects are as set out in Section 7.2.3.

7.6.4 We primarily support customers operating in the petrochemicals, oil and gas as well as utility industries

We primarily support customers operating in the petrochemicals, oil and gas as well as utility industries. During FYE 2026, we provided services to 5, 20 and 13 customers in the abovementioned industries, which contributed 32.9%, 35.5% and 0.7% respectively to our Group's revenue. Having built our network of customer base across the petrochemicals, oil and gas, as well as utility industries help reduces our dependency on a single industry or customer and mitigates risk from market volatility. Further, as our customers are primarily main contractors, it allows us to tap into our customers' pool of projects to further grow our business.

Our reputation and track record as a mechanical engineering service provider, coupled with our industry experience and technical capabilities have enabled our Group to continue serving in these highly demanding and high-risk environments. This is evidenced by the repeat orders that we have received over the years for the same project from different customers (the range of services that we offer may be applicable to different contractors who were awarded different work packages for the same project), as well as the length of our relationship with some of our major customers for the Financial Years Under Review. For example, BMech Engineering Sdn Bhd had 7 years business relationship with us as at FYE 2023 in which it was one of our major customers, while PEC (M) Sdn Bhd had 9 years of business relationship with us as at FYE 2024 in which it was one of our major customers, Equator Engineering Sdn Bhd had 9 years business relationship with us as at FYE 2025 in which it was one of our major customers, and

7. BUSINESS OVERVIEW (CONT'D)

HQC Engineering Malaysia Sdn Bhd had 6 years of business relationship with us as at FYE 2026 in which it was one of our major customers. By fostering strong and long-term business relationships with our customers and project stakeholders, our Group is well positioned to benefit from the opportunity to secure repeat orders or to secure orders from new customers serving the petrochemicals, oil and gas, utility industries. This network-driven approach is expected to enhance our market reach, ensures business continuity, and supports the sustained growth of our Group.

7.6.5 We have an experienced key senior management team

Our key senior management team have accumulated years of experience in their respective fields of expertise, industrial knowledge and in-depth understanding of our business operations. Under their leadership, we have established our industry reputation as a trusted mechanical engineering service provider. The industry reputation that we have established over the years has been crucial to our Group's historical expansion and will continue to play vital roles in our Group's future growth.

The table below sets out our Executive Directors and key senior management team and the years of relevant working experience:

Name	Designation	Years of relevant working experience⁽¹⁾
Ken	Chief Executive Officer / Executive Director	14
William	Executive Director	15
Goh Siew Lin	Chief Operating Officer	28
Tee Shi Ying	Financial Controller	7

Note:

⁽¹⁾ Reflects years of experience in their respective work scope or the industry, whichever is relevant, up to the LPD.

Please refer to Sections 5.1.2 and 5.3.2 of this Prospectus for the profiles of our Executive Directors and key senior management team. Our Executive Directors and key senior management team has strong industry and functional expertise as a result of years of experience in their respective fields. Further, each of our Executive Directors and key senior management takes an active, hands-on role in spearheading their respective departments to support the growth of our Group. Their hands-on involvement in our Group demonstrates their strong commitment to our growth as we continue to expand our business.

7.7 OUR BUSINESS STRATEGIES AND FUTURE PLANS**7.7.1 We intend to further expand our business operations through the construction of our New Sendayan HQ****(i) Purpose**

Our existing rented headquarters is located in Labu, Negeri Sembilan and serves as our administrative office. In line with our growth strategy, we intend to set up our New Sendayan HQ, comprising our administrative office as well as warehouse and workshop to service customers in the Central region. Through our New Sendayan HQ, we will be able to carry out various activities such as fabrication works for pipe spools (up to 12 meters) and pipe structures, hydrotesting works, heat treatment services and valve servicing for customers in the Central region. This is expected to aid our Group in establishing stronger business presence in the Central region thus driving the continued growth of our business.

7. BUSINESS OVERVIEW (CONT'D)**(ii) Built-up area**

In September 2019, we acquired a piece of industrial freehold land with a total land area of 107,155 sq ft. We plan to build our New Sendayan HQ on the said land and relocate our headquarters to the New Sendayan HQ. Upon the relocation of our headquarters to the New Sendayan HQ, we will cease the rental of our existing headquarters in Labu, Negeri Sembilan.

The New Sendayan HQ will have a total built-up area of approximately 42,790 sq ft, which consists of 3-storey of office building together with 1-storey of workshop and 1-storey of warehouse. The breakdown of the total built-up area of our New Sendayan HQ is set out below:

Buildings	Usage	Size (sq ft)
Office	Headquarters, engineering design (i.e. preparation of weld mapping as well as engineering design drawings for EPCC projects) and administrative office	16,905
Workshop	To carry out pipe spools and pipe structures fabrication works, hydrotesting works, furnace post-weld heat treatment services and valve servicing, as well as maintenance works on our machinery and equipment	18,121
Warehouse	Storage of materials, tools and consumables, heavy machinery, vehicles as well as various machinery and equipment used to carry out pipe fabrication works, flange resurfacing works, hydraulic bolting works and heat treatment services	7,764
		42,790

(iii) Benefits to our Group

As at the LPD, our fabrication works are mainly carried out at fabrication sites designated by our customers located in close proximity to the respective project site, or at a designated work area within the respective project site. Our materials, machinery and equipment, tools and consumables, as well as irradiating apparatus that are used to support works carried out in Peninsular Malaysia are stored at our Pasir Gudang warehouse.

The New Sendayan HQ will enhance our operations in the following manner:

- (a) To expand our customer base in the Central region by providing prompt service response as well as logistics cost savings to customers in the Central region;
- (b) Provide a storage area with a built-up area of approximately 7,764 sq ft to store materials, tools and consumables, as well as various machinery and equipment; and
- (c) Provide us with the capacity to recruit additional manpower to support the future growth of our business.

As and when needed, we may continue to rent warehouses located within close proximity of customers' project sites to support our operations.

7. BUSINESS OVERVIEW (CONT'D)

(iv) Illustration

An illustration of our New Sendayan HQ is as follows:



(v) Indicative Timeline

The indicative timeline for the construction of our New Sendayan HQ is set out below:

Timeline	Description
Q3 2025	• Commencement of land clearance and earthworks
Q2 2026	• Commencement of building works
Q3 2027	• Completion of construction
Q1 2028	• Purchase of machinery and equipment
Q2 2028	• CCC and other relevant approvals obtained
	• Completion of interior fit-out
Q3 2028	• Relocation and commencement of operations

Our Group has obtained the requisite approval from Majlis Bandaraya Seremban on 19 September 2024 for the commencement of the construction. Our Group has commenced the land clearance and earthworks in 3rd quarter of 2025 using in-house

7. BUSINESS OVERVIEW (CONT'D)

labour and machinery. Further, our Group has commenced the building works for the construction of the office building, warehouse and workshop in the 2nd quarter of 2026 carried out via our appointed subcontractors. As at LPD, we have incurred approximately RM0.58 million by utilising our internally generated funds, of which RM0.16 million has been capitalised under property, plant and equipment in FYE 2026.

(vi) Estimated Construction Cost

The total cost of constructing the New Sendayan HQ and the source of funding is set out below:

Details	RM'000
Total construction cost	(1)8,000
To be funded via (in order of priority):	
(i) Internally generated funds	320
(ii) IPO proceeds (2)	4,000
(iii) Bank borrowings (3)	3,680
Total	8,000

Notes:

(1) The breakdown for total construction cost is set out below:

	Estimated cost
	RM'000
Preliminary works	214
Piling works	522
Construction of building	4,403
Road, carpark, drainage and fencing works	1,419
Mechanical and electrical works	764
Ancillary buildings	67
Professional fees	523
Contingencies	88
Total	8,000

(2) In the event the Listing is delayed, we will fund the remaining RM4.00 million via internally generated funds.

(3) The bank borrowings has been secured from a local financial institution as at the LPD.

As at the LPD, RM0.58 million has been incurred for the construction of New Sendayan HQ and was funded via internally generated funds. We expect to incur a relocation cost of RM0.20 million which will be funded through internally generated funds.

7.7.2 Expansion of our market presence in East Malaysia through the setting up of a new office and workshop in Sarawak ("New Sarawak Office")

During the Financial Years Under Review, revenue from East Malaysia contributed 37.6%, 61.8%, 29.4% and 27.0% respectively. Further, as at the LPD, we have several sizable projects located in East Malaysia and we had continued to submit tenders for projects located in East Malaysia. We expect our operations in Sarawak to continue to contribute significantly to our future growth.

7. BUSINESS OVERVIEW (CONT'D)

As at the LPD, we rented a warehouse in Bintulu, Sarawak. Our Bintulu warehouse is a 2-storey semi-detached light industrial building which has a built-up area of approximately 2,123 sq ft. It is used to store materials, machinery and equipment, tools and consumables, as well as to carry out in-house maintenance works on our machinery and equipment in our Bintulu warehouse. The space available at our Bintulu warehouse is limited, which restricts our ability to carry out fabrication works for pipe spools and pipe structures. We currently utilised approximately 80.0% of available warehouse area. As we do not intend to purchase any new machinery and equipment for our Bintulu warehouse prior to the establishment of our New Sarawak Office, the space available at our Bintulu warehouse is sufficient for our current operational needs.

In order for us to secure more sizable projects in East Malaysia, we will require a larger warehouse and also a workshop which will enable us to undertake fabrication activities for pipe spools and pipe structures. Further, with a larger space, we will also be able to fabricate larger pipe spools (up to 12 meters), as well as provide us a larger storage area for our materials, machinery and equipment, and tools and consumables.

We plan to commence fabrication activities at our New Sarawak Office, as well as relocate the storage of some of our materials, machinery and equipment, and tools and consumables from the Bintulu warehouse to the New Sarawak Office. The relocation cost will be minimal and will be funded via internally generated funds. Further, we plan to purchase new machinery for our New Sarawak Office, namely cold cutting and bevelling machine, and digital radiographic testing machine in which further details are as set out in Section 7.7.3 below.

We have identified an existing workshop located at Jalan Tanjung Kidurong, Bintulu, Sarawak. The New Sarawak Office will be rented from third party and will have a built-up area of at least 8,000 sq ft, which represents an increase in built-up area of at least 276.8% from our current Bintulu warehouse. We expect to commence the rental of New Sarawak Office in the fourth quarter of 2026. Upon relocation, we will continue the rental of our Bintulu warehouse to store materials, machinery and equipment, as well as tools and consumables for our NDT services as we continue to increase the range of our NDT service offerings to customers in East Malaysia.

We have allocated RM2.07 million of the proceeds from our Public Issue to fund the establishment of New Sarawak Office within the next 61 months upon Listing which will include rental, renovation expenses, purchase of office equipment as well as manpower recruitment. The timeline of 61 months is intended to cover the payment of rental over a period of 60 months, as well as payment of salaries for manpower recruitment over a period of 24 months. We plan to commence the rental of the New Sarawak Office within 1 month after the Listing and thereafter commence its operations after completion of minor renovations (i.e. estimated to be within Q4 of 2026).

Additional details of this utilisation is set out in Section 4.10 Note (1)(ii) of this Prospectus. Kindly also refer to Section 7.7.3 and Section 4.10 Note (2) of this Prospectus for details of the machinery and equipment to be purchased for the New Sarawak office.

7.7.3 Machinery and equipment to support our capabilities for provision of mechanical engineering services

We intend to purchase new machinery and equipment for our New Sendayan HQ and New Sarawak Office to support future mechanical engineering projects, as well as for our Pasir Gudang warehouse to drive the continued expansion of our service offerings, as follows:

7. BUSINESS OVERVIEW (CONT'D)

Machinery/ equipment	Location	Description	No. units	Estimated cost per unit (RM'000)	Total estimated cost (RM'000)	Estimated purchase timeline
60 tonne mobile crane	New Sendayan HQ	A heavy machinery used to lift and position pipe spools and structures, mechanical units and rotating equipment during installation process at project site. This is a new equipment that we intend to purchase and is expected to reduce our reliance on the services of third party service providers. This equipment will be stationed at our New Sendayan HQ. Our Company currently rents mobile cranes as and when required for our operation.	1	858	858	By 1 st quarter of 2028
Phased array ultrasonic testing machine	Pasir Gudang warehouse	A machine that will be used to provide our NDT services. It uses multiple ultrasonic elements and electronic time delays to steer and focus sound beams without moving the probe, to detect flaws, measure thickness, and evaluate material properties in welds, metals and composites. This will add on to our existing machine in Pasir Gudang warehouse, allowing us to secure more order request for such NDT services. Our Company currently owns 1 unit of phased array ultrasonic testing machine.	1	773	773	By 1 st quarter of 2027
Cold cutting and bevelling machine	New Sarawak Office	A machine used for on-site cutting of pipes during maintenance works. This will be a new machine for our New Sarawak Office, allowing us to secure order request for such services in East Malaysia. Our Company currently subcontracts the cold cutting and bevelling works to third parties as and when required for our operation.	1	319	319	By 2 nd quarter of 2027
Digital radiographic testing machine	New Sarawak Office	A machine that will be used to provide our NDT services. The machine uses digital imaging technology to inspect the internal structure of materials such as welds, castings and components. It replaces traditional film-based radiography with digital detectors, offering faster, safer and more efficient inspections. This will be a	2	299	598	By 4 th quarter of 2027

7. BUSINESS OVERVIEW (CONT'D)

Machinery/ equipment	Location	Description	No. units	Estimated cost per unit (RM'000)	Total estimated cost (RM'000)	Estimated purchase timeline
		new machine for our New Sarawak Office, allowing us to secure order request for such NDT services in East Malaysia. Our Company currently owns an older version of radiographic testing machine which is a traditional film-based radiography. We intend to replace this machine with a newer version of machine utilising digital imaging technology.				
High bed trailer	New Sendayan HQ	A vehicle used for the transportation of pipe spools and structures, and machinery. This is a new equipment that we intend to purchase and is expected to reduce our reliance on the services of third party service providers. This equipment will be stationed at our New Sendayan HQ. Our Company currently rents the high bed trailer as and when required for our operation.	1	503	503	By 1 st quarter of 2028
Low loader trailer	New Sendayan HQ	A vehicle used for the transportation of mechanical unit, rotating equipment and machinery. This is a new equipment that we intend to purchase and is expected to reduce our reliance on the services of third party service providers. This equipment will be stationed at our New Sendayan HQ. Our Company currently rents the low loader trailer as and when required for our operation.	1	566	566	By 1 st quarter of 2028
Gamma projector and accessories	Pasir Gudang warehouse	Wear and tear consumables for replacement for our digital radiographic testing machine and industrial radiograph testing machine. These wear and tear consumables will be stored at our Pasir Gudang warehouse. Our Company currently owns 1 unit of gamma projector and accessories.	4	97	388	By 4 th quarter of 2026
Total					4,005	

The purchase of these new machinery and equipment will add on to our existing list of machinery and equipment, allowing us to further expand our service offering and/or reduce our reliance on the services of third party service providers.

7. BUSINESS OVERVIEW (CONT'D)

We intend to allocate RM4.00 million from our proceeds from the Public Issue, to fund the purchase of these machinery and equipment which is to be utilised within 24 months from the date of the Listing.

7.8 SALES AND MARKETING STRATEGIES

(i) Network of contractors

Our Group adopts the strategy of working with a network of contractors (i.e. our customers) to enhance our Group's catchment and extend our market outreach through establishing our market presence among contractors whom we work with on existing and past projects. Our frequent visitations and provision of technical advice throughout the project process creates trust in the contractors to use our services.

By working closely with contractors, we are able to leverage on their extensive customer base to market and sell our services. We believe that by establishing our technical capabilities and building strong business relationships with contractors, it provides us with opportunities to secure repeat orders, ensuring a mutually beneficial business relationship that supports the continued growth of our business.

(ii) Direct approach and industry networking

We secure new customers through direct approach with potential customers comprising industrial end-users and contractors, by promoting our expertise and service offerings. Our sales and marketing team also follows up closely with our existing customers to identify opportunities to secure further sales.

Our track record in providing piping system engineering and related specialised services has brought in referrals and enquiries from potential customers through recommendations by our customers and business networks. We engage with these referred customers regularly to promote our expertise and service offerings, as we believe that consistently building business relationships with potential customers is crucial in contributing to our Group's future growth.

(iii) Participation in tenders and quotations

Our Group participates in tenders and quotations to secure sales. By taking part in tender and quotation processes, we are also able to showcase our technical expertise, project experience, and ability to deliver services. In addition, it also aids in increasing our visibility in the industry and building our Group's reputation as a reliable service provider.

Moreover, the process of preparing a tender submission requires our Group to thoroughly analyse project requirements, accurately estimate costs, and plan resources effectively, therefore contributing to improved internal processes and project management discipline. This allows our Group to gain valuable feedback and insights into customer's expectations and industry trends, which can be used to continuously improve future proposals. With this, our Group believes that we will be able to continuously enhance our sales and marketing activities, thus increasing our competitiveness when tendering for projects.

(iv) Corporate website

We have established our corporate website at www.pioneerheatholdings.com that provides comprehensive information regarding our Group. The website also details information regarding our services offerings. Any enquiries from potential customers received through our corporate website are channelled to our sales and marketing team and attended to accordingly. The current widespread use of the internet as a source of information enables us to cross geographical boundaries and enhance our potential market reach and exposure through our corporate website.

7. BUSINESS OVERVIEW (CONT'D)

7.9 TECHNOLOGY USED

Our Group uses the following technologies in our operations:

(i) Engineering software

Our Group utilises various types of software for our weld mapping to indicate the cut lengths, weld details, valve and instruments locations, spool identifications, support types and spacing, where necessary, for the piping system. We utilise 3D modelling and design software to model the layout of pipe routes in the piping system according to project requirements, to facilitate the identification and generation of material lists, engineering design drawings and construction deliverables. In addition, we also utilise 2D drafting and detailing software to model the general arrangement and layout of piping system, to produce detailed fabrication sketches.

(ii) Welding technology

Welding is a fabrication process of joining two pieces of metal by fusing to produce a single piece of metal, with or without the use of filler material. The two pieces of metal are joined by the application of intense heat or pressure or both to melt the edges of the metals so that they are able to fuse to form a permanent joint. Our Group utilises arc welding machine technology which functions in generating the heat required for welding, in our fabrication works.

(iii) Heat treatment technology

Our Group utilises various types of equipment which incorporate technology required for our provision of heat treatment services. We utilise power regulators and furnaces, amongst others, which function in heating and raising the temperature of metal in welded areas, in our pre-heating and post-weld heat treatment services. In addition, we also utilise temperature recorders, environmental test chambers, temperature controllers and thermocouples, amongst others, which function in controlling and monitoring the temperature of metals heated in our pre-heating and post-weld heat treatment processes.

(iv) Flange management technology

Our Group utilises various types of machinery and equipment which incorporate technology required for our provision of flange management services. We utilise flange facing machines which function in machining or grinding flange sealing surfaces to achieve a flat and smooth finish for securing gaskets between sealed joints and preventing leaks. In addition, we also utilise torque wrenches, hydraulic pumps and tensioning equipment, amongst others, in our controlled bolting works.

(v) NDT technology

Our Group utilises various types of equipment which incorporate technology required for our provision of NDT services including, amongst others, X-ray flaw detector, ultrasonic flaw detector and alloy analyser. Please refer to Section 7.2.1.2(iii) for further details on the technology used for the provision of our range of NDT services.

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7. BUSINESS OVERVIEW (CONT'D)

7.10 KEY MACHINERY AND EQUIPMENT

A summary of the key machinery and equipment owned and used by our Group to facilitate our daily business operations are set out as below:

No.	Material machinery	Average economic useful life (years)	FYE(s) of purchase	No. of units	No. of units fully depreciated	Audited NBV as at 31 March 2026
						RM'000
(i)	Power regulators (for provision of heat treatment services)	35	2007, 2016, 2025	31	1	1,933
(ii)	Excavators	13	2023, 2024	3	-	457
(iii)	Flange facing machines (for provision of flange management)	20	2024, 2026	6	-	306
(iv)	Bulldozer	6	2024	1	-	182
(v)	Torque wrenches (for provision of flange management)	5	2017 ⁽¹⁾ , 2024, 2025, 2026	20	1	235
						3,113

Note:

⁽¹⁾ As at the LPD, our Group owns and uses 1 unit of torque wrench which was purchased in 2017 and remains in usable condition. This unit of torque wrench undergoes regular maintenance and serves as a standby unit.

We conduct periodic inspections and maintenance of our machinery and undertake certain repair works when necessary. Our maintenance procedures include oiling, corrosion prevention and cleaning. The machinery that we own are commonly used in the engineering industry and are generally available from the local and overseas market. Machinery which is fully depreciated would have surpassed its useful life. However, although certain machineries are fully depreciated, they can still operate effectively and efficiently. If the machinery is well maintained and can operate efficiently and effectively, it will not be disposed. Fully depreciated machineries are disposed when they cannot operate effectively, or are functionally obsolete.

7. BUSINESS OVERVIEW (CONT'D)**7.11 OPERATING CAPACITIES AND UTILISATION**

The computation of operating capacity and utilisation rate is not applicable to our Group due to the nature of our business as an engineering service provider. Our services, including fabrication works are mainly delivered at fabrication sites and work areas within project sites designated by our customers and we do not operate from fixed facilities with standardised fabrication lines. The headcount of our site operations and fabrication team is managed with flexibility to align with the specific requirements of each project whereby we scale our manpower based on operational needs through the engagement of contract employees.

Further, as our operations are project-based, the deployment of machinery, tools and equipment varies depending on the specific requirements and scope of each project. As such, our resources are mobilised and allocated according to the unique demands of each project, which can differ in terms of duration, complexity and resource intensity. Therefore, computation of operating capacity and utilisation rate by machine/ tool/ equipment capacity is also not applicable to our Group.

7.12 TYPES, SOURCES AND AVAILABILITY OF SUPPLIES

The table below sets out our purchases for the Financial Years Under Review:

Supplies and services	FYE 2023		FYE 2024		FYE 2025		FYE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Subcontractor services ⁽¹⁾	1,286	24.7	2,166	25.2	9,509	58.4	32,600	86.8
Materials, tools and consumables ⁽²⁾	3,305	63.4	5,109	59.4	5,721	35.1	3,821	10.2
Machinery and equipment ⁽³⁾	619	11.9	1,328	15.4	1,059	6.5	1,151	3.0
Total	5,210	100.0	8,603	100.0	16,289	100.0	37,572	100.0

Notes:

- (1) Comprise amongst others, outsourced services, equipment, and related project execution support.
- (2) Comprise amongst others, raw materials, equipment parts, and consumables required for project delivery.
- (3) Comprise amongst others, rental and maintenance of machinery and equipment used in operations.

Our Group has not encountered any disruptions or shortages in the procurement of our supplies and services during the Financial Years Under Review. Further, we did not experience any material price fluctuations in our purchases of supplies and services which adversely impacted our financial performance during the Financial Years Under Review.

7.13 INTERRUPTIONS TO THE BUSINESS AND OPERATIONS

Our Group did not experience any material interruptions to our business during the past 12 months of our operations before the LPD.

7. BUSINESS OVERVIEW (CONT'D)

7.14 R&D

Due to the nature of our business, we do not engage in R&D and thus have not undertaken any R&D activities.

7.15 SEASONALITY AND CYCLICALITY

Generally, there have been no significant seasonality or cyclical patterns in the revenue of our Group during the past financial years.

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7. BUSINESS OVERVIEW (CONT'D)

7.16 MAJOR CUSTOMERS

Our Group's top 5 major customers for the Financial Years Under Review are as follows:

FYE 2023

Major customer	Country of origin	Product sold / Services provided	Length of relationship (Years)⁽¹⁾	Sales (RM'000)	% of our Group's revenue
BMech Engineering Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering	7	5,000	31.2
HQC Engineering Malaysia Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering and specialised services	3	2,929	18.3
GES Klang Terminal Sdn Bhd (formerly known as GPS Klang Terminal Sdn Bhd)	Malaysia	Mechanical engineering services – Piping system engineering and specialised services	1	2,329	14.5
Makeen Energy Malaysia Sdn Bhd (formerly known as Crisplant (M) Sdn Bhd)	Malaysia	Mechanical engineering services – Piping system engineering	<1	1,322	8.2
TD Building Services Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering	<1	903	5.6
Sub-total				12,483	77.8
Total revenue				16,035	100.0

7. BUSINESS OVERVIEW (CONT'D)

FYE 2024

Major customer	Country of origin	Product sold / Services provided	Length of relationship (Years)⁽¹⁾	Sales (RM'000)	% of our Group's revenue
Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd)	Malaysia	Mechanical engineering services – Piping system engineering and specialised services	<1	8,037	25.5
Ilmiah Perdana Sdn Bhd	Malaysia	Construction of industrial and ancillary facilities	<1	6,424	20.4
Bintang Kejora Sdn Bhd	Malaysia	Construction of industrial and ancillary facilities	<1	5,979	19.0
GES Klang Terminal Sdn Bhd (formerly known as GPS Klang Terminal Sdn Bhd)	Malaysia	Mechanical engineering services – Piping system engineering	2	3,328	10.6
PEC (M) Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering and specialised services	9	2,260	7.2
Sub-total				26,028	82.7
Total revenue				31,468	100.0

7. BUSINESS OVERVIEW (CONT'D)

FYE 2025

Major customer	Country of origin	Product sold / Services provided	Length of relationship (Years)⁽¹⁾	Sales (RM'000)	% of our Group's revenue
Fumiko Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering and specialised services	<1	9,287	21.6
Ilmiah Perdana Sdn Bhd	Malaysia	Construction of industrial and ancillary facilities	1	8,970	20.9
Impak Sensasi Sdn Bhd	Malaysia	Construction of industrial and ancillary facilities	<1	5,421	12.6
Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd)	Malaysia	Mechanical engineering services – Piping system engineering and specialised services	1	5,168	12.0
Equator Engineering Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering and specialised services	9	3,051	7.1
Sub-total				31,897	74.2
Total revenue				42,966	100.0

FYE 2026

Major customer	Country of origin	Product sold / Services provided	Length of relationship (Years)⁽¹⁾	Sales (RM'000)	% of our Group's revenue
Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd)	Malaysia	Mechanical engineering services – Piping system engineering	2	21,622	22.1

7. BUSINESS OVERVIEW (CONT'D)

Major customer	Country of origin	Product sold / Services provided	Length of relationship (Years) ⁽¹⁾	Sales (RM'000)	% of our Group's revenue
Fumiko Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering	1	20,673	21.2
Impak Sensasi Sdn Bhd	Malaysia	Construction of industrial and ancillary facilities	1	16,239	16.6
HQC Engineering Malaysia Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering	6	9,898	10.2
Toyo Kanetsu (Malaysia) Sdn Bhd	Malaysia	Mechanical engineering services – Piping system engineering; and construction of industrial and ancillary facilities	4	9,298	9.5
				Sub-total	79.6
				Total revenue	100.0

Notes:

- (1) Length of business relationship with major customers is determined as at each respective FYE.
- (2) Samsung E&A Malaysia Sdn Bhd is involved in the provision of plant engineering, procurement, construction and commissioning services for industries such as oil and gas, petrochemicals, energy transition, environmental, industrial and bio-related sectors. Fumiko Sdn Bhd is involved in plant construction of plant facilities, piping, equipment maintenance and plant turnaround activities for oil and gas refineries. Ilmiah Perdana Sdn Bhd and Impak Sensasi Sdn Bhd are both involved in the provision of building and civil engineering construction, and mechanical and electrical engineering services.

During the Financial Years Under Review, our top 5 major customers collectively contributed 77.8%, 82.7%, 74.2% and 79.6% to our Group's total revenue respectively. For the FYE 2023, our top 5 major customers comprised customers to whom we provided mechanical engineering services. For the FYE 2024, FYE 2025 and FYE 2026, our top 5 major customers comprised customers to whom we provided mechanical engineering services as well as customers of our civil engineering projects.

7. BUSINESS OVERVIEW (CONT'D)

Our services are typically delivered to customers on a project basis. While we mainly receive purchase orders from our customers based the scope of work required, we may also be awarded contracts by customers from time to time. The value of our services delivered varies from project-to-project and is dependent on factors such as type of services required and project duration. The value and number of projects secured from each of our top 5 major customers vary from year-to-year.

However, collectively, Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd) and Ilmiah Perdana Sdn Bhd contributed 45.9% of our Group's revenue in FYE 2024; Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd contributed 54.5% of our Group's revenue in FYE 2025; and Samsung E&A Malaysia Sdn Bhd and Fumiko Sdn Bhd contributed 43.3% of our Group's revenue in FYE 2026. Further, Samsung E&A Malaysia Sdn Bhd was recorded as one of our top 5 major customers for 3 consecutive FYEs during the Financial Years Under Review, while Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd were each recorded as one of our top 5 major customers for 2 consecutive FYEs during the Financial Years Under Review. With such significant contributions to our Group's revenue, we are dependent on Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd.

As at the LPD, the length of relationship with Samsung E&A Malaysia Sdn Bhd and Ilmiah Perdana Sdn Bhd is 2 years each while the length of relationship with Fumiko Sdn Bhd is 1 year. While we endeavour to secure more projects from Samsung E&A Malaysia Sdn Bhd and Ilmiah Perdana Sdn Bhd, there can be no assurance that we will be able to successfully do so. As at the LPD, we do not have growing order book of projects with Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd beyond the projects on hand. Whereas for Samsung E&A Malaysia Sdn Bhd, we had secured a new project which commenced work in February 2026 and is expected to complete in March 2027. This demonstrates our continued effort to maintain business relationship and secure more projects from Samsung E&A Malaysia Sdn Bhd. In addition, as demonstrated in FYE 2024, FYE 2025 and FYE 2026, we successfully secured projects from new customers as well as other major customers and our total revenue continued to grow year on year. Notwithstanding that, we intend to continue building good working relationship with Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd based on our ongoing projects and current track record with these customers. As we continue to deliver quality services and complete our work in a timely manner for existing projects, our Group believes that maintaining reliable service standards will enhance their confidence in our capabilities and support the likelihood of them continuing to engage our services in the future.

Based on the above, our Board is of the view that there are no concerns in relation to the Group's dependency on Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd.

7. BUSINESS OVERVIEW (CONT'D)

7.17 MAJOR SUPPLIERS

Our Group's top 5 major suppliers for the Financial Years Under Review are as follows:

FYE 2023

Major suppliers	Supplier/ subcontractor	Country of origin	Products and/or services sourced	Length of relationship (Years)⁽¹⁾	Purchases (RM'000)	% of our Group's purchases
Insafoam Insulation (Malaysia) Sdn Bhd	Supplier	Malaysia	Materials	<1	1,404	26.9
Tag Team Engineering Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Fabrication of process column	<1	447	8.6
J.A.C. Enterprise	Subcontractor	Malaysia	Subcontractor services – Earthworks (soil site clearing and excavation work)	<1	203	3.9
Pantech Corporation Sdn Bhd	Supplier	Malaysia	Materials	<1	192	3.7
Zumi Technology Sdn Bhd	Supplier	Malaysia	Materials and consumables	<1	165	3.2
Sub-total					2,411	46.3
Total purchases					5,210	100.0

7. BUSINESS OVERVIEW (CONT'D)

FYE 2024

Major suppliers	Supplier/ subcontractor	Country of origin	Products and/or services sourced	Length of relationship (Years)⁽¹⁾	Purchases (RM'000)	% of our Group's purchases
Tag Team Engineering Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Fabrication of process column	1	770	8.9
Ecodana Enterprise	Supplier	Malaysia	Materials	<1	730	8.5
Sejati Konkrit Sdn Bhd	Supplier	Malaysia	Materials	<1	684	8.0
Supergain Trading	Supplier	Malaysia	Materials and rental of machinery equipment	1	673	7.8
Enerv Management Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Engineering consultation services	<1	531	6.2
Sub-total					3,388	39.4
Total purchases					8,603	100.0

7. BUSINESS OVERVIEW (CONT'D)

FYE 2025

Major suppliers	Supplier/ subcontractor	Country of origin	Products and/or services sourced	Length of relationship (Years) ⁽¹⁾	Purchases (RM'000)	% of our Group's purchases
Yong Yek Engineering Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Supply and installation of steel structure for roofing	<1	1,830	11.2
KS Pelangi Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Construction works	1	1,828	11.2
East Malaysia Anchorage Services Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Fabrication of pipe	<1	909	5.6
Tekun Concrete (M) Sdn Bhd	Supplier	Malaysia	Materials	2	811	5.0
Cassia Wangsa Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Road works	<1	763	4.7
				Sub-total	6,141	37.7
				Total purchases	16,289	100.0

FYE 2026

Major suppliers	Supplier/ subcontractor	Country of origin	Products and/or services sourced	Length of relationship (Years) ⁽¹⁾	Purchases (RM'000)	% of our Group's purchases
IEM Dynamic Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Electrical and instrumentation works	1	11,436	30.4
KS Pelangi Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Construction works	2	5,087	13.5
Cassia Wangsa Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Road works	1	2,326	6.2

7. BUSINESS OVERVIEW (CONT'D)

Major suppliers	Supplier/ subcontractor	Country of origin	Products and/or services sourced	Length of relationship (Years)⁽¹⁾	Purchases (RM'000)	% of our Group's purchases
Translift Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Installation of mechanical units	2	2,313	6.2
Yong Yek Engineering Sdn Bhd	Subcontractor	Malaysia	Subcontractor services – Supply and installation of steel structure for roofing	1	2,134	5.7
					Sub-total	23,296
					Total purchases	100.0

Note:

⁽¹⁾ Length of business relationship with major suppliers is determined as at each respective FYE.

During the Financial Years Under Review, our top 5 major suppliers collectively contributed 46.3%, 39.4%, 37.7% and 62.0% to our Group's total purchases respectively. Our top supplier for FYE 2023 was Insafoam Insulation (Malaysia) Sdn Bhd, which contributed 26.9% to our Group's total purchases. Our top supplier for FYE 2024 was Tag Team Engineering Sdn Bhd, which contributed 8.9% to our Group's total purchases. Our top suppliers for FYE 2025 were Yong Yek Engineering Sdn Bhd and KS Pelangi Sdn Bhd, which contributed 22.4% to our Group's total purchases. Our top supplier for FYE 2026 was IEM Dynamic Sdn Bhd, which contributed 30.4% to our Group's total purchases.

We take into consideration transportation costs when sourcing our supplies and services and as such, we generally source supplies and services from suppliers and subcontractors that are located in closer proximity to our project location. Further, our sourcing of supplies and services are based on project needs which may vary from project-to-project and from year-to-year. In addition, our supplies and services are common items that can be easily sourced from other suppliers and subcontractors locally. Hence, we are not dependent on any one of our major suppliers. During the Financial Years Under Review, our Group had a total of 127, 169, 185 and 213 suppliers as well as 27, 22, 29 and 62 subcontractors, respectively. The significant increase in the number of subcontractors from FYE 2025 to FYE 2026 was due to changes in project resource requirements as existing projects progressed, as well as the need for new subcontractors located in closer proximity to new project locations in line with the commencement of new projects. Collectively, the increase in the number of subcontractors engaged in FYE 2026 was in line with the increase in our Group's revenue.

7. BUSINESS OVERVIEW (CONT'D)**7.18 EMPLOYEES**

As at FYE 2026, we have a total workforce of 87 full-time permanent employees and 430 employees on a contract basis. As at the LPD, we have a total workforce of 85 full-time permanent employees and 279 employees on a contract basis. We did not have any foreign employees in our workforce as at FYE 2026 and as at the LPD. The breakdown of our employees by department is as follows:

Department	Number of employees at FYE 2026		Number of employees as at the LPD	
	Local		Local	
	Permanent	Contract	Permanent	Contract
Executive Directors	2	-	2	-
Directors of our subsidiaries	(2)5	-	(2)5	-
Key senior management	(1)1	-	(1)1	-
Administration, human resource, finance, accounting and procurement	11	-	11	-
Sales and marketing	2	-	2	-
Site administration, operations and fabrication	(3)66	430	(3)64	279
Total	87	430	85	279

Notes:

- (1) Consist of Tee Shi Ying (our Financial Controller). Goh Siew Lin (our Chief Operating Officer) is one of the directors of our subsidiaries. He is the director of BESB and PHTSB.
- (2) Includes our co-founders Wong Hing Chong and Wong Hing Kok, who are our Promoters and substantial shareholders. Wong Hing Chong is the director of BESB and PHTSB as well as Project Manager in PHTSB, where he oversees project implementation. Wong Hing Kok is the director of BESB and PHTSB as well as Project Manager in PHTSB, where he oversees project implementation.
- (3) Includes our co-founder Wong Heng Chong, who is a Promoter and substantial shareholder of our Group. He is a Warehouse Manager at PHTSB, where he is responsible for managing warehouse operations, including inventory control and logistics.

As at FYE 2026, we have a total workforce of 272 employees located in West Malaysia, with the remaining 245 employees being located in East Malaysia. As at the LPD, we have a total workforce of 200 employees located in West Malaysia, with the remaining 164 employees being located in East Malaysia. The breakdown of our employees by geographical location is as follows:

7. BUSINESS OVERVIEW (CONT'D)

Geographical location	Number of employees at FYE 2026		Number of employees as at the LPD	
	Local		Local	
	Permanent	Contract	Permanent	Contract
West Malaysia	75	197	74	126
East Malaysia	12	233	11	153
Total	87	430	85	279

The significant decrease in the number of contract employees from FYE 2026 to the LPD is due to reduced labour requirements for our site administration, operations and fabrication department in line with changing project needs as projects progressed.

None of our Group's employees, whether permanent or contractual, belong to any labour union. For the Financial Years Under Review and up to the LPD, we have not experienced any strikes or other disruptions to our operations due to labour disputes. In addition, our Group's management has had and expects to continue their good working relationships with our employees.

We rely on the technical knowledge and skills of our skilled workers such as engineers, certified welders, skilled installers and technicians to carry out our mechanical engineering services. As at the LPD, amongst our employees, 252 are skilled workers (i.e. 6 engineers, 44 certified welders, 149 skilled installers and 53 technicians). We are also dependent on contract employees for our site administrative, operations and fabrication activities. As at the LPD, of the 343 employees in our site administrative, operations and fabrication department, contract employees account for 279 employees or 81.3% of the department. The contract duration for our contract employees ranges from 1 to 2 years.

The use of skilled workers and contract employees for projects within the petrochemicals and oil and gas industries is a common practice. This practice allows industry players to hire contract employees (including skilled workers) with the required skill set to carry out specific project deliverables which is different in each project. It further allows industry players to match the skilled workers and contract employees' contract duration to the project duration.

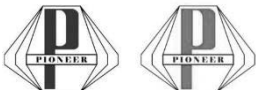
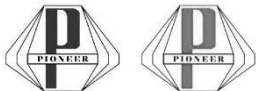
Notwithstanding the above, in the event of shortage of in-house labour, comprising skilled workers and contract employees, we may utilise subcontractors to complete our projects. The engagement of subcontractors may be necessitated by time constraint and the availability of skilled labour. However, the use of subcontractors will generally yield a lower GP margin as compared to the use of in-house labour. Save for FYE 2025 (as disclosed in Section 9.2.2), our Group did not face any shortage of in-house labour, comprising skilled workers and contract workers. Kindly refer to Section 9.2.2 for further details on this dependency.

Based on the above, our Board is of the view that while our Group is dependent on our skilled workers and contract employees, such practice is within the industry norm and does not affect our Group's ability to perform our obligations to our customers, while maintaining our profitability.

We have put in place a management succession plan to identify key competencies and requirements of managers and higher-ranking personnel, to take positive approach towards addressing talent management to ensure our Group has readily available talent to undertake leadership positions and to frequently train our middle management to ensure they are well equipped with all the necessary knowledge to succeed at senior management positions in the future in our Group.

7. BUSINESS OVERVIEW (CONT'D)**7.19 INTELLECTUAL PROPERTIES**

Save for the trademarks disclosed below, we have not registered any brand names, patents, industrial design or other intellectual property rights:

No.	Company	Trademark / Class No.	Governing / Issuing Authority	Trademark Number / Application Number	Status / Validity Period
(i)	Pioneer	Class 37 	Intellectual Property Corporation of Malaysia ("MyIPO")	<u>Trademark Number</u> TM2025022890	<u>Status</u> Provisional Refusal (Objected) ⁽¹⁾ <u>Validity Period</u> Nil
(ii)	Pioneer	Class 35 	MyIPO	<u>Trademark Number</u> TM2025022889	<u>Status</u> Provisional Refusal (Objected) ⁽¹⁾ <u>Validity Period</u> Nil
(iii)	PHTSB	Class 37 	MyIPO	<u>Trademark Number</u> TM2025022888	<u>Status</u> Provisional Refusal (Objected) ⁽²⁾ <u>Validity Period</u> Nil
(iv)	BESB	Class 37 	MyIPO	<u>Trademark Number</u> TM2025022887	<u>Status</u> Provisional Refusal (Objected) ⁽³⁾ <u>Validity Period</u> Nil

Notes:

- (1) These applications were provisionally refused by MyIPO on the ground that the trademarks were considered closely similar to earlier registered trademarks in respect of similar goods and/or services. Appeal against the provisional refusals were submitted on 27 February 2026, and the outcome of our applications are expected to be known not earlier than 6 months from the date of our submission of the appeals.
- (2) The application was provisionally refused by MyIPO on the ground that the trademark was considered insufficiently distinctive, as it consisted of letters that were not presented in a special manner and did not possess any unique distinguishing features. Appeal against the provisional refusal was submitted on 25 February 2026, and the outcome of our application is expected to be known not earlier than 6 months from the date of our submission of the appeal.
- (3) The application was provisionally refused by MyIPO on the ground that the trademark was considered closely similar to earlier registered trademarks in respect of similar goods and/or services. Appeal against the provisional refusal was submitted on 10 February 2026, and the outcome of our application is expected to be known not earlier than 6 months from the date of our submission of the appeal.

Our Group does not expect to be materially impacted if the trademarks above are not approved as our Group's business and profitability are not dependent on the aforesaid trademarks. In the event the trademarks are not approved, our Group will still be entitled as proprietor of the unregistered trademarks to continue using them in the ordinary course of our Group's business.

7. BUSINESS OVERVIEW (CONT'D)

7.20 GOVERNING LAWS AND REGULATIONS

The relevant laws and regulations governing our Group which are material to our operations are summarised below.

(i) Construction Industry Development Board Act 1994 ("CIDBA 1994")

The CIDBA 1994 governs the establishment of Construction Industry Development Board ("**CIDB**") and to provide for its function relating to the construction industry and all matters in connection therewith.

Section 25(1) of the CIDBA 1994 provides that no person shall carry out or complete, undertake to carry out or complete any construction work or hold himself out as a contractor, unless he is registered with CIDB and holds a valid certificate of registration issued by CIDB. Any person who fails to comply with Section 25(1) of the CIDBA 1994 shall be guilty of an offence and shall, on conviction be liable to a fine of not less than RM10,000.00 but not more than RM100,000.00.

Section 34B of the CIDBA 1994 provides that a contractor undertaking any construction works shall, among others, notify and submit to CIDB any information and documents, including any supporting documents relating to the construction works, whether new or otherwise, in accordance with the CIDBA 1994. If the CIDB is of the opinion that a contractor has breached any of his duties under Section 34(B) of the CIDBA 1994, the CIDB may impose a penalty not exceeding RM500,000.00.

Section 33D provides that a person shall not deal or undertake to deal, whether directly or indirectly, with the construction materials specified in the CIDBA 1994 unless the construction materials have been certified by CIDB. Any person who deals or undertakes to deal with the construction materials specified in the CIDBA 1994 without the certification of the CIDB shall be guilty of an offence and shall, on conviction, be liable to a fine of not less than RM10,000.00 but not more than RM500,000.00.

Section 8 of the Registration of Contractors (Construction Industry) Regulations 1995 ("**CIDB Regulations**"), a regulation made under CIDBA 1994 provides that every registered contractor shall be capable of carrying out construction works according to the grade of registration specified in the certificate of registration; and the grade of registration determines the value of construction works which a registered contractor is capable of carrying out and the various grades are as illustrated in the table below. Any person who by any act or omission contravenes any provision of the regulation made under CIDBA 1994 shall be guilty of an offence and where no penalty is expressly provided shall, on conviction, be liable to a fine not exceeding RM5,000.00.

Grade	Scope of certification
G1	Participation in tenders for projects with a contract value of up to RM200,000.00
G2	Participation in tenders for projects with a contract value of up to RM500,000.00
G3	Participation in tenders for projects with a contract value of up to RM1.00 million
G4	Participation in tenders for projects with a contract value of up to RM3.00 million
G5	Participation in tenders for projects with a contract value of up to RM5.00 million
G6	Participation in tenders for projects with a contract value of up to RM10.00 million
G7	Participation in tenders for projects with a contract value of any amount, without any maximum limit

7. BUSINESS OVERVIEW (CONT'D)

There have been past instances of non-compliances by our Group under the CIDB Regulations and the CIDBA 1994 as follows:

- (a) Carrying out construction works exceeding the value permitted under the grading stated in its certificate of registration. From 30 August 2023 to 26 July 2025, PHCDSB was registered as a G5 contractor, which allows the undertaking of construction works up to a maximum value of RM5.00 million. PHCDSB had clarified to CIDB that it had tendered for several scopes of work for the same project in Muar, Johor ("**Project Muar**") under different contracts, each with a value not exceeding RM5.00 million. Due to a lack of familiarity with the CIDBA 1994 and CIDB Regulations, PHCDSB did not upgrade its contractor registration and was under the mistaken impression that it could rely on individual tender limits, even though it was ultimately awarded a single contract for Project Muar amounting to approximately RM20.00 million. A compound of RM2,500.00 was issued ("**Compound 1**").
- (b) From 31 May 2024 to 17 July 2025, there were improper usage of construction materials for the relevant function where A-Frame Scaffolds had been used for shoring and/or back-propping works in Project Muar. A written warning was issued.
- (c) From 3 July 2023 to 12 November 2025, PHCDSB had failed to notify and submit the award of a Project Muar to CIDB due to a lack of familiarity with the requirements under the CIDBA 1994 and CIDB Regulations. A compound of RM2,500.00 was issued ("**Compound 2**").
- (d) BESB and PHTSB had also failed to notify and submit certain construction works to CIDB as required under Section 34B of the CIDBA 1994 due to lack of familiarity with the requirements under the CIDBA 1994. No compound has been issued.

As at the LPD, (i) PHCDSB has fully settled Compound 1 on 19 August 2025 and it has registered with CIDB as a G7 contractor with CIDB since 27 July 2025; (ii) PHCDSB has ceased to use A-Frame Scaffolds for Project Muar since 17 July 2025; and (iii) PHCDSB has fully settled Compound 2 on 24 September 2025 and made the notification and submission in respect of Project Muar to CIDB on 12 November 2025.

As at the LPD, BESB, PHCDSB and PHTSB have made all the necessary notifications and submissions for all its projects to CIDB.

Save for the fines (which has been settled) and warning imposed on PHCDSB, as at the LPD, no fines or penalties have been imposed on the other subsidiaries within our Group in relation to these instances of non-compliance, and there have been no incidents that have resulted in any material adverse impact on our Group's business operations or financial condition. Since the past non-compliances have been rectified, they are not expected to result in any retrospective penalties nor have a significant impact to our Group.

To mitigate the risk of recurrence, our Group has incorporated the monitoring and declaration of construction contracts to CIDB into our internal control framework to ensure ongoing compliance with the CIDBA 1994 and CIDB Regulations, where the Group's administration department will:

- (a) oversee contract declaration requirements, ensuring submissions are made within 14 days of contract award or 14 days prior to work commencement, whichever earlier;

7. BUSINESS OVERVIEW (CONT'D)

- (b) verify CIDB registrations and monitoring all contract values against approved grade limits for all subsidiaries;
- (c) monitor the use of construction material in accordance with CIDB requirement; and
- (d) maintain an updated register of contractor grades and awarded contract value to support ongoing monitoring and control.

Based on the above, our Board is of the view that the past non-compliance will not have a material adverse impact on our Group's business operations and financial performance.

Malacca Securities is also of the view that the above non-compliance has been satisfactorily resolved by the Group and the past non-compliance are not detrimental to the business operations and financial performance of the Group.

(ii) Atomic Energy Licensing Act 1984 ("AELA 1984")

The AELA 1984 governs among others, the licencing of nuclear installation and of activities, dealing in, possessing or disposing of any radioactive material, nuclear material, prescribed substance or irradiating apparatus. Radiation Protection (Licensing) Regulations 1986 ("**Radiation Regulations**") governs among others, the classification of the licences.

Pursuant to the AELA 1984, no person shall deal with radioactive material, nuclear material or radiation generator unless he is the holder of a valid licence issued under the AELA 1984 by the ATOM Malaysia for such purpose as specified in the licence. Pursuant to the Radiation Regulations, licences are classified into Classes A to H based on the nature of the licenced activities.

Pursuant to Section 40 of the AELA 1984, any person who commits an offence under the AELA 1984 shall, on conviction, be liable to imprisonment for a term not exceeding 10 years or to a fine not exceeding RM100,000.00 or to both. Where an offence under the AELA 1984 is committed by a body corporate, every person who at the time of the commission of the offence was a director or officer of that body corporate shall be guilty of that offence, unless such person proves that he has exercised all due diligence and took all reasonable precautions to prevent the commission of such offence and that such offence was committed without his knowledge, consent and connivance.

Our subsidiary, PHTSB, has obtained a valid licence (Class A, B, C and D) issued by the Department of Atomic Energy Malaysia (formerly known as the Atomic Energy Licensing Board) ("**ATOM Malaysia**") to purchase, own, transport, handle, use and store irradiating apparatus namely the industrial radiograph machine (Iridium and Uranium rays), which is used to conduct NDT tests. Please refer to Section 7.21(iv) of this Prospectus for further details.

(iii) Occupational Safety and Health Act 1994 ("OSHA 1994") and Occupational Safety and Health (Amendment) Act 2022 ("Amended OSHA")

The OSHA 1994, enforced by the Department of Occupational Safety and Health, Malaysia ("**DOSH**"), provides the framework for securing the safety, health and welfare of persons at work and protecting others against risks to safety and health arising from workplace activities.

7. BUSINESS OVERVIEW (CONT'D)

Pursuant to Section 15 of the OSHA 1994, it shall be the duty of every employer to ensure, so far as is practicable, the safety, health and welfare to work of all his employees. It shall also be the duty of every employer to prepare and as often as may be appropriate revise a written statement of his general policy with respect to the safety and health at work of his employees. Failure to carry out the aforementioned duties shall constitute an offence and the employer shall upon conviction, be liable to a fine not exceeding RM500,000.00 or to imprisonment for a term not exceeding 2 years, or to both.

Section 30 of the OSHA 1994 also requires every employer to establish a safety and health committee at our place of work if there are 40 or more persons employed at the place of work or the Director General of the DOSH directs the establishment of such a committee at the place of work. Failure to do so shall constitute an offence and the employer shall, upon conviction, be liable to a fine not exceeding RM100,000.00 or to imprisonment for a term not exceeding 1 year or to both.

Pursuant to Section 29A(1) of the OSHA 1994 to be read together with the Amended OSHA, which came into effect on 1 June 2024, an employer whose place of work is not prescribed to require a safety and health officer shall appoint one of its employees to act as an occupational safety and health coordinator (“**OSHC**”) if there are 5 or more employees employed at its place of work. An employer who fails to do so commits an offence and shall, on conviction, be liable to a fine not exceeding RM50,000.00 or to imprisonment for a term not exceeding 6 months, or to both.

From 1 June 2024 to 7 August 2025, our Group was not in compliance with Section 29A(1) of the OSHA 1994 as we had not appointed an OSHC for our places of work despite employing more than 5 employees. This non-compliance arose due to a lack of awareness regarding the enforcement of the Amended OSHA, which came into effect in June 2024. Our Group took steps to regularise the non-compliance by arranging for 6 employees to attend the requisite OSHC training programme. As at the LPD, they have completed the required training and have each been certified as a trained OSHC.

To mitigate the risk of recurrence, our Group has incorporated the monitoring of workplace safety and health matters as part of our internal control framework to ensure compliance with the OSHA 1994 and Amended OSHA, which include:

- (a) our Group's occupational safety and health framework is structured to align with OSHA 1994 and OSH (Amendment) Act; and
- (b) Safety and Health Committee and human resources department will be having more regular site inspections, safety briefings, incident reporting and periodic compliance reviews.

As at the LPD, DOSH has been made aware of the previous non-compliance and there have been no notices, fines or penalties imposed on our Group in relation to the previous non-compliance. Therefore, our Board is of the view that the past non-compliance will not have a material adverse impact on our Group's business operations and financial performance, after considering (i) our Group has appointed the required OSHCs; and (ii) no penalties in relation to such non-compliance has been imposed on our Group to-date.

Based on the above, Malacca Securities is of the view that the above non-compliance has been satisfactorily resolved by the Group and the past non-compliance are not detrimental to the business operations and financial performance of the Group.

7. BUSINESS OVERVIEW (CONT'D)**(iv) Control of Supplies Act 1961 ("CSA 1961")**

The CSA 1961 is the primary legislation in respect of the control and rationing of commodities and supplies. The Control of Supplies Regulations 1974 ("**CS Regulations**") is a regulation made pursuant to the CSA 1961. Pursuant to the CS Regulations, any person who carries on any trade or business and, in the course of such trade or business, uses or consumes any scheduled article shall not possess such scheduled article in quantities exceeding the prescribed limit unless duly authorised. Pursuant to the CSA 1961, any body corporate which commits an offence against the CSA 1961 shall, on conviction, be liable to a fine not exceeding RM2,000,000.00 and, for a second or subsequent offence, to a fine not exceeding RM5,000,000.00.

There have been past instances of non-compliances by our subsidiaries, namely BESB and PHCDSB in relation to the possession of diesel, which is a scheduled article under the CS Regulations, in quantities exceeding the prescribed limit at our client's project sites without a permit issued under the CS Regulations ("**Diesel Permit**"). The details of the non-compliances are as below:

No.	Company	Location	Period of Previous Non-Compliance
1.	PHCDSB	Lot 2370, BT 10, Jalan Bakri, 84200 Muar, Johor (" Premise 1 ")	From 9 October 2023 to 9 October 2025
2.	BESB	No. 19/129, Jalan Gebeng 2/11, Kawasan Perindustrian Gebeng, 26080 Kuantan, Pahang (" Premise 2 ")	From 30 May 2024 to 15 October 2025
3.	PHCDSB	Desa Bina Diri Mersing, Jalan Masjid, Kampung Sawah Dato, 86800 Mersing, Johor (" Premise 3 ")	From 29 July 2024 to 4 November 2025

As at the LPD, the previous non-compliances have been rectified as BESB and PHCDSB have obtained the required Diesel Permits from the Ministry of Domestic Trade and Cost of Living ("**KPDN**") for possession of diesel at Premise 1, Premise 2 and Premise 3 respectively, being the fabrication sites designated by our customers and/or work area within the respective project site. Please refer to Sections 7.21(v), (vi) and (vii) of this Prospectus for further details.

As at the LPD, KPDN has been made aware of the previous non-compliances during the application process of the diesel permits. BESB and PHCDSB have not received any notices, penalties or compounds from the KPDN up to the LPD in relation to their previous non-compliances. Our Board is of the view that the past non-compliance will not have any material adverse impact on our Group's business operations and financial performance, after considering (i) our Group has been able to apply for the Diesel Permit; and (ii) no penalty in relation such non-compliance has been imposed on our Group to-date. Furthermore, to mitigate the risk of recurrence, our Group has incorporated the requirement relating to Diesel Permit applications and renewals into our internal control framework to ensure compliance with the CSA 1961 and CS Regulations, which include:

- (a) our administration department, in coordination with Project Managers will oversee the permit applications and renewals processes and monitors to ensure permits are obtained prior to commencement of projects and remain valid throughout the project duration; and
- (b) controls are in place to verify permitted quantities, usage purposes, and validity periods, with periodic reviews conducted to ensure continued compliance with statutory requirements.

7. BUSINESS OVERVIEW (CONT'D)

Based on the above, Malacca Securities is of the view that the above non-compliance has been satisfactorily resolved by the Group and the past non-compliance are not detrimental to the business operations and financial performance of the Group.

(v) Other ancillary laws and regulations

Our Group is also subject to other ancillary laws and regulations which include, amongst others, the following:

- (i) the Standards of Malaysia Act 1996 in relation to product quality, safety and accreditation requirements;
- (ii) the Street, Drainage and Building Act 1974 in relation to compliance with building, drainage and structural safety requirements;
- (iii) the Local Government Act 1976 in relation to compliance with municipal by-laws, business licencing and premises-related regulatory requirements;
- (iv) the Local Authorities Ordinance 1996 of Sarawak, the Businesses, Professions and Trades Licensing Ordinance of Sarawak and the Local Authorities (Advertisements) By-Laws 2012 of Sarawak in relation to compliance with local authority licencing, operational and advertisement display requirements in Sarawak; and
- (v) the Building Ordinance 1994 of Sarawak in relation to compliance with building, premises and structural safety requirements in Sarawak.

As at the LPD, our Group is in compliance with all the ancillary laws and regulations set out above.

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7. BUSINESS OVERVIEW (CONT'D)

7.21 LICENCES AND PERMITS

Save as disclosed below, there are no other licences and permits which our Group is materially dependent on for our business or profitability as at the LPD:

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
(i)	CIDB	PHTSB	CIDB Registration No.: 0120170420-NS187375 Certificate of Registration (Grade 5 ⁽¹⁾) in respect of the following categories and grades:	Date of Commencement 24 November 2025 Date of Expiry 15 April 2027	- This certificate cannot be transferred. - CIDB reserves the right to revise the registered grade of the company from time to time. - The company shall not participate in any tenders or conduct any construction works after expiry of this certificate. - The company shall not carry out any construction projects that exceed the value permitted under the Company's registered grade and shall not conduct any construction works outside its registered category. - The company shall submit information regarding any construction work or contract within 14 days after the date of award or before the commencement of construction works, whichever is the earlier.⁽⁴⁾	Complied ⁽⁴⁾
			(a) Category B (Building) B04 - Building construction works			
			(b) Category CE (Civil Engineering) CE21 - Civil engineering construction works			
			(c) Category ME (Mechanical and Electrical Engineering) M15 - Mechanical works and related installations			

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
(ii)	CIDB	BESB	CIDB Registration No.: 0120190820-WP030647 Certificate of Registration (Grade 7 ⁽²⁾) in respect of the following categories and grades: (i) Category B (Building) B04 - Building construction works (ii) Category CE (Civil Engineering) CE21 - Civil engineering construction works (iii) Category ME (Mechanical and Electrical Engineering) M15 - Mechanical works and related installations	<u>Date of Commencement</u> 24 May 2024 <u>Date of Expiry</u> 17 August 2027	6. The company shall apply for the renewal of its certificate within a period of 60 days from the expiry date as stipulated in certificate. 7. The company is required to appoint skilled construction workers and site supervisor who is accredited and certified by CIDB. 8. All workers at the construction site are required to have a valid CIDB construction personnel card. 1. This certificate cannot be transferred. 2. CIDB reserves the right to revise the registered grade of the company from time to time. 3. The company shall not participate in any tenders or conduct any construction works after expiry of this certificate. 4. The company shall not carry out any construction projects that exceed the value permitted under the Company's registered grade and shall not conduct any construction works outside its registered category.	Complied ⁽⁴⁾

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
					5. The company shall submit information regarding any construction work or contract within 14 days after the date of award or before the commencement of construction works, whichever is the earlier. ⁽⁴⁾	
					6. The company shall apply for the renewal of its certificate within a period of 60 days from the expiry date as stipulated in certificate.	
					7. The company is required to appoint skilled construction workers and site supervisor who is accredited and certified by CIDB.	
					8. All workers at the construction site are required to have a valid CIDB construction personnel card.	
(iii)	CIDB	PHCDSB	CIDB Registration No.: 0120230828-SL123703 Certificate of Registration (Grade 7 ⁽²⁾) in respect of the following categories and grades: (i) Category B (Building) B04 - Building construction works (ii) Category CE (Civil Engineering) CE21 - Civil engineering construction works	Date of Commencement 27 July 2025 Date of Expiry 28 August 2028	1. This certificate cannot be transferred. 2. CIDB reserves the right to revise the registered grade of the company from time to time. 3. The company shall not participate in any tenders or conduct any construction works after expiry of this certificate.	Complied ⁽⁵⁾

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
			(iii) Category ME (Mechanical and Electrical Engineering)		4. The company shall not carry out any construction projects that exceed the value permitted under the Company's registered grade and shall not conduct any construction works outside its registered category. ⁽⁵⁾	
			M15 - Mechanical works and related installations		5. The company shall submit information regarding any construction work or contract within 14 days after the date of award or before the commencement of construction works, whichever is the earlier. ⁽⁵⁾	
					6. The company shall apply for the renewal of its certificate within a period of 60 days from the expiry date as stipulated in certificate.	
					7. The company is required to appoint skilled construction workers and site supervisor who is accredited and certified by CIDB.	
					8. All workers at the construction site are required to have a valid CIDB construction personnel card.	

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance											
(iv)	ATOM Malaysia	PHTSB	Licence No. LPTA/A/3683 ⁽³⁾	Date of Commencement 15 November 2024	1. The licence holder shall update ATOM Malaysia within 14 days when there are changes to the ownership of the irradiating apparatus.	Complied											
			Licence in respect of Class A, B, C and D to purchase, own, transport, handle, use and store irradiating apparatus.														
			Permit obtained for construction and storage:	Date of Expiry 14 November 2027	2. The licence holder shall ensure that the irradiating apparatus is only handled by the personnel recognised by ATOM Malaysia only.												
			<table><tr><th>No.</th><th>Permit No.</th><th>Particulars</th></tr><tr><td>1.</td><td>AELB/BTP T/148179/2 024</td><td>To construct facility in Pasir Gudang warehouse^{(3)(a)}</td></tr><tr><td>2.</td><td>AELB/GTP T/153842/2 025</td><td>Permanent storage of irradiating apparatus in Pasir Gudang warehouse^{(3)(a)}</td></tr><tr><td>3.</td><td>AELB/BTP S/149086/2 025</td><td>To construct facility in Bintulu warehouse^{(3)(b)}</td></tr><tr><td>4.</td><td>AELB/GTP S/155184/2 025</td><td>Non-permanent storage of irradiating apparatus in Bintulu warehouse^{(3)(b)}</td></tr></table>	No.	Permit No.		Particulars	1.	AELB/BTP T/148179/2 024	To construct facility in Pasir Gudang warehouse ^{(3)(a)}	2.	AELB/GTP T/153842/2 025	Permanent storage of irradiating apparatus in Pasir Gudang warehouse ^{(3)(a)}	3.	AELB/BTP S/149086/2 025	To construct facility in Bintulu warehouse ^{(3)(b)}	4.
No.	Permit No.	Particulars															
1.	AELB/BTP T/148179/2 024	To construct facility in Pasir Gudang warehouse ^{(3)(a)}															
2.	AELB/GTP T/153842/2 025	Permanent storage of irradiating apparatus in Pasir Gudang warehouse ^{(3)(a)}															
3.	AELB/BTP S/149086/2 025	To construct facility in Bintulu warehouse ^{(3)(b)}															
4.	AELB/GTP S/155184/2 025	Non-permanent storage of irradiating apparatus in Bintulu warehouse ^{(3)(b)}															
			4. The licence holder shall notify ATOM Malaysia and any other relevant authorities soonest possible within 24 hours from the date of the radiation incident/accident and shall ensure that the hazard is under control.		4. The licence holder shall notify ATOM Malaysia and any other relevant authorities soonest possible within 24 hours from the date of the radiation incident/accident and shall ensure that the hazard is under control.												
			5. The licence holder shall obtain the prior approval of ATOM Malaysia of any change in the location of the irradiating apparatus.		5. The licence holder shall obtain the prior approval of ATOM Malaysia of any change in the location of the irradiating apparatus.												

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
(v)	KPDN	BESB	Permit No. PBKB/2025/B/C-000461 <u>Type of Controlled Goods</u> Diesel (Euro 5) Non-subsidised <u>Volume of Controlled Goods</u> 3000 Liters <u>Storage Location⁽⁶⁾</u> No. 19/129, Jalan Gebeng 2/11, Kawasan Perindustrian Gebeng, 26080 Kuantan, Pahang	Date of Commencement 15 October 2025 Date of Expiry 14 October 2026	6. The licence holder is forbidden to carry out any modification towards all licenced irradiating apparatus without the prior approval of ATOM Malaysia. 7. The licence issued by ATOM Malaysia is not transferable. The permit holder shall comply with the following conditions: 1. Comply with the description of the scheduled controlled goods specified in this permit. 2. Store the scheduled controlled goods only at the address authorised in this permit. 3. Maintain possession or storage of the scheduled controlled goods not exceeding the quantity permitted under this permit.⁽⁶⁾ 4. Purchase the scheduled controlled goods specified for personal use and not for resale purposes. 5. Maintain a purchase record book containing the supplier's name and address, purchase date, quantity, and price, as well as keep invoices, receipts, or any other purchase documents.	Complied ⁽⁶⁾

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
					6. Label the skid tank used for storing diesel and petrol with the details of the permit holder's name and address, contact number of an officer who can be reached, permit reference number, and type of scheduled controlled goods. 7. This permit is non-transferable. 8. Renewal of the permit must be submitted to the controller of supplies 30 days before its expiration. 9. The scheduled controlled goods purchased and stored shall not be subsidised.	
(vi)	KPDN	PHCDSB	Permit No. PBKKB/2025/B/J-001085 <u>Type of Controlled Goods</u> Diesel (Euro 5) Non-subsidised <u>Volume of Controlled Goods</u> 1000 Liters <u>Storage Location⁽⁶⁾</u> Desa Bina Diri Mersing, Jalan Masjid, Kampung Sawah Dato, 86800 Mersing, Johor	<u>Date of Commencement</u> 4 November 2025 <u>Date of Expiry</u> 3 November 2026	The permit holder shall comply with the following conditions: 1. Comply with the description of the scheduled controlled goods specified in this permit. 2. Store the scheduled controlled goods only at the address authorised in this permit. 3. Maintain possession or storage of the scheduled controlled goods not exceeding the quantity permitted under this permit.⁽⁶⁾	Complied ⁽⁶⁾

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
					4. Purchase the scheduled controlled goods specified for personal use and not for resale purposes.	
					5. Maintain a purchase record book containing the supplier's name and address, purchase date, quantity, and price, as well as keep invoices, receipts, or any other purchase documents.	
					6. Label the skid tank used for storing diesel and petrol with the details of the permit holder's name and address, contact number of an officer who can be reached, permit reference number, and type of scheduled controlled goods.	
					7. This permit is non-transferable.	
					8. Renewal of the permit must be submitted to the controller of supplies 30 days before its expiration.	
					9. The scheduled controlled goods purchased and stored shall not be subsidised.	

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period		Major conditions imposed	Status of compliance
				Date of Commencement	Date of Expiry		
(vii)	KPDN	PHCDSB	Permit No. PBKB/2025/B/J-001049	9 October 2025		The permit holder shall comply with the following conditions: -	Complied ⁽⁶⁾
			<u>Type of Controlled Goods</u> Diesel (Euro 5) Non-subsidised			1. Comply with the description of the scheduled controlled goods specified in this permit.	
			<u>Volume of Controlled Goods</u> 3000 Liters			2. Store the scheduled controlled goods only at the address authorised in this permit.	
			<u>Storage Location⁽⁶⁾</u> Lot 2370, BT 10, Jalan Bakri, 84200 Muar, Johor			3. Maintain possession or storage of the scheduled controlled goods not exceeding the quantity permitted under this permit. ⁽⁶⁾	
						4. Purchase the scheduled controlled goods specified for personal use and not for resale purposes.	
						5. Maintain a purchase record book containing the supplier's name and address, purchase date, quantity, and price, as well as keep invoices, receipts, or any other purchase documents.	
						6. Label the skid tank used for storing diesel and petrol with the details of the permit holder's name and address, contact number of an officer who can be reached, permit reference number, and type of scheduled controlled goods.	

7. BUSINESS OVERVIEW (CONT'D)																						
No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance																
(viii)	Petroleum Sarawak Berhad ("PETROS")	BESB	Vendor Registration Certificate Reference No. P260146	<u>Date of Commencement</u> 24 April 2026	7. This permit is non-transferable.																	
			Eligibility to participate in quotation / tender offers by PETROS group under the following work categories:	<u>Date of Expiry</u> 23 April 2029	8. Renewal of the permit must be submitted to the controller of supplies 30 days before its expiration.																	
					9. The scheduled controlled goods purchased and stored shall not be subsidised.																	
					Application for renewal of Petros Vendor Registration Certificate shall be made at least 30 days before the expiry date.	Noted and to be complied																
			<table><thead><tr><th>Code</th><th>Main Category</th><th>Sub-Category Level 1</th><th>Sub-Category Level 2</th></tr></thead><tbody><tr><td>SF100001</td><td>Process Piping Material</td><td>Insulation Services</td><td>Other</td></tr><tr><td>SN600313</td><td>Corrosion Equipment & Services</td><td>NDT Services</td><td>Radiotracer</td></tr><tr><td>SO300002</td><td>Inspection Operations & Maintenance Services</td><td>Pipeline Maintenance Turnaround & Shutdown</td><td>Onshore Pipeline Inspection & Repair</td></tr></tbody></table>						Code	Main Category	Sub-Category Level 1	Sub-Category Level 2	SF100001	Process Piping Material	Insulation Services	Other	SN600313	Corrosion Equipment & Services	NDT Services	Radiotracer	SO300002	Inspection Operations & Maintenance Services
Code	Main Category	Sub-Category Level 1	Sub-Category Level 2																			
SF100001	Process Piping Material	Insulation Services	Other																			
SN600313	Corrosion Equipment & Services	NDT Services	Radiotracer																			
SO300002	Inspection Operations & Maintenance Services	Pipeline Maintenance Turnaround & Shutdown	Onshore Pipeline Inspection & Repair																			

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit	Validity Period	Major conditions imposed	Status of compliance
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Code	Main Category	Sub-Category				
		Level 1	Level 2			
SO500002	Operations & Maintenance Services and Turnaround & Shutdown	Turnaround / Shutdown	Below 100,000 manhours			
SJ500001	General Equipment	Machining & Fabrication Workshop	In-situ Machining			
SJ200001	General Equipment	Chemical Cleaning	Other			

(ix)	PETROS	PHTSB	Vendor Registration Certificate Reference No. P260197	Date of Commencement 15 June 2026	Application for renewal of PETROS Vendor Registration Certificate shall be made at least 30 days before the expiry date.	Noted and to be complied
			Eligibility to participate in quotation / tender offers by PETROS group under the following work categories:	Date of Expiry 14 June 2029		

Code	Main Category	Sub-Category				
		Level 1	Level 2			
SN600013	Material Corrosion Equipment & Services and Inspection	NDT Services	Radiotracer			
SJ500001	General Equipment	Machining & Fabrication Workshop	In-situ Machining			

7. BUSINESS OVERVIEW (CONT'D)

No.	Issuing Authority	Company	Licence / Reference no. / Description of approval / licence / permit			Validity Period	Major conditions imposed	Status of compliance
			Code	Main Category	Sub-Category Level 1	Sub-Category Level 2		
			SJ400001	General Equipment	Heating, Ventilating & Air Conditioning Services	Other		
			SJ200001	General Equipment	Chemical Cleaning	Other		

Notes:

- (1) Grade 5 indicates that the value of any tender and/or contractual works undertaken by the contractor shall not exceed RM5.00 million.
- (2) Grade 7 indicates that there is no limit on the value of tender and/or contractual works that may be undertaken by the contractor.
- (3) PHTSB has further obtained the required permits from ATOM Malaysia as follows:
 - (a) A permit for construction of storage facility obtained on 19 October 2024 and a permit for storage of irradiating apparatus obtained on 12 June 2025 at our Pasir Gudang warehouse; and
 - (b) A permit for construction of storage facility obtained on 4 March 2025 and a permit for storage of irradiating apparatus obtained on 28 July 2025 at our Bintulu warehouse.
- (4) There have been past instances of non-compliances as the subsidiaries of our Group, namely BESB and PHTSB had failed to notify and submit construction works within stipulated timeline to CIDB. Kindly refer to Section 7.20(i)(d) for additional information.
- (5) There have been past instances of non-compliance by PHCDSB, i.e. (a) carrying out construction works that exceeded the value permitted under its certificate of registration; (b) the improper usage of construction materials; and (c) failure to notify and submit construction works within the stipulated timeline to CIDB. Kindly refer to Sections 7.20(i)(a), (b) and (c) for additional information.
- (6) The skid tanks for diesel storage are located in the fabrication sites designated by our customers and/or work area within the respective project site. There have been past instances of non-compliances by our subsidiaries, namely BESB and PHCDSB in relation to the possession of diesel, which is a scheduled article under the CS Regulations, in quantities exceeding the prescribed limit at our client's project sites without a Diesel Permit. Kindly refer to Section 7.20(iv) for additional information.

7. BUSINESS OVERVIEW (CONT'D)

7.22 MATERIAL PROPERTIES OF OUR GROUP

7.22.1 Properties owned by our Group

Details of the properties owned by our Group as at the LPD are as follows:

No.	Title details / Postal address	Description of property / Existing use / Tenure (if any) / Category of land use	Registered and Beneficial owner	Land area / Built-up area (sq ft)	Date of CCC	Express conditions / Restrictions in interest / Encumbrances	Audited NBV as at 31 March 2026 (RM'000)
(i)	Geran 568994, Lot 212256, Mukim Plentong, Daerah Johor Bahru, Negeri Johor bearing postal address No. 8, Jalan Senangin 5, Taman Pasir Putih, 81700 Pasir Gudang, Johor (Pasir Gudang warehouse)	Description of property Single-storey cluster factory with 2-storey office Existing use Office premises and warehouse Tenure Freehold Category of land use Industry	Pioneer	Land area 7,276 Built-up area 5,185	9 November 2017	(a) This land shall be used for a cluster factory for the purposes of light industry and for such other ancillary or related uses, and shall be constructed in accordance with the plans approved by the relevant local authority. (b) All waste and pollution arising from such activities shall be channelled or disposed of at the locations designated by the relevant authority. (c) All guidelines and conditions imposed and enforced from time to time by the relevant authority shall be complied with.	1,551

Restrictions in interest

Land designated for Bumiputera shall, upon its transfer to any Bumiputera individual or Bumiputera company, not thereafter be sold, leased or otherwise disposed of in any

7. BUSINESS OVERVIEW (CONT'D)

No.	Title details / Postal address	property / Existing use / Tenure (if any) / Category of land use	Registered and Beneficial owner	Land area / Built-up area (sq ft)	Date of CCC	Express conditions / Restrictions in interest / Encumbrances	Audited NBV as at 31 March 2026 (RM'000)
(ii)	H.S.(M) PT Mukim Daerah Seremban, Negeri Sembilan	<u>Description of property</u> A plot of vacant freehold land	PHTSB	<u>Land area</u> 107,155	N/A ⁽²⁾	<u>Express conditions</u> This land shall be used for heavy industry only	4,612
				<u>Built-up area</u> N/A		<u>Restrictions in interest</u> This land shall not be transferred, leased, or mortgaged except with the written consent of the state authority.	
				<u>Tenure</u> <u>Freehold</u>		<u>Encumbrances</u> Charged to Hong Leong Islamic Bank Berhad	
				<u>Category of land use</u> Industry			

7. BUSINESS OVERVIEW (CONT'D)

No.	Title details / Postal address	Description of property / Existing use / Tenure (if any) / Category of land use	Registered owner	Land area / Built-up area (sq ft)	Date of CCC	Express conditions / Restrictions in interest / Encumbrances	Audited NBV as at 31 March 2026 (RM'000)
(iii)	Geran 133108, Lot 53614, Mukim Sitiawan, Daerah	<u>Description of</u> <u>property</u> 3-storey shop office	PHTSB	<u>Land area</u> 1,755	21 May 2014	<u>Express conditions</u> Commercial - shop office	416
	Manjung, Negeri Perak bearing postal address	<u>Existing use</u> Rented to SSZ Waja Resources		<u>Built-up area</u> 5,265		<u>Restrictions in interest</u> N/A	
	No. 113A, Persiaran PM 2/5, Pusat Bandar Seri Manjung Seksyen II, 32040 Manjung, Perak	(a non-related party) as shop office for commercial use				<u>Encumbrances</u> Charged to Hong Leong Bank Berhad	
		<u>Category of land</u> <u>use</u> Building					

Notes:

- (1) The developer of the said land, Harvest Land Development Sdn Bhd obtained the consent for the release of the restriction in interest from Pejabat Setiausaha Kerajaan Johor. The restriction in interest shall only apply to any subsequent disposal of the said land where the disposing party is a Bumiputera individual or Bumiputera company. Pioneer is not required to obtain any further consent for the release of the restriction in interest in the event of any subsequent disposal of the said land.
- (2) We plan to construct our New Sendayan HQ at this location.

7. BUSINESS OVERVIEW (CONT'D)

7.22.2 Properties rented by our Group

Details of properties rented by us as at the LPD are set out below:

No.	Postal Address	Landlord / Tenant	Description / Existing use	Date of CCC	Built-up area (sq ft)	Period of tenancy / Rental per annum
(i)	No. 55, Jalan Pusat Komersial Irama Sendayan 1/2, Taman Irama Sendayan 1, 71900 Labu, Negeri Sembilan	<u>Landlord</u> Ten Moun Siong	<u>Description</u> 2-storey end lot shop office	22 November 2024	4,348	<u>Period of tenancy</u> 1 August 2025 to 31 July 2027
		<u>Tenant</u> Pioneer	<u>Existing use</u> Headquarters and administrative office			<u>Rental per annum</u> RM166,000.00
(ii)	Sublot No. 11, Parent Lots 1632 & 1633, Block 20, Kemena Land, District Kidurong, 97000 Bintulu, Sarawak	<u>Landlord</u> Ample Square Sdn Bhd	<u>Description</u> 2-storey semi-detached industrial building	18 May 2015	2,123	<u>Period of tenancy</u> 1 April 2024 to 31 March 2029
		<u>Tenant</u> BESB	<u>Existing use</u> Office and warehouse			<u>Rental per annum</u> RM42,000.00

7. BUSINESS OVERVIEW (CONT'D)

7.23 ENVIRONMENTAL, SOCIAL AND GOVERNANCE PRACTICES

We acknowledge the increasing significance of sustainability and good governance in driving long-term business resilience. We are committed to embedding Environmental, Social and Governance (“ESG”) principles into our operations to support responsible growth and create sustainable value for our shareholders and stakeholders. The focus of our ESG practices is as follows:

(i) Environmental

As we provide various services to oil and gas refineries, petrochemical complexes and power plants, we acknowledge that our operations may have an impact on the environment, and we are committed to minimising such impact through sustainable practices where applicable.

Waste Management

Our Group prioritises responsible waste management and compliance with environmental regulations. Key practices include:

- Prohibition of open burning and the use of proper waste-handling channels.
- Reuse of packaging materials such as wooden pallets and containers.
- Recycling of metal scraps.
- Safe disposal of used consumables.
- Ongoing enhancement of waste-handling procedures to improve compliance and operational efficiency.

Packaging for logistics is optimised to reduce damage and waste. Non-conforming or damaged goods are managed through repair, replacement or return to suppliers, thereby minimising disposal. These efforts help minimise environmental footprint while promoting responsible and efficient operations across our Group.

Digitalisation to Reduce Environmental Impact

Our Group uses SQL Accounting and SQL HRMS systems to digitalise payslips, employee handbooks, accounting documents and internal communications. This reduces paper use and supports resource efficiency.

(ii) Social

Our Group is committed to creating a positive social impact by prioritising workplace safety, employee well-being, community engagement, and equitable opportunities. Through targeted social initiatives, we aim to foster inclusivity, enhance quality of life, and support sustainable development for all stakeholders.

Safe and Healthy Workplace

Our operations comply with OSHA, CIDB Safety Guidelines and other applicable industry standards. A safety committee is in place, supported by an appointed Emergency Coordinator, to manage safety matters and emergency situations. Employees are equipped with the required safety tools and personal protective equipment (PPE) and receive regular training on health, safety and environmental requirements.

Our Group has also appointed Occupational Safety and Health Coordinators (OSHCs) and established an Emergency Response Team (ERT) to oversee workplace safety in line with legal requirements. These measures have contributed to a strong safety culture across all project sites and offices, with zero reportable incidents to date.

7. BUSINESS OVERVIEW (CONT'D)

Employment Diversity and Equal Opportunity

Our Group is committed to serving the interests of all stakeholders, including our employees, by promoting gender and cultural diversity and inclusion in the workplace. This commitment is reflected in the diverse representation among our Board members and employees, as we continuously strive to foster an inclusive and equitable work environment.

Compliance and Ethical Practices

Our Group upholds the highest standards of compliance and ethics across all operations. We comply with labour-related laws to ensure fair wages, reasonable working hours, and appropriate compensation for our employees.

In addition, we remain committed to adhering to all relevant regulations and industry standards while fostering a culture of integrity, transparency, and ethical conduct throughout our Group.

Employee Well-Being and Awareness

Our Group places strong emphasis on employee well-being as part of our commitment to a safe, healthy, and supportive workplace. To enhance awareness, we communicate with our employees on topics such as sexual harassment prevention and workplace conduct.

These communications promote best practices, reinforce safety expectations, and encourage employees to take proactive steps in maintaining a positive work environment. Through these efforts, we continue to strengthen our safety culture and support the overall well-being of our workforce.

Supplier Governance

Our Group operates an approved supplier framework which includes pre-qualification, onboarding and periodic performance evaluation of key suppliers based on criteria such as financial stability, quality, delivery performance and service levels. Only suppliers that meet our Group's standards are retained for procurement.

(iii) Governance

Our Board is dedicated in maintaining a high corporate governance standard through the following governance practices:

Laws and Regulations

Our Group is committed to conducting our business ethically and in compliance with all relevant laws and regulations as disclosed in Section 7.20 of this Prospectus.

Our Group's environmental controls are supported by formal licence and permit monitoring processes, under the Control of Supplies Act 1961 and related regulations. Our Group also incorporates CIDB certification requirements into its project management and materials procurement processes to ensure that construction materials used in its operations comply with applicable technical and environmental standards.

Malaysian Code of Corporate Governance

Our Group as a whole is progressively adopting the principles and practices of the latest MCCG, where applicable and appropriate. This covers the following principles:

7. BUSINESS OVERVIEW (CONT'D)

- Board leadership and effectiveness;
- Effective audit and risk management; and
- Integrity in corporate reporting and establishing meaningful relationship.

Our Group practices zero tolerance for bribery and corruption and has formalised the Whistleblowing Policy, Anti-Bribery and Anti-Corruption Policy, and Code of Conduct and Ethics. In line with the MCCG 2021, our Group has implemented 26 out of 45 recommended practices under MCCG 2021 including, amongst others:

- at least half of our Board comprises Independent Non-Executive Directors;
- chairman of our Board should not be a member of our Audit and Risk Management Committee, Nomination Committee or Remuneration Committee;
- to have at least 30.0% women directors on our Board; and
- chairman of our Board and our Chief Executive Officer / Executive Director are held by different individuals.

The remaining 19 practices will be scheduled for adoption progressively following our Listing. Post Listing, our Board will provide an overview in our Group's annual report on the application of the principles and best practices set out in the MCCG pursuant to Rule 15.25 of the Listing Requirements.

Board Representation

Our Board comprises individuals with experience in engineering, legal, finance and business management, ensuring balanced decision-making aligned with our Group's business profile.

Integrity in Corporate Reporting

Our Group's financial statements are audited by independent auditors so as to give a true and fair view of the financial positions of the entities within our Group.

Sustainability Governance Structure

A Sustainability Policy guides our Group's environmental, social and governance commitments. A Sustainability Working Committee, comprising representatives from key departments, coordinates initiatives, monitors progress and reports to Senior Management. This structure ensures sustainability considerations are integrated into decision-making and operational practices.

Data Security and Privacy Protection

Our Group has established data security and privacy controls to safeguard proprietary, employee and customer information, ensuring compliance with applicable data protection regulations.

As at the LPD, our Group has not identified any ESG matters that may materially affect its business or operations. The Board recognises the evolving nature of ESG expectations and will continue to refine relevant initiatives and action plans as needed.

Going forward, our Group will disclose its ESG practices through the Sustainability Statement in its annual report, prepared in accordance with the Sustainability Reporting Guide issued by Bursa Securities.

8. INDEPENDENT MARKET RESEARCHER REPORT

SMITH ZANDER INTERNATIONAL SDN BHD 201301028298 (1058128-V)

15-01, Level 15, Menara MBMR, 1 Jalan Syed Putra, 58000 Kuala Lumpur, Malaysia

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SMITH ZANDER

Date: 22 July 2026

The Board of Directors

Pioneer Heat Holdings Berhad

Office Suite No. 603, Block C

Pusat Dagangan Phileo Damansara 1

No. 9, Jalan 16/11, Off Jalan Damansara

46350 Petaling Jaya

Selangor

Dear Sirs/ Madams,

Independent Market Research Report on the Mechanical and Civil Engineering Industries in Malaysia ("IMR Report")

This IMR Report has been prepared by SMITH ZANDER INTERNATIONAL SDN BHD ("SMITH ZANDER") for inclusion in the Prospectus in conjunction with the listing of Pioneer Heat Holdings Berhad on the ACE Market of Bursa Malaysia Securities Berhad.

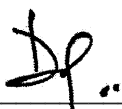
The objective of this IMR Report is to provide an independent view of the industry in which Pioneer Heat Holdings Berhad and its subsidiaries ("Pioneer Group") operate and to offer a clear understanding of the industry dynamics. Pioneer Group is a mechanical engineering service provider, with core expertise in piping system engineering and related specialised services such as heat treatment services, flange management and non-destructive testing services in Malaysia. Pioneer Group is also involved in civil engineering projects to construct industrial and ancillary facilities in Malaysia. Hence, the scope of work for this IMR Report will thus address the following areas:

- (i) Overview of the mechanical and civil engineering industries in Malaysia;
- (ii) Key demand drivers, risks and challenges of the mechanical and civil engineering industries in Malaysia; and
- (iii) Competitive landscape of the mechanical and civil engineering industries in Malaysia.

The research process for this study has been undertaken through secondary or desktop research, as well as detailed primary research when required, which involves discussing the status of the industry with leading industry participants. Quantitative market information could be sourced from interviews by way of primary research and therefore, the information is subject to fluctuations due to possible changes in business, industry and economic conditions.

SMITH ZANDER has prepared this IMR Report in an independent and objective manner and has taken adequate care to ensure the accuracy and completeness of the report. We believe that this IMR Report presents a balanced view of the industry within the limitations of, amongst others, secondary statistics and primary research, and does not purport to be exhaustive. Our research has been conducted with an "overall industry" perspective and may not necessarily reflect the performance of individual companies in this IMR Report. SMITH ZANDER shall not be held responsible for the decisions and/or actions of the readers of this report. This report should also not be considered as a recommendation to buy or not to buy the shares of any company or companies mentioned in this report or otherwise.

For and on behalf of SMITH ZANDER:



DENNIS TAN
MANAGING DIRECTOR

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)

SMITH ZANDER

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The research for this IMR Report was completed on 22 July 2026.

For further information, please contact:

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About SMITH ZANDER INTERNATIONAL SDN BHD

SMITH ZANDER is a professional independent market research company based in Kuala Lumpur, Malaysia, offering market research, industry intelligence and strategy consulting solutions. SMITH ZANDER is involved in the preparation of independent market research reports for capital market exercises, including initial public offerings, reverse takeovers, mergers and acquisitions, and other fund-raising and corporate exercises.

Profile of the signing partner, Dennis Tan Tze Wen

Dennis Tan is the Managing Director of SMITH ZANDER. Dennis Tan has 28 years of experience in market research and strategy consulting, including over 23 years in independent market research and due diligence studies for capital markets throughout the Asia Pacific region. Dennis Tan has a Bachelor of Science (major in Computer Science and minor in Business Administration) from Memorial University of Newfoundland, Canada.

1. THE MECHANICAL AND CIVIL ENGINEERING INDUSTRIES IN MALAYSIA

Overview of the Mechanical Engineering Industry

Mechanical engineering is a broad discipline that applies the technical, scientific and mathematical knowledge of mechanics (i.e. force and movement) to the design, fabrication, installation and commissioning of mechanical systems that are essential to industrial operations. In the industrial sector, industrial plants are made up of several mechanical systems comprising piping systems, mechanical units, rotating equipment, and electrical and instrumentations.

Piping system, also known as process piping, is a specialised mechanical system used in highly demanding industries, such as oil and gas refining ("O&G"), petrochemical, and utility industries. It comprises a complex network of pipe spools (e.g. pipes, fittings, flanges, gaskets and valves, amongst others) and pipe structures (e.g. supports and hangers) that play a crucial role to transport fluids (e.g. liquid, gases and slurries) in industrial environments (i.e. under high flow rates, extreme temperatures and/or high pressures within an industrial plant).

These extreme conditions require materials with enhanced properties (e.g. stronger and tougher heat-treated metal, strengthened joints for structural integrity, and specific design considerations to meet safety and operational standards), as well as related specialised services (e.g. pre-heating and post-weld heat treatments, flange management and non-destructive testing ("NDT")) to establish and maintain robust and efficient piping systems for operations. This is critical for continuous, safe and optimised plant operations, especially in industrial environments, across various stages of production, processing and distribution.

Piping system connects mechanical units (e.g. process columns, pressure vessels, heat exchangers, refiner tanks and storage tanks), and rotating equipment (e.g. pumps, compressor, electric motors and blowers), within the plant for seamless integration across network of systems in the plant.

Electrical and instrumentations (e.g. switchgears, switchboard, uninterruptible power supply, gauges, analysers, flow meter and transmitters) support plant operations by delivering power from the utility provider or generators to all systems, as well as measure, monitor and control pressure, temperature, flow and level of fluid, amongst others, within the system.

Generally, the provision of mechanical engineering services involves a wide array of service providers, each specialising in different aspects of the field, including the design, fabrication, installation and/or commissioning, of the various mechanical systems.

These mechanical engineering services cover the entire lifecycle of industrial plants, encompassing new plant construction and ongoing plant operations (i.e. existing plant maintenance, scheduled plant turnarounds, plant modifications and refurbishment projects).

Overview of the Civil Engineering Industry

Civil engineering is the branch of engineering that focuses on the planning, design and construction of buildings and various infrastructure such as roads, highways, bridges, dams, tunnels, water supply system, drainage and sewage systems, and electrical substations. Civil engineering works typically encompass earthworks and site preparation works, foundation works, structural works, building works, underground and utility works, road works, pavement works, and drainage works, amongst others. Pioneer Group is also involved in civil engineering projects to construct industrial and ancillary facilities. Hence, this report will focus on civil engineering within the area of industrial and ancillary facilities construction.

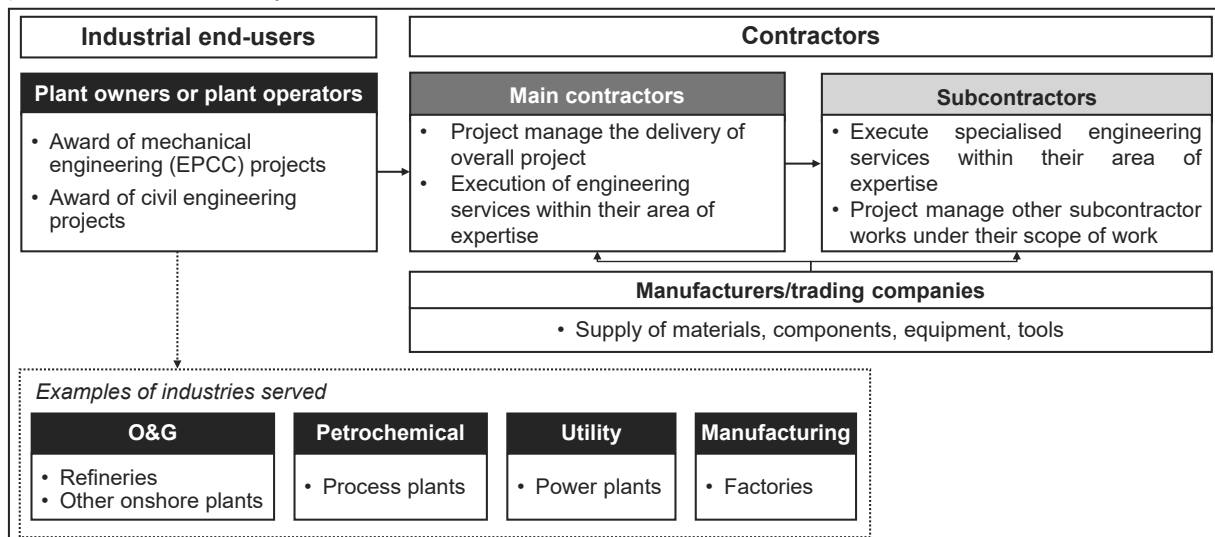
Industrial buildings are structures specifically designed and constructed to house industrial operations such as manufacturing, processing, assembly, storage, maintenance, or support activities related to industrial production. They form the core production unit of a plant where industrial processes take place and are designed to accommodate heavy equipment, high loads and utility systems. Ancillary facilities are non-process facilities that support operations, safety, maintenance, and workforce welfare. While ancillary facilities are not directly involved in production, they are essential to support overall plant functionality. Some examples of ancillary facilities are operator control rooms, workshops, warehouses, administrative buildings, worker's accommodations, canteens, temporary site offices, electrical substations, roads and walkways, water treatment and distribution systems, and drainage and sewage systems.

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)

SMITH ZANDER

Industry value chain

The typical value chain for the provision of mechanical and civil engineering services, primarily in the O&G, petrochemical, and utility industries is as follows:



Source: SMITH ZANDER

Main contractors engage directly with industrial end-users (i.e. plant owners or plant operators) through tenders for engineering, procurement, construction and commissioning (“EPCC”) projects for mechanical engineering services; and tenders for construction projects for civil engineering services, involving high-value contracts. In certain highly regulated industries, such as the O&G industry, main contractors must be registered and/or licensed to qualify for tender participation.

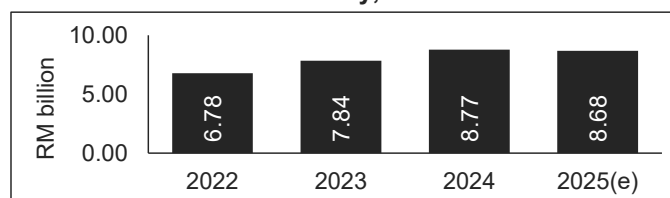
While the main contractors are responsible for the entire project management, overseeing the quality, cost, schedule and timely delivery of the project, they may not have all the in-house expertise required to complete the projects. Hence, subcontractors are often engaged to leverage on their core expertise and resources. Subcontractors may also engage other subcontractors for additional manpower or to execute works required that are not within their areas of expertise. In such cases, they will project manage the execution of subcontractor works to ensure the work is completed based on requirements.

Industry Performance, Size and Growth**Mechanical engineering industry size in Malaysia**

The size of the mechanical engineering industry in Malaysia is represented by the revenue generated from selected mechanical engineering services in the oil and gas services and equipment (“OGSE”) industry. It is derived from the service offerings closest to those which Pioneer Group is involved in, namely piping system engineering and related specialised services such as heat treatment services, flange management and non-destructive testing.

This approach has been adopted as the broader mechanical engineering industry in the OGSE industry is extensive and encompasses numerous segments not relevant to Pioneer Group, and therefore would not provide a meaningful measure of the addressable market for Pioneer Group.

The revenue generated from the selected mechanical engineering services in the OGSE industry in Malaysia grew from RM6.78 billion in 2022 to RM8.68 billion in 2025 at a compound annual growth rate (“CAGR”) of 8.58%.

Industry size for selected mechanical engineering services in the OGSE industry, 2022 – 2025

Notes:

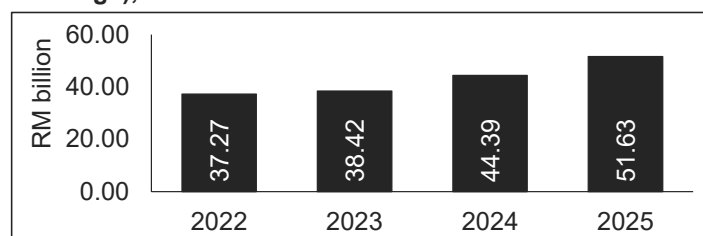
- (e) – estimate. Estimated figure is shown in the absence of actual figure.

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)**SMITH ZANDER**

Moving forward, the growth of the mechanical engineering industry in Malaysia is expected to continue to be driven by the key industry drivers shown in **Chapter 2 – Key Demand Drivers, Risks and Challenges** of this IMR Report.

The revenue generated from mechanical engineering services in the OGSE industry includes revenue generated from services involved in the construction of onshore facilities, installation of pipelines, maintenance of piping and pipelines, valves, electrical and instrumentation, mechanical equipment and rotating equipment. Mechanical engineering services also include manpower supply services, minor fabrication for components and equipment used in oil and gas operations as well as asset integrity services throughout the lifecycle of the asset (e.g. buildings, machinery and equipment).

Sources: Department of Statistics Malaysia (“DOSM”), Malaysia Petroleum Resources Corporation (“MPRC”), SMITH ZANDER

Civil engineering industry size in Malaysia**Industry size for civil engineering (non-residential buildings), 2022 - 2025**

Note: The value of construction work done covers a wider range of non-residential buildings, including those not constructed by Pioneer Group as the data breakdown specifically for Pioneer Group's civil engineering projects (i.e. construction of industrial and ancillary facilities) is not publicly available.

Source: DOSM

The civil engineering industry in Malaysia is represented by the value of construction work done for the construction of non-residential buildings.

The civil engineering industry (non-residential buildings) in Malaysia grew from RM37.27 billion in 2022 to RM51.63 billion in 2025 at a CAGR of 11.48%.

The value of construction work done for the construction of non-residential buildings includes the construction of buildings for industrial production. However, the data breakdown specifically for the construction of industrial and ancillary facilities is not publicly available.

Moving forward, the growth of the civil engineering industry in Malaysia is expected to continue to be driven by the key industry drivers shown in **Chapter 2 – Key Demand Drivers, Risks and Challenges** of this IMR Report.

2. KEY DEMAND DRIVERS, RISKS AND CHALLENGES OF THE MECHANICAL AND CIVIL ENGINEERING INDUSTRIES IN MALAYSIA

Key Industry Drivers

► **Growth in industrial sectors drive demand for mechanical and civil engineering services**

As mechanical engineering (including piping system engineering and related specialised services) and civil engineering are key services for the industrial sectors, the growth of the downstream O&G and utility industries in Malaysia are expected to drive the demand for such engineering services.

(i) **Downstream O&G industry**

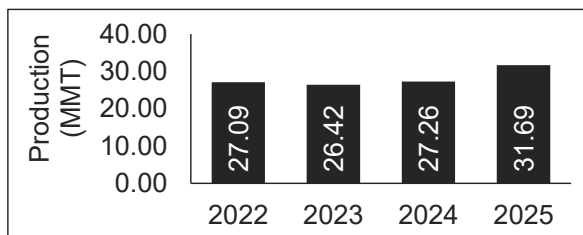
The downstream O&G industry refers to the refining of crude oil and natural gas to transform them into end-user products such as petroleum products and petrochemical feedstocks. Thus, the downstream O&G industry can be represented by the production of major refined products, particularly on the major petroleum products and major petrochemical feedstocks.

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8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)

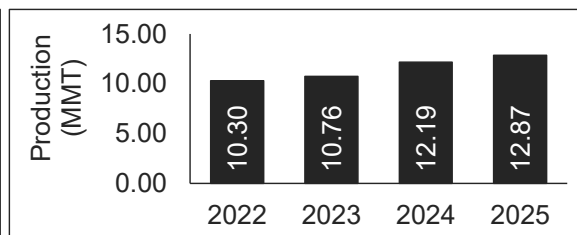
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Production of major petroleum products, 2022 - 2025 Production of major petrochemical feedstocks, 2022 - 2025



Note: Major petroleum products comprise kerosene, fuel oil, diesel, gasoline and blended lubricating oil in Malaysia.

Source: DOSM



Note: Major petrochemical feedstocks comprise naphtha, methanol, and liquefied petroleum gas in Malaysia.

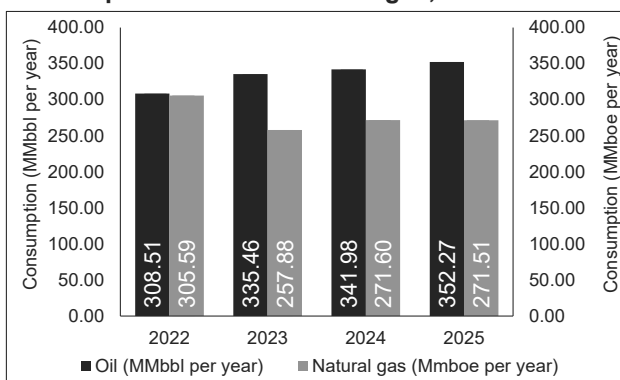
Source: DOSM

Petroleum products are fuels and oils with various uses such as transportation, heating and electricity generation whereas petrochemical feedstocks act as building blocks for a wide range of petrochemical end products such as ethylene and propylene which can then be further processed into plastics, chemicals and resins.

The production of major petroleum products recorded a decrease from 27.09 million metric tonnes ("MMT") to 26.42 MMT from 2022 to 2023. Following that, production of major petroleum products recovered by 3.18% year-on-year ("YOY") from 26.42 MMT in 2023 to 27.26 MMT in 2024, and further grew to 31.69 MMT in 2025 at a YOY growth of 16.25%. Over the period of 2022 to 2025, the production of major petroleum products grew from 27.09 MMT to 31.69 MMT at a CAGR of 5.37%. The production of major petrochemical feedstocks in Malaysia, on the other hand, grew at a CAGR of 7.71% from 10.30 MMT in 2022 to 12.87 MMT in 2025.

The overall increase in the production of major petroleum products and major petrochemical feedstocks in Malaysia positively influences the demand for OGSE services, including mechanical and civil engineering services to support and maintain the operations of O&G refineries.

Consumption of oil and natural gas, 2022 - 2025



Sources: Energy Institute, SMITH ZANDER

On a broader view, national consumption of oil recorded an increase from 308.51 million barrels of oil ("MMbbl") per year in 2022 to 352.27 MMbbl per year in 2025 at a CAGR of 4.52%.

The national consumption of natural gas was recorded at 305.59 million barrels of oil equivalent ("MMboe") per year in 2022. Following that, national consumption of natural gas declined by 15.61% YOY to 257.88 MMboe per year in 2023. Subsequently, the national consumption of natural gas recovered by 5.32% YOY to 271.60 MMboe per year in 2024.

National consumption of natural gas was stable from 2024 to 2025, with a slight decrease of 0.03% YOY to 271.51 MMboe per year in 2025.

To cater to increased consumer demand and consumption, the O&G industry is incentivised to increase the refining activities of oil and natural gas, both of which would require construction of new refineries or expansion of existing refineries. Further, to extend the lifespan of new and existing O&G refineries, periodic maintenance at 3-to-5-year intervals is required to ensure the integrity of the piping systems, mechanical units and rotating equipment for continued safe operations, which generally involves inspection, replacement, and/or upgrade works. This, in turn, drives the overall demand for mechanical engineering services including piping system engineering and related specialised services as well as civil engineering services to support the operations of O&G refineries.

Increased refining in the O&G industry requires capital expenditure ("CAPEX") for investments toward new downstream developments such as process plants, onshore platforms and pipelines, which signifies growth in the O&G industry, as well as major turnarounds and overhauls to enhance existing operations and extend the lifespan of new and/or existing plants.

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)

SMITH ZANDER

CAPEX of the O&G industry in Malaysia, represented by the domestic downstream CAPEX of Petroliaam Nasional Berhad (“**PETRONAS**”), includes operational and growth projects as well as turnaround activities. PETRONAS holds exclusive rights to petroleum resources in Malaysia and plays a pivotal role in spearheading the direction of the nation’s O&G industry.

The domestic CAPEX of PETRONAS had been hovering around RM4 billion, with 2022 at RM4.20 billion, 2023 at RM4.60 billion, 2024 at RM4.10 billion and 2025 at RM4.10 billion.

The cyclical requirement of maintenance for downstream plants whereby maintenance activities increase when plants approach major maintenance intervals as well as the scale of the turnaround activity may contribute to the growth and contraction in domestic downstream CAPEX spending of PETRONAS over the past 4 years.

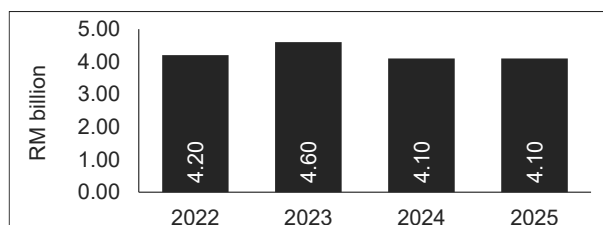
The domestic downstream CAPEX in the O&G industry increased from 2022 to 2023 and remained constant from 2024 to 2025, notwithstanding the decline in Brent crude oil spot prices, as disclosed in the key industry risks and challenges of this IMR Report. The amount of capital expenditure is aligned with PETRONAS’ focus on sustaining long term development of the O&G industry to ensure resiliency and competitiveness.

For instance, in 2022 and 2023, PETRONAS allocated its downstream CAPEX to diversifying its non-traditional product offerings (i.e. petrochemical derivatives and specialty chemicals) as well as improving equipment effectiveness and optimising operational margins. In 2024 and 2025, despite softer Brent crude oil spot prices, PETRONAS continued to invest in downstream initiatives to enhance operational efficiency, expand specialty chemical offerings (e.g. plant-based and biodegradable specialty chemical products) and development of renewable fuel capabilities (e.g. establishment of first biorefinery in Pengerang, Johor, which is expected to produce sustainable aviation fuel, hydrogenated vegetable oil and bio-naphtha). These investments are pivotal to capture new growth opportunities and adapt to market dynamics.

As such, while the decline in Brent crude oil spot prices may adversely impact capital expenditure of industry players across the value chain, PETRONAS’ capital expenditure may not reflect this market trend in the short term due to its commitment to support the sustainability of the O&G industry in the long term.

Nonetheless, PETRONAS foresees a positive outlook for the 2026–2028 period due to continued demand in the number of scheduled plant turnarounds, as well as its venture into and subsequent diversification of specialty chemicals portfolio by developing cleaner energy solutions to complement existing energy systems, which would continue to drive demand for mechanical and civil engineering services.

Domestic downstream CAPEX of PETRONAS, 2022 - 2025



Source: PETRONAS

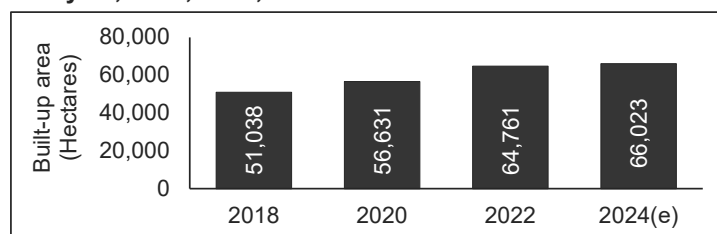
(ii) Utility industry

The utility industry provides essential services such as the generation, transmission or distribution of electricity, natural gas, oil, and water to end users through an extensive network of infrastructure systems, such as power plants, water treatment plants and piping networks.

The utility industry, as represented by the built-up area of infrastructure and utilities in Peninsular Malaysia, grew from 51,038 hectares (“ha”) in 2018 to 66,023 ha in 2024 at a CAGR of 4.38%.

Growth in the utility industry is expected to drive demand for mechanical engineering services to maintain operational safety and extend the lifespan of piping networks, mechanical units and rotating equipment within utility plants. In parallel, growth in the utility industry is also expected to drive

Total built-up area of infrastructure and utilities, Peninsular Malaysia, 2018, 2020, 2022 and 2024



Notes:

- (e) – estimate. Estimated figure is shown in the absence of actual figure

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)**SMITH ZANDER**

demand for civil engineering services to support the operations of utility plants.

- *Latest publicly available data based on the Department of Town and Country Planning's ("PLANMalaysia") National Land Use Information Report, published in every two years; land use data for East Malaysia is not publicly available*

Sources: PLANMalaysia, SMITH ZANDER

► **Government initiatives in the O&G, petrochemical and utility industries are expected to drive the demand for mechanical engineering and civil engineering services**

Among the initiatives announced by the Government of Malaysia that are expected to drive the demand for mechanical engineering and civil engineering services in the O&G, petrochemical and utility industries are as follows.

Under the 13th Malaysia Plan, the Government of Malaysia intends to strengthen and futureproof the natural gas supply industry by introducing the following initiatives:

- Implementing the Natural Gas Roadmap to ensure supply security, optimise the value of domestic natural gas resources as well as increase private investments;
- Strengthening cooperation in trade and infrastructure development with the Association of Southeast Asian Nations (ASEAN) member states to position Malaysia as a leading regional gas trading hub;
- Constructing a third regasification terminal in 2026 with operations expected to commence in 2027 to meet the increasing demand for natural gas in Peninsular Malaysia; and
- Coordinating the planning, development and governance of the natural gas industry at national and regional levels.

Further, the Malaysian Ministry of Economy plans to launch a Natural Gas Roadmap by the 3rd quarter of 2026 that would focus on access to financing and opportunities in building a robust gas infrastructure in Malaysia (e.g. expanding regasification terminals and pipelines).

Other government initiatives that are expected to support the O&G, petrochemical and utility industries include introductions of the following:

- **NewGen26 Programme:** In March 2026, the Malaysian Energy Commission launched the NewGen26 programme, a tender which calls for the development of new gas-fired power plants in Peninsular Malaysia, which are expected to commence operations between 2029 and 2031. The programme is intended to ensure the stability of electricity supply and to maintain the electricity reserve margin in Peninsular Malaysia at an optimal level; and
- **Sabah OGSE Roadmap 2026–2030:** In June 2026, the State Government of Sabah announced the development of a 5-year OGSE Roadmap for 2026–2030, an industry development plan to guide local industry players in increasing participation to develop the OGSE sector in Sabah. The roadmap aims to drive the growth of Sabah's OGSE sector by improving access to financing, strengthening technical capabilities and aligning talent development with industry requirements.

Collectively, the implementation of these federal and state government initiatives is expected to drive growth in the O&G, petrochemical and utility industries, which in turn is expected to stimulate demand for mechanical and civil engineering services in Malaysia.

Key Industry Risks and Challenges

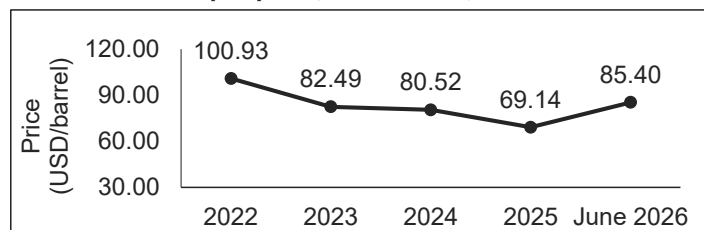
► **Dependence on the O&G and petrochemical industries**

Industry players who provide mechanical engineering and civil engineering services primarily to the O&G and petrochemical industries, are dependent on the performance and growth of these industries. The O&G and petrochemical industries are affected by price fluctuations of crude oil, natural gas and refined petroleum products as they are global commodities driven by global supply and demand conditions.

Further, geopolitical tensions (e.g. regional conflicts and political instability) can create bottlenecks in the supply chain and increase market volatility (i.e. the degree and frequency with which prices fluctuate). Consequently, this results in price fluctuations of crude oil, natural gas and refined petroleum products, and a prolonged condition can impact the operations and financial performance of the O&G and petrochemical industries. When prices decline, companies generate lower revenue, which would reduce profit margins and result in a reduction in cash flow across the value chain. A sustained period of low prices may result in scaled down, delayed or cancelled projects for the construction, expansion or upgrading of O&G and petrochemical

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)**SMITH ZANDER**

plants due to reduced cash flow and economic uncertainty. As a result, there are fewer projects available to contractors providing mechanical engineering services or civil engineering services, intensifying competition within the industry.

Brent crude oil spot price, 2022 - 2025, June 2026

Source: United States Energy Information Administration (US EIA)

From 2022 to 2025, global crude oil prices, represented by the Brent crude oil spot price, decreased at a CAGR of 11.85% from USD100.93 (RM444.14)¹ per barrel in 2022 to USD69.14 (RM296.02) per barrel in 2025 due to sluggish oil demand and oversupply of oil.

As at June 2026, global crude oil prices rose to USD85.40 (RM340.35) per barrel due to geopolitical tensions in the Middle East that strained global oil supply.

While decline in the O&G industry activities may have an adverse impact on the mechanical and civil engineering industries, the negative impact is expected to be cushioned against the continuous need for mechanical and civil engineering services at existing O&G sites for planned inspections, preventive maintenance works and planned repairs.

These continue to be carried out to ensure reliability of equipment and reduce unplanned breakdown of equipment. Further, notwithstanding the challenging operating environment of the O&G industry, from 2022 to 2023, PETRONAS' domestic downstream capital expenditure increased due to its commitment to support the sustainability of the O&G industry in the long term. The domestic downstream CAPEX in the O&G industry also remained constant from 2024 to 2025 despite the decline in Brent crude oil spot prices.

► Exposure to global steel price fluctuations

Steel is a key raw material used in the mechanical engineering industry for the fabrication of pipes, flanges, fittings and valves that make up a piping system and piping structure, as well as civil engineering for the construction of buildings and infrastructure. The price of steel in Malaysia is driven by global steel prices. Steel is susceptible to price fluctuations due to the demand and supply conditions of steel in the global market as well as the prices of raw materials for the production of steel such as iron ore.

Any material increases in the price of steel may lead to a rise in the cost of executing mechanical engineering and civil engineering projects in the industry as a whole. However, not all industry players are directly affected by global steel price fluctuations as not all industry players engage in procurement services for their projects. Nonetheless, if affected industry players are unable to pass on the material cost to their customers, they may have to bear the increasing costs, which could materially impact their financial performance.

3. COMPETITIVE LANDSCAPE OF THE MECHANICAL AND CIVIL ENGINEERING INDUSTRIES IN MALAYSIA

The mechanical and civil engineering industries in Malaysia are competitive and fragmented due to the large number of industry players involved in the provision of various mechanical and civil engineering services. Mechanical and civil engineering industry players, such as Pioneer Group, compete in terms of range and quality of product and service offerings as well as pricing and ability to deliver on a timely manner, amongst others.

Industry players are required to have technical knowledge and expertise to carry out mechanical engineering works (i.e. piping system engineering), related specialised services (i.e. heat treatment, flange management and NDT services) as well as civil engineering works (i.e. construction of industrial and ancillary facilities), including project management.

¹ Exchange rate from USD to RM was converted based on average annual exchange rates of the respective years, extracted from published information from Bank Negara Malaysia.

Year	2022	2023	2024	2025	June 2026
USD1 = RM	4.4005	4.5653	4.5718	4.2815	3.9854

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)

SMITH ZANDER

In the mechanical and civil engineering industries, projects are awarded to industry players on different scales. Industry players may secure high-value contracts for large, complex capital projects and subsequently award subcontracts to other industry players with specialised expertise to be responsible for different aspects of the project in their respective areas of specialties.

Key industry players

Pioneer Group is principally involved in the provision of mechanical engineering services, with core expertise in the provision of piping system engineering and related specialised services such as heat treatments, flange management and NDT services in Malaysia as well as civil engineering services. Pioneer Group is also involved in civil engineering projects to construct industrial and ancillary facilities.

The following list of industry players have been derived on the basis that these industry players:

- are involved in the provision of mechanical engineering services, particularly piping system engineering and/or related specialised services. These industry players may also be involved in civil engineering projects;
- serve the O&G, petrochemicals and/or utility industries. These companies may also serve other industries that Pioneer Group does not serve; and
- recorded revenue between RM20.0 million and RM100.0 million based on their respective latest available financial year. This revenue range has been adopted to capture competitors of a comparable scale to Pioneer Group, which recorded revenue of RM97.7 million, and to facilitate a more relevant basis for comparison.

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8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)

SMITH ZANDER

Company name	Examples of services offered ⁽¹⁾	Industries served			Latest available financial year	Revenue ⁽²⁾ (RM million)	GP/ (GL) (RM million)	GP/ (GL) margin (%)	Net profit / (loss) (RM million)	Net profit / (loss) (%)
		O&G	Petro-chemical	Utility						
Axianergy (M) Sdn Bhd	- Engineering, procurement, construction, commissioning, maintenance for piping works and pipelines - Civil work for petrochemical plants	✓	✓	✓	31 December 2024	29.0	5.8	20.0	0.6	2.1
Pioneer Group	- Engineering, procurement, fabrication, installation, commissioning and/or repair and maintenance for piping systems - Provision of specialised services (e.g. heat treatments, flange management and NDT services) - Civil engineering projects to construct industrial and ancillary facilities	✓	✓	✓	31 March 2026	97.7	23.6	24.2	8.2	8.4
CN Eleco Engineering Sdn Bhd	- Installation of piping systems - Construction of industrial and ancillary buildings - Provision of specialised services (e.g. NDT services, heat treatment)	✓	✓	✓	31 March 2023	41.3	(2.9)	(7.0)	(5.0)	(12.1)
Oceanergy Gases Sdn Bhd	- Engineering, procurement, fabrication, construction and commissioning for piping works and pipelines - Construction of industrial and ancillary facilities	✓	✓	x	31 December 2024	37.5	6.3	16.8	2.1	5.6
Polysage Engineering Sdn Bhd	- Construction and maintenance of piping - Fabrication, erection and installation of industrial and ancillary facilities	✓	✓	✓	31 December 2024	31.8	3.6	11.3	1.0	3.1
Asman Kadir Engineering & Fabrication Sdn Bhd	- Fabrication, repair, modification and installation of piping - Provision of specialised services (e.g. flange management)	✓	✓	✓	30 June 2025	23.1	0.5	2.2	(0.04)	(0.2)

Notes:

- Latest available information as at the research completion date of this IMR Report.
 - The identified key industry players include all industry players that were identified by SMITH ZANDER based on available sources, such as the internet, published documents and industry directories. However, there may be companies that have no online and/or published media presence, or are operating with minimal public advertisement, and hence SMITH ZANDER is unable to state conclusively that the list of industry players is exhaustive.
- ⁽¹⁾ These companies may be involved in other businesses in addition to the provision of mechanical engineering services and related specialised services as well as civil engineering projects related services.
- ⁽²⁾ May include revenue derived from other businesses that are not related to the provision of mechanical engineering services, particularly piping system engineering, and related specialised services and/or civil engineering projects related services as well as revenue derived from countries outside Malaysia.

Sources: Pioneer Group, Companies Commission of Malaysia, various company websites, SMITH ZANDER

8. INDEPENDENT MARKET RESEARCHER REPORT (CONT'D)

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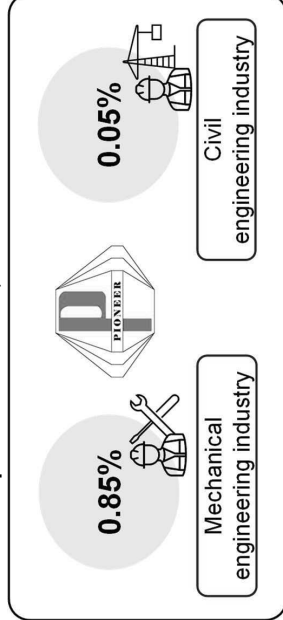
Companies such as HRSB Holdings Sdn Bhd, Dynaciate Engineering Sdn Bhd, Newwin Engineering (M) Sdn Bhd and UBF Maintenance Sdn Bhd are deemed as competitors as they are involved in some of the service offerings similar to Pioneer Group. However, these companies are also involved in EPCC projects and/or their scope of products and services extend beyond those provided by Pioneer Group, and recorded revenue at RM100 million to RM300 million range, based on their respective latest available financial years. Limtech Engineering & Construction Sdn Bhd, a company that supplies, fabricates, installs, pre-commissions, commissions and/or provides maintenance for piping works, is also deemed a key industry player in the mechanical engineering industry, however, it is an exempt private company and its latest available audited financial statements from Companies Commission of Malaysia was for the financial year ended 31 October 2012. As such, these companies are not included in the table above for comparison. Of the key industry players identified, Dynaciate Engineering Sdn Bhd has a physical place of business in Bintulu, Sarawak, which is similar to the Group.

Market share

In 2025, the size of the mechanical engineering industry, represented by the revenue generated from selected mechanical engineering services in the OGSE industry, was recorded at RM8.68 billion. For the financial year ended 31 March 2026 (used as a proxy for the 2025 calendar year), the revenue for Pioneer Group derived from mechanical engineering services was recorded at RM73.7 million, and thereby Pioneer Group captured a market share of 0.85% in the mechanical engineering industry in Malaysia.

In 2025, the size of the civil engineering industry, represented by the value of construction work done for the construction of non-residential buildings, was recorded at RM51.63 billion. For the financial year ended 31 March 2026 (used as a proxy for the 2025 calendar year), the revenue for Pioneer Group derived from civil engineering projects was recorded at RM23.9 million, and thereby Pioneer Group captured a market share of 0.05% in the civil engineering industry in Malaysia.

Pioneer Group's market shares, 2025



Sources: Pioneer Group, SMITH ZANDER

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4. PROSPECT AND OUTLOOK OF THE MECHANICAL AND CIVIL ENGINEERING INDUSTRIES IN MALAYSIA

The mechanical engineering industry in Malaysia, represented by the revenue generated from selected mechanical engineering services in the OGSE industry, grew from RM6.78 billion in 2022 to RM8.68 billion in 2025 at a CAGR of 8.58%.

The civil engineering industry in Malaysia, represented by the value of construction work done for the construction of non-residential buildings, grew from RM37.27 billion in 2022 to RM51.63 billion in 2025 at a CAGR of 11.48%.

Moving forward, the mechanical and civil engineering industries are expected to be driven by:

- **Growth in industrial sectors, such as downstream O&G industry and utility industry** - On a macro level, the Organisation of the Petroleum Exporting Countries (“OPEC”) forecasts global oil demand to grow from 38.38 billion barrels of oil (“Bbbl”) per year in 2025 to 38.88 Bbbl per year in 2026 and 39.37 Bbbl per year in 2027, representing a YOY growth rate of 1.30% and 1.26%, respectively. Demand for major petroleum products such as gasoline, kerosene and diesel as well as for major petrochemical feedstocks such as naphtha and liquefied petroleum gas is projected to rise over the same period. Growth in global oil and natural gas demand is expected to drive demand for O&G production, refining and processing activities worldwide, including in Malaysia. This in turn underpins sustained demand for OGSE services, including mechanical and civil engineering services to support and maintain the operations of O&G refineries in Malaysia as O&G refineries in the downstream O&G industry require periodic maintenance at 3-to-5-year intervals for continued safe operations as well as to extend their lifespan. In Malaysia, according to the PETRONAS Activity Outlook 2026 – 2028, a total of 14 plant turnarounds for its downstream segment are scheduled for the next two years, which indicates continued demand for mechanical and civil engineering services in the near-term.

Growth in the utility industry is also expected to drive demand for mechanical engineering services to maintain operational safety and civil engineering services to support the operations of utility plants.

- **Government initiatives** - Government initiatives to strengthen and futureproof the natural gas supply industry under the 13th Malaysia Plan and upcoming Natural Gas Roadmap are expected to increase private investments and develop infrastructure (e.g. regasification terminals and pipelines), which would in turn drive the demand for mechanical engineering and civil engineering services. Other government initiatives, such as the NewGen26 Programme and upcoming OGSE Roadmap by the State Government of Sabah, are also expected to drive growth in the O&G, petrochemical and utility industries, and consequently stimulate demand for mechanical and civil engineering services in Malaysia.

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9. RISK FACTORS

AN INVESTMENT IN OUR SHARES INVOLVES A NUMBER OF RISKS, MANY OF WHICH ARE BEYOND OUR CONTROL. YOU SHOULD CAREFULLY CONSIDER ALL THE INFORMATION CONTAINED IN THIS PROSPECTUS, INCLUDING THE RISKS DESCRIBED BELOW, BEFORE DECIDING TO INVEST IN OUR SHARES. OUR BUSINESS, FINANCIAL CONDITION, RESULTS OF OPERATIONS AND PROSPECTS, AND YOUR INVESTMENT IN OUR SHARES COULD BE MATERIALLY AND ADVERSELY AFFECTED BY ANY OF THESE RISKS.

9.1 RISKS RELATING TO OUR BUSINESS OPERATIONS

9.1.1 **We are subject to risk of revocation, suspension or non-renewal of approvals, licences, registrations and permits required to operate our business**

Our Group is required to maintain and regularly renew various approvals, licences, registrations and permits issued by various governmental authorities and regulatory agencies, and these approvals, licences, registrations and permits are essential for the conduct of our business and operations. Further details of our approvals, licences, registrations and permits are set out in Section 7.21 of this Prospectus.

Further, our Group is reliant on licence from the Department of Atomic Energy Malaysia (formerly known as the Atomic Energy Licensing Board) to purchase, own, transport, handle, use and store irradiating apparatus, namely the industrial radiograph machine (iridium and uranium rays). We also require this licence to provide industrial radiograph testing services, which is one of our NDT services. To maintain this licence, we must register and maintain a person responsible towards licence as well as a radiation protection officer, throughout the tenure of our licence. Further, technicians must be certified by Jabatan Pembangunan Kemahiran and registered with ATOM Malaysia to conduct industrial radiograph testing. As such, we are dependent on the continued hiring of certified and registered personnel to maintain the relevant licences and to carry out the provision of industrial radiograph testing services. Save for industrial radiograph testing, there is no specific licence required to conduct other types of NDT services. Other NDT services can be carried out by technicians that are trained in-house.

We leverage on existing approvals, licences, registrations and permits to continue our core business operations. We are required to comply with the restrictions and conditions imposed by the relevant authorities for us to maintain the validity of such approvals, licences, registrations and permits. If we are unable to comply with the applicable requirements or required conditions of our approvals, licences, registrations and permits, such approvals, licences, registrations and permits may be suspended or revoked and this may materially and adversely affect our business operations. As at the LPD, we have obtained all the relevant approvals, licences, registrations and permits to undertake our business operations. For the Financial Years Under Review and up to the LPD, we have not experienced any incidences where our approvals, licences, registrations and permits have been revoked or suspended prior to their expiration, or where renewals of such approvals, licences, registrations and permits were not successful.

However, there is no assurance that the introduction of any new laws or any changes to these legislations or other future regulatory developments will not have a material adverse effect on any future applications, maintenance or renewal of approvals, licences, registrations and/or permits, as well as lead to higher compliance and operational costs which may negatively affect our financial performance. Any failure to maintain or renew our approvals, licences, registrations and permits in the future could materially and adversely affect our business operations and financial performance.

For the Financial Years Under Review and up to the LPD, our Group has not experienced any breach of conditions, laws or regulations which resulted in us being subjected to any penalties, fines, prosecution against our Group or our directors, restrictions on our operations, or remedial liabilities. Please refer to Section 7.20 of this Prospectus for further details on our past non-compliances.

9. RISK FACTORS (CONT'D)

9.1.2 The project-based nature of our Group's business may result in the fluctuation of our sales and result in uncertainties of our overall financial performance

Our mechanical engineering services and civil engineering projects are conducted on a project basis, secured through purchase orders or contracts, whereby the number of orders and contracts secured vary from year-to-year and the value of each order and contract varies from one another, depending on factors such as type of services required and project duration. We mainly receive purchase orders from our customers based on the scope of work required and we may also be awarded contracts by customers from time to time. As we generally provide our services to customers on a project basis, the contracts that we enter into with our customers are not on a long-term basis as our services are subject to our customer's needs as and when required. The project-based nature of our Group's business may lead to fluctuation of our sales and result in uncertainties of our overall financial performance.

The future revenue and profitability of our Group will therefore depend on our ability to continuously secure new purchase orders and contracts from our existing or new customers (i.e. contractors and industrial end-users) where we mainly serve as subcontractor. There is no assurance that our revenue or profit will remain at similar levels each year as it depends on the number and value of purchase orders and contracts secured, as well as timing of delivery which is subject to customer's site readiness. As our purchase orders and contracts are awarded on a one-off basis, there is no assurance that our existing customers will continue to engage us for their new projects.

Further, any cancellation or delay in the commencement of our projects secured due to external factors beyond our control such as customer project planning delay, site readiness, or availability of supplies, may affect our revenue recognition and also adversely affect our Group's financial performance in the event that we are unable to secure replacement purchase orders and contracts of equal or greater value. For the Financial Years Under Review, we encountered 1 incident where our Group and Bintang Kejora Sdn Bhd (our customer) mutually agreed to terminate a contract for a civil engineering project, as both parties are unable to reach an agreement on the revised construction costs. Please refer to Sections 12.2.2(ii)(a) and 12.2.8 of this Prospectus for further details on the impact of this incident on our Group.

9.1.3 We are dependent on 3 of our major customers, namely Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd), Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd

Collectively, Samsung E&A Malaysia Sdn Bhd (formerly known as Samsung Engineering (Malaysia) Sdn Bhd) and Ilmiah Perdana Sdn Bhd contributed 45.9% of our Group's total revenue in FYE 2024; Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd contributed 54.5% of our Group's revenue in FYE 2025; and Samsung E&A Malaysia Sdn Bhd and Fumiko Sdn Bhd contributed 43.3% of our Group's revenue in FYE 2026. Further, Samsung E&A Malaysia Sdn Bhd was recorded as one of our top 5 major customers for 3 consecutive FYEs during the Financial Years Under Review, while Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd were each recorded as one of our top 5 major customers for 2 consecutive FYEs during the Financial Years Under Review. Accordingly, with such significant contributions to our Group's revenue, we are dependent on Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd.

Given our past and ongoing projects with Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd, they may continue to contribute significantly to our Group's revenue in the future. As such, our financial performance may be materially and adversely affected if Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd were to terminate their ongoing projects with our Group and we were unable to secure new customers to replace the loss of business in a timely manner. In addition, there is no assurance that Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd will continue to engage with our Group in the future. In the event that they cease to engage with our Group, we may face a reduction in projects which could result in a loss of revenue, if we are not able to replace this customer with new customers or with additional projects from existing customers who can contribute a similar proportion to our Group's revenue in a timely manner.

9. RISK FACTORS (CONT'D)

During the Financial Years Under Review, we have not encountered any issues arising from our past and ongoing projects with Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd. Nevertheless, there is no assurance that we will not encounter any issues arising from our contracts with Samsung E&A Malaysia Sdn Bhd, Ilmiah Perdana Sdn Bhd and Fumiko Sdn Bhd in future which may adversely affect our financial performance and business operations.

9.1.4 We are exposed to risk of delays, substandard performance and disputes relating to certain works outsourced to subcontractors

We outsource the installation and commissioning of electrical and instrumentation works, surface finishing works (e.g. blasting and painting works for pipe spools and pipe structures), servicing of control valves, and installation of scaffolding to facilitate installation activities to subcontractors for our provision of mechanical engineering services. As and when required, we may also outsource installation, welding and fabrication works to third party subcontractors to speed up the completion of work required for our provision of mechanical engineering services. Further, as at the LPD, we engage subcontractors to execute the construction works for all our civil engineering projects to construct industrial and ancillary facilities. We generally do not enter into long-term contracts with our subcontractors and we engage their services on a purchase order basis or project basis. Our subcontractor costs accounted for approximately 24.7%, 25.2%, 58.4% and 86.8% of our total purchases during the Financial Years Under Review.

There is no assurance that the quality of work performed by our subcontractors as well as the completion timeline will consistently and satisfactorily meet the standards and requirements set out by our Group or our customers at all times. However, we are accountable to our customers for the overall quality of our services despite certain works are carried out by our subcontractors, as our subcontractors do not have direct business relationships with our customers. Hence, the engagement of subcontractors may expose us to certain risks, including but not limited to, risks related to delays and/or substandard performance as we may not have full control over our subcontractors. These may result in incurrence of additional costs or exposure to potential liabilities under the terms of our contracts or purchase orders with our customers in the event that customers are not satisfied with the quality of work done. The occurrence of the aforementioned risks may result in disputes and/or litigations, all of which may adversely impact our operations and financial performance.

Moreover, our subcontractors may experience operational or financial disruptions that could affect their ability to fulfil their obligations, potentially delaying or compromising the completion of our Group's projects. This may expose us to the risk of customers imposing late delivery penalty, thus resulting in additional costs for our Group. While we may attempt to seek recourse against the responsible subcontractors, we may be required to pay the penalty beforehand prior to receiving the said compensations from subcontractors. If we are unable to recover the full amount from subcontractors or at all, we will be required to absorb all the related costs which may adversely impact our Group's financial performance. For the Financial Years Under Review, we have not encountered incidents where our subcontractors failed to fulfil their obligations or that they are unable to satisfactorily meet the standards and requirements set out by our customers.

9.1.5 We are dependent on our management team for the continued success and growth of our business

Our Group's continued success, future business growth and expansion are, to an extent, dependent on our management team's experience, expertise and continuous efforts. Our Executive Directors and key senior management have been actively involved in our Group's operations, and their long service, in-depth knowledge on all aspects of our Group's operations, as well as their industry experience is crucial to the business continuity and future growth of our Group. Please refer to Section 5.3.2 of this Prospectus for further details on the profiles of our management team.

9. RISK FACTORS (CONT'D)

Any loss of our Executive Directors and/or key senior management simultaneously or within a short time span without suitable and timely replacement, or our inability to attract and retain qualified and competent personnel or to integrate new personnel, could adversely affect the business operations, financial performance and the future growth of our Group. For the Financial Years Under Review and up to the LPD, we have not encountered any unexpected incidence of loss of personnel from our management team simultaneously or within a short period of time. However, there can be no assurance that such incidences may not occur in the future and that we will be able to find a suitable replacement in a timely manner, which may in turn have a material adverse impact on our operations, financial performance and the future growth of our Group.

9.1.6 We are exposed to risks of claims from customers due to defective or unsatisfactory works as well as uncollectible retention sums

Any identification of defects or dissatisfaction expressed by our customers in relation to our works may give rise to claims against our Group. Such claims may require us to undertake additional rectification or remediation works, which could result in increased costs to our Group. Further, this risk also extends to works carried out by our subcontractors, for which our Group remains responsible for the additional rectification or remediation works. In such cases, we may be required to undertake and finance rectification or remediation works and, in certain circumstances, provide compensation to our customers. While we may attempt to seek recourse against the relevant subcontractors, we may be required to first compensate our customers before recovering any such amounts. In the event that we are unable to recover the full amount from subcontractors or at all, we would be required to bear the costs of such claims which may, in turn, adversely impact our financial performance.

In addition, it is an industry practice where our Group may be required to submit a retention sum, up to a maximum of 10.0% or 5.0% of the contract sum awarded, as a security to our customer to safeguard and guarantee our performance towards the completion of projects for provision of mechanical engineering services and civil engineering projects respectively. Further, based on the terms of the contract, our customer may be entitled to retain up to 10.0% of the contract sum awarded as a retention sum, for projects for provision of mechanical engineering services. Similarly, based on the terms of the contract, our customer may be entitled to retain 10.0% of each progress billing, as retention sum, up to a maximum of 5.0% of the contract sum awarded, for civil engineering projects. The retention sum serves as a security to our customer to safeguard and guarantee our performance towards the completion of projects and rectification of defects during the defect liability period. For projects for provision of mechanical engineering services, our customer will release the retention sum to us once the defect liability period or any additional period following expiry of defect liability period, as specified in the contract, is completed. For civil engineering projects, once the work is completed, our customer will issue CPC and after receiving complete documentation from us, our customer will release the retention sum to us. If our customers do not release the retention sum or require us to write off such amounts, our financial performance may be adversely affected.

For the Financial Years Under Review, we have not received or encountered any major complaints from our customers in relation to defective and unsatisfactory works which require our Group to incur significant rectification or remedial costs, as well as incidents where our customers fail to release the retention sum to our Group. However, there is no assurance that we would not experience any claims or failure to collect all retention sum in full in the future, or that these incidents would not adversely impact our financial performance.

9.1.7 We may not be able to secure fundings to meet our capital requirement

Our ability to obtain external financing are subject to various uncertainties such as our business's cash flow and financial position, the condition of the local and global economy, the cost of financing and the condition of financial markets as well as the continued willingness of banks to provide new loans with terms favourable to us.

9. RISK FACTORS (CONT'D)

If we are unable to secure adequate funding, or if funding is only available on unfavourable terms, we may face challenges in meeting our capital requirements or otherwise taking advantage of business opportunities or responding to competitive pressures may become challenging, which could have an adverse impact on the financial performance, future growth and prospects of our Group. For the Financial Years Under Review, we have not encountered any incidence of not being able to secure funding on terms favourable to us to meet our capital requirement. However, there can be no assurance that any required financing, either on a short-term or long-term basis, will be made available to us on terms favourable to us or at all, in the future.

9.1.8 We are exposed to credit risk and default payment by customers

We generally grant our customers credit periods ranging from 30 to 60 days. There can be no guarantee that our customers will be able to fulfil their payment obligations within our credit terms and that we will not encounter any collection issues. In the event of delay or default in payment by our customers, our operating cash flows or financial results may be adversely affected. Our average trade receivables turnover period for the Financial Years Under Review were 128 days, 85 days, 62 days and 34 days respectively. For FYEs 2023 to 2025, our average trade receivables turnover period exceeded the normal credit period provided to our customers. For FYE 2026, our average trade receivables turnover period was within the normal credit period provided to our customers.

Further, any delay or default in payment by customers may also lead to impairment losses of financial assets or writing-off of trade receivables as bad debts, which may adversely affect our financial performance. Our net loss on impairment of financial assets and bad debts written off for the Financial Years Under Review are as follows:

	FYE 2023	FYE 2024	FYE 2025	FYE 2026
	RM'000	RM'000	RM'000	RM'000
Net loss on impairment of financial assets	236	1,465	30	89
Bad debts written off	132	15	-	-

Please refer to Section 12.2.8 of this Prospectus for further details on our net loss on impairment of financial assets.

For the Financial Years Under Review, our net loss on impairment of financial assets and bad debts written off did not materially impact our Group's financial performance. Nevertheless, there can be no assurance that we will be able to collect our trade receivables in full or on a timely basis. Any delay or failure in receiving payments from our customers in the future may result in trade receivables being written off as bad debts, which could adversely impact our financial performance.

9.1.9 We are exposed to risk of delays and financial costs if we are involved in payment disputes, legal and other proceedings arising from our operations

We may, from time to time, be involved in disputes with various parties such as suppliers, subcontractors and customers in the course of carrying out our business which may be due to amongst others, disputes on progress payments, variation orders, retention monies, defective workmanship, non-compliance with specifications or otherwise relating to our projects. Costs, time and management resources would have to be diverted towards defending such claims should they arise. Such disputes and claims may lead to legal, administrative and other proceedings against our Group, and unfavourable decrees issued against our Group may cause us to suffer additional costs, delays and/or financial losses.

For the Financial Years Under Review and up to the LPD, we were not involved in any payment disputes, legal proceedings or litigation cases. Nevertheless, there is no assurance that such incident will not occur in the future and that whenever payment disputes and claims arise, they will be settled on terms which are favourable to our Group; or if such payment disputes and claims result in litigation or arbitration, such judgment, order or award will not adversely affect our business operations, financial performance and reputation.

9. RISK FACTORS (*CONT'D*)

9.1.10 We may not be able to successfully implement our future plans and business strategies

We plan to expand our business through our future plans and business strategies as follows:

- Expansion of our business operations through the construction of our New Sendayan HQ;
- Expansion of our market presence in East Malaysia through the setting up of a new office and workshop in Sarawak ("**New Sarawak Office**"); and
- Purchase of machinery and equipment to support our capabilities for provision of mechanical engineering services.

Please refer to Section 7.7 of this Prospectus for further details of our business strategies and future plans.

The implementation of our business strategies and future plans is subject to expenditures including capital expenditures, operational expenditures and other working capital requirements, which will increase our Group's overall operational costs, including overhead costs. This may result in an adverse impact to our profitability if we are unable to gain sufficient revenue following the execution of our business strategies and future plans. Should these business strategies and future plans be delayed or exceed our allocated budget, this may adversely affect our Group's financial performance as well as our ability to pursue other growth opportunities due to the extended commitment period or strain on our time and financial resources.

Furthermore, the implementation of our business strategies and future plans may be impacted by factors beyond our control, such as industry demand for our services, which may affect the commercial viability of our business strategies and future plans. We may not be able to anticipate all the risks associated with our business strategies and future plans. Hence, there can be no assurance that the efforts and expenditure spent on the implementation of our business strategies and future plans will result in successful growth and expansion of our business. In the event of such failure, our business operations and financial performance may be adversely impacted.

9.1.11 We are exposed to the risk of workplace health and safety incidents due to high-risk operating environments

Our business operations are subject to governing laws and regulations relating to workplace health and safety requirements enacted or issued by government bodies, as well as requirements and standards imposed by our customers. The primary governing laws and regulations applicable to our workplace health and safety practices are such as the Occupational Safety and Health Act 1994 and Occupational Safety and Health (Amendment) Act 2022. Please refer to Section 7.20(iii) of this Prospectus for further details on the governing laws and regulations applicable to our workplace health and safety practices. Further, compliance with requirements and standards imposed by our customers is mandatory in order for our Group to undertake and complete projects within these industries.

Our core business which is the provision of mechanical engineering services is primarily provided to oil and gas refineries, petrochemical complexes, utility plants and manufacturing facilities. These industries are generally characterised as high-risk operating environments, which in turn impose stringent requirements with respect to workplace health and safety compliance. For example, we carry out fabrication works which involves cutting, bending and welding of pipe spools and pipe structure, as well as installation of pipe spools, pipe structures, mechanical units, related instruments and rotating equipment which are generally large and bulky. Any improper handling or non-compliance of safety precautions when carrying out the abovementioned activities may jeopardise the safety of our workers as it may cause serious injuries or even fatalities.

For the Financial Years Under Review and up to LPD, we have not encountered any incidents of work-related accidents that resulted in injury of our employees. Nevertheless, there can be no assurance that such incidents will not occur in the future. Should there be any occurrence of work-related accidents in the course of carrying out our services, our business operations

9. RISK FACTORS (CONT'D)

may be disrupted or suspended should the accident require further investigation or if we receive a prohibition notice from the Department of Occupational Safety and Health. Further, any failure to comply with the relevant health and safety requirements may result in penalties or the termination of contracts, which may in turn adversely affect our reputation and financial performance.

9.1.12 Our business operations are exposed to interruptions or delays caused by unexpected events such as equipment failures, fire and environmental factors such as natural disasters as well as outbreak of diseases

We rely on a various machinery and equipment to provide our services. These machinery and equipment may, on occasion, be out of service due to unanticipated failures or damages sustained during operations. Further, as a majority of our machinery and equipment are stored at our warehouses, and we also carry out fabrication works at fabrication sites or work areas within project sites designated by our customers, any unexpected events such as fire and floods, may cause damage or destruction to all or part of our warehouses as well as machinery and equipment. This would, in turn, affect our ability to deliver or cause delays to the delivery of our services. This may adversely impact our relationship with customers and reputation in the industry as well as our financial performance. In addition, any material damages to our machinery and equipment may result in our Group incurring significant costs for repair, refurbishment and/or replacement, which may adversely impact our financial performance.

In addition, as each project may involve various subcontractors carrying out different aspects of work, any unexpected accidents caused by other subcontractors may also impact the delivery of our services. For Financial Years Under Review and up to the LPD, we had encountered an incident at one of our project sites in which a mobile crane, operated by subcontractors not affiliated with our Group, collapsed and damaged a pipeline, resulting in a plant shutdown. This caused a temporary interruption to the delivery of our services for approximately 1 week. Although the incident did not have a material impact on our operations or financial performance, as we were able to reassign our resources to other tasks, there is no assurance that any future prolonged disruption to our service delivery would not materially and adversely affect our financial performance, given that we continue to incur fixed overhead costs.

Save as disclosed, we have not encountered any incidents of unanticipated machinery and equipment failures, material damages to our warehouses or accidents at project sites, which had led to unanticipated downtime or prolonged disruption to the delivery of our services. There can be no assurance that such incidents will not occur in the future and that our Group's financial performance will not be adversely affected should the interruptions occur for a prolonged period of time.

Further, any large-scale outbreak of infectious diseases (e.g. coronavirus disease 2019 ("COVID-19") pandemic) may result in the imposition of lockdown measures and accompanying standard operating procedures to curb the spread of the virus, leading to economic uncertainties, supply chain disruptions and/or temporary suspension of business activities. In the event that our business activities are affected by the outbreak of infectious diseases, our financial performance may be adversely affected.

9.1.13 We may be exposed to financial risks associated with interest rates

Our outstanding bank borrowings were recorded at RM15.38 million as at 31 March 2026, translating to a gearing ratio of 0.72 times. It comprises term loans, lease liabilities, bank overdrafts and invoice financing. As at 31 March 2026, our total bank borrowings of RM15.38 million comprise RM11.03 million which were based on floating interest rates and the remaining RM4.35 million were based on fixed rates.

In view that the interests charged on some of our bank borrowings are based on floating rates resulting in them being subject to prevailing interest rates, any significant increase in interest rates may significantly increase our interest expenses arising from these bank borrowings, which could in turn negatively affect our financial performance. During the Financial Years Under Review, we have not encountered any incident where there is a significant increase in

9. RISK FACTORS (CONT'D)

interest rates which had adversely impacted our financial performance. However, there can be no assurance that our financial performance would remain favourable in the event of any adverse change in interest rates in the future.

9.1.14 We are exposed to risk of negative publicity and claims against our Group arising from confusion or disputes relating to our brand, with other industry players in the mechanical engineering and civil engineering industry in Malaysia which also use the name "Pioneer"

Presently and in the past, we have substantially used "Pioneer Heat Treatment" and "Pioneer Heat Construction and Development" as the branding name of subsidiaries for the provision of specialised services and civil engineering projects respectively. Notwithstanding this, there are other industry players in the mechanical engineering and civil engineering industry in Malaysia which also use the name "Pioneer". As such, in the event that these other industry players experience cases of litigation and/or negative publicity against them due to alleged or confirmed cases of defective workmanship or non-compliance with specifications, amongst others, our existing or potential customers may mistakenly perceive us to be associated with these other industry players. This in turn may negatively affect our brand image and business performance. Further, there can be no assurance that other companies alleging to have rights in connection with the name "Pioneer" will not bring claims or other proceedings against us under current or future laws and regulations, where applicable. Any claims or proceedings brought against us, whether with or without merit, could be costly and time-consuming to defend, which may result in diversion of the attention of our management team and thereby adversely affect our operational and financial performance.

9.1.15 We are subject to the risk of inadequate insurance coverage to cover all losses or liabilities that may arise in connection with our operations

We maintain insurance to protect against various losses and liabilities arising from our business operations, such as group personal accident, group corporate personal accident, fire, all risk and electronic equipment insurance policies.

For the Financial Years Under Review and up to the LPD, we have not encountered any incidents whereby our insurance coverage was inadequate to cover damages, losses or liabilities which resulted in material adverse impact on our financial performance. However, there can be no assurance that our existing insurance policies will continue to adequately cover us from all losses or liabilities arising from any claims or losses in the future nor can we assure that any future incidents requiring insurance claims will be fully covered or reimbursed in a timely manner without affecting our financial performance. In the event that our insurance is not adequate to cover our losses and liabilities, it may result in incurring additional costs to our business that may adversely affect our operations and financial performance.

Moreover, we will be subject to the risk that, in the future, we may not be able to maintain or obtain insurance of the type and amount desired at reasonable rates. If we were to incur a significant liability for which we were not fully insured, it may result in incurrence of additional cost that may adversely affect our financial performance.

9.2 RISKS RELATING TO OUR INDUSTRY

9.2.1 The growth of our Group is dependent on the demand for mechanical engineering services from petrochemicals and oil and gas industries

All crude oil and natural gas reservoirs are non-renewable, as it is not possible to regenerate them within a reasonable timeframe once they have been extracted. As such, all crude oil and natural gas reservoirs will eventually be depleted. There can be no assurance that recoverable reserves will be discovered quickly enough to replace reserves that have been extracted, or that technological and other advances can materially increase the amount of crude oil and natural gas available for extraction from existing, new or inaccessible reserves. The depletion

9. RISK FACTORS (CONT'D)

of reservoirs is likely to have a negative impact on downstream petrochemical and oil and gas processing activities, which rely on crude oil and natural gas as raw materials. This will in turn affect the demand for mechanical engineering services for the construction, maintenance, turnaround, modification and refurbishment of oil and gas and petrochemical plants.

As we primarily provide mechanical engineering services and undertake civil engineering projects to serve customers in the Malaysian petrochemical and oil and gas industries, our business operations, financial performance and prospects would be adversely impacted if the crude oil and natural gas reservoirs in Malaysia were to be depleted and downstream petrochemical and oil and gas processing activities were to decline.

Further, crude oil and natural gas are internationally traded commodities whose prices are subject to fluctuation. Global economic conditions and outlook, geopolitical factors, unexpected supply disruptions, increase and reduction in demand, and other factors may influence the market price of these commodities. The level of activity in the petrochemical and oil and gas industries may be affected by the market price of crude oil and natural gas. Generally, sustained high market price of crude oil and natural gas tends to increase activity in the petrochemical and oil and gas industries, whereas sustained low market price tends to lead to decline in activity. Notwithstanding that, the level of activities may also be influenced by operational decisions made by petrochemical and oil and gas players.

In the event of any major and prolonged low market price of crude oil and natural gas, any resulting negative impact on the level of activity in the petrochemical and oil and gas industries may lead to decline in demand for mechanical engineering services for the construction, maintenance, turnaround, modification and refurbishment of petrochemical and oil and gas plants. Hence, any delay or termination of projects in which our Group is involved, arising from the abovementioned factors, may lead to deferred revenue recognition or loss of revenue. This may, in turn, adversely affect our Group's financial performance and prospects.

9.2.2 We are exposed to risk of labour shortages due to our reliance on the availability of labour, including skilled workers and contract employees for our provision of mechanical engineering services

We rely on the availability of labour, including skilled workers and contract employees, for our provision of mechanical engineering services. As at the LPD, our site administrative, operations and fabrication department comprises 343 employees, which constitutes 94.2% of our total workforce. Amongst our employees, 252 are skilled workers (i.e. 6 engineers, 44 certified welders, 149 skilled installers and 53 technicians). In particular, we rely on the technical knowledge and skills of our skilled workers such as engineers, certified welders, skilled installers and technicians to carry out our mechanical engineering services.

Further, we are also dependent on contract employees for our site administrative, operations and fabrication activities. As at the LPD, of the 343 employees in our site administrative, operations and fabrication department, contract employees account for 279 employees or 81.3% of the department. The contract duration for our contract employees ranges from 1 to 2 years.

Our ability to attract, retain and train competent labour, including skilled workers and contract employees, is crucial for our continued success, future business growth and expansion. Any shortage, loss and/or contract non-renewal of labour and skilled workers and our inability to find suitable replacements in a timely manner and at competitive salary rates may cause delays to the delivery of our mechanical engineering services, which may consequently affect our revenue recognition. Any delays to our delivery schedules may lead to dissatisfaction from our customers and may impact our ability to secure future business opportunities from these customers. Further, such delays may also adversely affect our Group's reputation within the industry and subsequently challenge our ability to secure new customers. Additionally, we may lose our competitive edge if we are unable to recruit sufficient labour, including skilled workers and contract employees to support our business growth and thus, causing us to forgo potential business opportunities, which may affect the prospects of our Group.

9. RISK FACTORS (CONT'D)

For the FYE 2025 and FYE 2026, our Group faced a shortage of in-house labour, comprising skilled workers and contract employees, as there was an increase in number and size of projects being implemented concurrently. As such, we utilised a higher number of subcontractors to complete our projects which resulted in a decrease in our GP margin. The use of subcontractors will generally yield a lower GP margin as compared to the use of in-house labour. Save for the above, for the Financial Years Under Review and up to the LPD, we have not encountered any difficulties in the recruitment of skilled workers and contract employees.

9.2.3 Our financial performance and business operations are exposed to risk of price volatility and availability of supplies used in the provision of our services

The supplies used in the provision of our mechanical engineering services include raw materials such as steel. For the Financial Years Under Review, our purchases of raw materials comprising steel accounted for 31.1%, 1.5%, 0.1% and 2.5% of our total purchases respectively. The procurement of steel is dependent on project requirements. For FYE 2024 to 2026, steel utilised for our projects was mainly supplied by our customers and as such, our steel purchase contribution was minimal.

We are exposed to price fluctuation of steel as steel is a global commodity. Fluctuation in prices is a result of global and regional market supply and demand conditions, global and regional economic conditions, as well as uncertainties arising from geopolitical conflicts, amongst others. If we were to undertake a project where the procurement of steel is undertaken by us, our financial performance may be adversely affected by price fluctuations of steel and vice versa. Any increase in the prices of steel could result in substantial increase in our costs. Should we fail to pass the increase in cost to our customers in a timely manner, our financial performance may be adversely impacted. However, if we were to undertake a project where steel is supplied by the customer (i.e. procurement of steel is not undertaken by us), the GP margin for the particular project will not be affected by the price fluctuation of steel.

Further, any shortages in our overall supplies may adversely impact our business operations. There can be no assurance that we will be able to procure the supplies from existing or new suppliers in a timely manner or at reasonably acceptable prices. In the event that we are required to pay higher prices to existing or new suppliers and that we are unable to pass on the increase in costs to our customers in a timely manner, our financial performance may be adversely affected.

For the Financial Years Under Review, we have not encountered any incident of a major fluctuation in the price of steel, or shortages of supplies, which had materially adversely impacted our financial performance and business operations respectively. Nevertheless, there is no assurance that such incident will not occur in the future and that our business operations or financial performance will not be adversely affected.

9.2.4 We are exposed to risk of disruptions to our business operations due to unfavourable or adverse changes in the economic, political, legal and regulatory environments of the market in which we serve

Our business, prospects, financial condition and results of operations may be affected by political, economic and regulatory developments that are beyond our control in Malaysia.

Any adverse developments in the political and economic environments in Malaysia could materially or adversely affect our business operations, financial performance and prospects. The adverse developments that may influence market confidence and spending include, but are not limited to, changes in political leadership, terrorism, riots, expropriation, nationalisation, unemployment trends, deterioration of international bilateral relationships, imposition of international trade sanctions, as well as changes in fiscal and monetary policies of the Government such as inflation, deflation, methods of taxation, tax policies (including sales and services tax, excise, duties and tariffs) and currency exchange controls. Further, increasing volatility in financial markets may cause these factors to change with greater degree of frequency and magnitude.

9. RISK FACTORS (CONT'D)

Our Group could also be affected by new laws, regulations and guidelines that are introduced to govern our business activities whether in general or specific to the mechanical and civil engineering industries, and these laws and regulations may be updated and amended from time to time, which are beyond our control.

While we have not encountered any disruptions to our business operations due to any unfavourable or adverse changes in one or more of the abovementioned developments and/or conditions up to LPD, there can be no assurance that any adverse developments in the future in relation to the political, economic or regulatory environment in Malaysia will not have a material adverse effect on our business operations and financial performance.

9.3 RISKS RELATING TO THE INVESTMENT IN OUR SHARES

9.3.1 There is no prior market for our Shares

There was no public trading market for our Shares prior to our IPO. Hence, there is no assurance that upon our Listing, an active market for our Shares will develop, or, if developed, that such a market can be sustained. Our IPO Price was determined after taking into consideration various factors including but not limited to our business strategies, future plans and our financial and operating history.

There can be no assurance that our IPO price will correspond to the price at which our Shares will be traded on the ACE Market, upon or subsequent to our Listing, and the market price of our Shares will not decline below the IPO Price.

9.3.2 There may be a potential delay to or cancellation of our Listing

Our Listing may be aborted or delayed due to possible occurrences of certain events, which include, among others, the following:

- (i) the selected investors fail to subscribe for the portions of our IPO Shares;
- (ii) our Underwriter exercises its rights under the Underwriting Agreement to discharge itself from its obligations therein;
- (iii) we are unable to meet the minimum public shareholding spread requirement under the Listing Requirements, whereby at least 25.0% of our total number of Shares for which our Listing is sought must be held by a minimum number of 200 public shareholders each holding not less than 100 Shares at the point of our Listing; and/or
- (iv) the revocation of the approvals from the relevant authorities for our Listing for whatever reason.

If any of these events occur, investors will not receive any Shares and we will return in full without interest, all monies paid in respect of the Application within 14 days, failing which the provisions of Section 243(2) of the CMSA shall apply. Our Company shall be liable to return such monies with interest at the rate of 10.0% per annum or at such other rate as may be specified by the SC upon expiration of that period until the full refund is made.

If our Listing is aborted and/or terminated, and our Shares have been allotted to the investors, a return of monies to the investors could only be achieved by way of cancellation of share capital as provided under Sections 116 or 117 of the Act and its related rules. Such cancellation requires the approval of shareholders by special resolution in a general meeting, with sanction of the High Court of Malaya or with notice to be sent to the Director General of the Inland Revenue Board and ROC within 7 days of the date of the special resolution, and us meeting the solvency requirements under Section 117(3) of the Act. There can be no assurance that such monies can be recovered within a short period of time in such circumstances.

Nonetheless, our Board will endeavor to comply with the various regulatory requirements, including, inter alia, public shareholding spread requirements for our Listing. However, there can be no assurance that the abovementioned factors/ events will not cause a delay in or non-implementation of our Listing.

9. RISK FACTORS (CONT'D)

9.3.3 The trading and performance of our Shares following our Listing is subject to fluctuations

Upon completion of our Listing, the trading price of our Shares could be subject to significant fluctuation due to factors specific to our Group or industry in which our Group is operating. Some factors may not be within our control and are unrelated or disproportionate to our financial results. These factors may include, among others, variations in the results of our operations, changes in analyst's recommendations or projections, changes in general market conditions and broad market fluctuations.

The performance of the stock market is also affected by the external factors such as the performance of the regional and world bourses, inflow or outflow of foreign funds, economic and political conditions of the country as well as the growth potential of the various sectors of the economy. These factors invariably contribute to the volatility of trading volumes witnessed on the stock market, thus adding risks to the market price of our Shares.

9.4 OTHER RISKS
9.4.1 Our Specified Shareholders will be able to exercise significant control over our Company

Upon Listing, our Specified Shareholders will collectively hold approximately 68.5% of our enlarged number of issued Shares. As a result, they will be able to effectively control the business direction and management of our Group and as such there can be no assurance that the interests of our Specified Shareholders will be aligned with those of our other shareholders. The interests of our Specified Shareholders may differ from the interests of our other shareholders and they may be able to exercise significant influence over the vote of our Shares. Our Specified Shareholders could also have significant influence in determining the outcome of any corporate transactions or other matters submitted to our shareholders for approval. This includes the election or removal of Directors, approval of business ventures and having substantial voting control over our Group. As such, our Specified Shareholders will have a deciding vote on the outcome of any ordinary resolution (which requires a simple majority of 50.0% plus 1 voting share) to be tabled at general meeting, unless they are required to abstain from voting by law, relevant guidelines or regulations.

9.4.2 Our post-Listing profitability for FYE 2027 may be affected by the one-off listing expenses for our IPO

As set out in Section 4.10 of this Prospectus, the estimated expenses for our Listing are approximately RM3.70 million. RM1.63 million in professional fees and expenses incurred up to FYE 2026 have been recognised as prepayments. Upon Listing, the portion of such professional fees and expenses that is not directly attributable to the issuance of our Shares will be recognised as expenses in our statement of profit or loss, while expenses that are directly attributable to the issuance of our Shares will be debited against share capital in accordance with the applicable accounting standards. The apportionment is disclosed in Notes 3.03 and 3.04 of Section 12.18 of this Prospectus.

Accordingly, our financial performance for FYE 2027 is expected to be affected by these one-off Listing expenses recognised in our statement of profit or loss pursuant to the IPO exercise. As these expenses are non-recurring in nature, they may affect the comparability of our financial performance for the financial year against prior and subsequent financial years.

Following our Listing, our ability to sustain or improve our profitability will continue to depend on various factors, many of which are beyond our control. These include, among others, the demand for our services, prevailing market conditions in the oil and gas as well as petrochemicals industries, economic conditions and competition. If we are unable to effectively manage these factors or maintain our revenue growth and operating margins, our financial performance, profitability and future prospects may be materially and adversely affected.

10. RELATED PARTY TRANSACTIONS

Pursuant to the Listing Requirements, a “**related party transaction**” is a transaction entered into by a listed corporation or its subsidiaries, which involves the interest, direct or indirect, of a related party. A “**related party**” is defined as:

- (i) a director, having the meaning given in Section 2(1) of the CMSA and includes any person who is or was within the preceding 6 months of the date on which the terms of the transaction were agreed upon, a director of the listed corporation, its subsidiary or holding company, or a chief executive of the listed corporation, its subsidiary or holding company;
- (ii) a major shareholder and includes any person who is or was within the preceding 6 months of the date on which the terms of the transaction were agreed upon, a major shareholder of the listed corporation or its subsidiaries or holding company and has or had an interest or interests in 1 or more voting shares in a corporation and the nominal amount of that share on the aggregate of the nominal amounts of those shares is:
 - (a) 10.0% or more of the total number of voting shares in the corporation; or
 - (b) 5.0% or more of the total number of voting shares in the corporation where such person is the largest shareholder of the corporation; or
- (iii) person connected with such director or major shareholder.

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10. RELATED PARTY TRANSACTIONS (CONT'D)

10.1 RELATED PARTY TRANSACTIONS

We have not entered into any related party transactions with our Directors, substantial shareholders, key senior management personnel and/or persons connected with them for the Financial Years Under Review and up to the LPD.

As at the LPD, there are no related party transactions entered into but not yet effected.

Moving forward, if there are potential related party transactions, the related parties must first inform our Audit and Risk Management Committee on their interests in the transaction and the nature of the transaction before the transaction is entered into.

Our Audit and Risk Management Committee is responsible for the review of all related party transactions to ensure that there is no conflict of interest. Our Audit and Risk Management Committee shall deliberate and determine if the related party transactions (if any) are undertaken on arm's length basis and on normal commercial terms, we have established the following procedures:

(i) Recurrent related party transactions

- (a) At least 2 other contemporaneous transactions with third parties for similar products and/or quantities will be used as comparison, wherever possible, to determine whether the price and terms offered by all related parties are fair and reasonable and comparable to those offered by third parties; or
- (b) In the event that quotation or comparative pricing from third parties cannot be obtained, the transaction price will be determined by our Group based on those offered by third parties for substantially similar type of transaction to ensure that the recurrent related party transactions are not detrimental to us.

Our Board shall seek mandate from shareholders to enter into any recurrent related party transactions at general meetings of our Company. Due to its time-sensitive nature, the shareholders' mandate will enable us to enter into such recurrent transactions which are transacted in our ordinary course of business without having to convene numerous general meetings to approve such recurrent transactions as and when they are entered into.

(ii) Other related party transactions

- (a) Whether the terms of the related party transaction are fair and on an arm's length basis to our Group and would apply on the same basis if the transaction did not involve a related party;
- (b) The rationale for our Group to enter into the related party transaction and the nature of alternative transactions, if any; and
- (c) Whether the related party transaction would present a conflict of interest between our Group and the related parties, taking into account the size of the transaction and nature of the related parties' interest in the transaction.

Where required under the Listing Requirements, a related party transaction may require prior approval of shareholders at a general meeting to be convened. An independent adviser may be appointed to comment as to whether the related party transaction is fair and reasonable so far as the shareholders are concerned; and whether the transaction is to the detriment of minority shareholders. In such instances, the independent adviser shall also advise minority shareholders on whether they should vote in favour of the transaction.

10. RELATED PARTY TRANSACTIONS (CONT'D)

For related party transaction that requires prior approval of shareholders, the Directors, major shareholders and/or persons connected to them, which have any interest, direct or indirect, in the proposed related party transaction will abstain from voting in respect of their direct and/or indirect shareholdings. Where a person connected with a Director or major shareholder has interest, direct or indirect, in any proposed related party transaction, the Director or major shareholder concerned will also abstain from voting in respect of his direct and/or indirect shareholdings.

In addition, to safeguard the interest of our Group and our minority shareholders, and to mitigate any potential conflict of interest situation, our Audit and Risk Management Committee will, amongst others, supervise and monitor any related party transaction and the terms thereof and report to our Board for further action. Where necessary, our Board would make appropriate disclosures in our annual report with regard to any related party transaction entered into by us.

10.2 OTHER TRANSACTIONS**(i) Transactions which are unusual in their nature or conditions**

There were no transactions that were unusual in their nature or conditions, involving goods, services, tangible or intangible assets, to which our Group was a party for the Financial Years Under Review and up to the LPD.

(ii) Loans and guarantees

Save as disclosed below, there were no outstanding loans and guarantees made to/by us to or for the benefit of any related party for the Financial Years Under Review and up to the LPD:

(a) Personal guarantees

As at the LPD, Wong Hing Chong, Wong Hing Kok, Wong Heng Chong, Ken, William, Goh Siew Lin, Wong Wei Yong (director in PHTSB and PTSB), Wong Wei Nanx (director in PTSB) and Tan Geok Chu (previous director in PHTSB) had extended personal guarantees for banking facilities extended to our Group.

In conjunction with the Listing, our Group has applied to the Financiers to obtain a release and/or discharge of the guarantees by substituting the same with a corporate guarantee from Pioneer and/or other securities from our Group acceptable to the Financiers. Our Group has obtained conditional consent from the following Financiers to discharge the said personal guarantees upon the completion of the Listing:

Financiers	Type of facilities	Facility limit (RM'000)	Outstanding balance as at the LPD (RM'000)	Guarantors
Pioneer				
Public Bank Berhad	Term Loan	1,530	1,479	Wong Hing Chong, Wong Hing Kok, Ken and William
Public Bank Berhad	Hire Purchase	146	63	Ken

10. RELATED PARTY TRANSACTIONS (CONT'D)

Financiers		Type of facilities	Facility limit (RM'000)	Outstanding balance as at the LPD (RM'000)	Guarantors
Orix Credit Malaysia Sdn Bhd		Hire Purchase	241	90	Wong Hing Chong and Ken
Orix Credit Malaysia Sdn Bhd		Hire Purchase	433	195	Wong Hing Chong and Ken
Orix Credit Malaysia Sdn Bhd		Hire Purchase	205	46	Wong Hing Chong and Ken
BESB					
United Bank Bhd	Overseas (Malaysia)	Term Loan	350	232	Goh Siew Lin, Wong Hing Chong, Wong Hing Kok, Wong Heng Chong, William and Ken
OCBC Bank Berhad	Al-Amin	Term Loan	450	226	Wong Hing Chong, Wong Hing Kok, Ken, William and Goh Siew Lin
CIMB Islamic Bank Berhad		Term Loan	500	440	Wong Hing Chong, Wong Hing Kok, Ken, William and Goh Siew Lin
Maybank Berhad	Islamic	Overdraft, Term Loan and Trade Facilities	2,000	1,973	Wong Hing Chong, Wong Hing Kok, Ken, William and Goh Siew Lin
United Bank Bhd	Overseas (Malaysia)	Overdraft, Trade Facilities and Guarantee Facilities	1,500	1,498	Wong Hing Chong, Wong Heng Chong and Ken
RHB Islamic Bank Berhad		Overdraft	1,000	697	Wong Hing Chong, Wong Hing Kok, Ken, William and Goh Siew Lin
Standard Chartered Saadiq Berhad		Term Loan	1,800	1,510	Wong Hing Chong, Wong Hing Kok, Ken and William
Maybank Bank Berhad	Islamic	Hire Purchase	1,000	368	Wong Hing Chong, Wong Hing Kok, Ken, William and Goh Siew Lin
Public Bank Berhad		Hire Purchase	121	75	Ken
Public Bank Berhad		Hire Purchase	46	34	William

10. RELATED PARTY TRANSACTIONS (CONT'D)

Financiers	Type of facilities	Facility limit (RM'000)	Outstanding balance as at the LPD (RM'000)	Guarantors
Hong Leong Bank Berhad	Hire Purchase	175	94	Goh Siew Lin
Public Bank Berhad	Hire Purchase	192	67	Ken
Public Bank Berhad	Hire Purchase	134	47	Ken
Public Bank Berhad	Hire Purchase	132	19	Ken
Ethoz Equip Capital Berhad	Hire Purchase	535	297	Wong Hing Chong, Wong Hing Kok, Ken, William and Goh Siew Lin
Public Bank Berhad	Hire Purchase	46	35	Goh Siew Lin
Public Bank Berhad	Hire Purchase	49	38	William
<u>PHCDSB</u>				
Maybank Islamic Bank Berhad	Term Loan and Trade Facilities	1,000	950	Ken and William
Maybank Islamic Bank Berhad	Hire Purchase	1,000	-	Ken and William
Public Bank Berhad	Hire Purchase	102	48	Ken
<u>PHTSB</u>				
Hong Leong Islamic Bank Berhad	Overdraft, Term Loan and Trade Facilities	9,480	7,931	Wong Hing Chong, Wong Hing Kok, Wong Heng Chong, Ken and William
Hong Leong Bank Berhad	Term Loan and Hire Purchase	714	161	Wong Hing Chong, Wong Hing Kok, Wong Heng Chong, Ken, William and Tan Geok Chu
Public Bank Berhad	Hire Purchase	46	37	William
Public Bank Berhad	Hire Purchase	134	83	Ken
Public Bank Berhad	Hire Purchase	112	32	Ken
Public Bank Berhad	Hire Purchase	142	98	Ken
Ethoz Equip Capital Berhad	Hire Purchase	83	51	Wong Hing Chong, Wong Hing Kok, Ken, William and Wong Wei Yong

10. RELATED PARTY TRANSACTIONS (CONT'D)

Financiers	Type of facilities	Facility limit (RM'000)	Outstanding balance as at the LPD (RM'000)	Guarantors
<u>PTSB</u>				
Bank Muamalat Malaysia Berhad	Term Loan	300	219	Ken, William, Goh Siew Lin, Wong Wei Yong and Wong Wei Nanx
Public Bank Berhad	Hire Purchase	122	76	Ken
Public Bank Berhad	Hire Purchase	120	70	Ken

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10. RELATED PARTY TRANSACTIONS (CONT'D)

(b) Amount due to/from Directors/directors of a subsidiary/shareholders

Save as disclosed below, there were no material amount due to/from Directors/directors of a subsidiary/shareholders for the Financial Years Under Review and up to the LPD.

(aa) Amount due to Directors/directors of a subsidiary/shareholders

The amount due to Directors/directors of a subsidiary/shareholders for the Financial Years Under Review and up to the LPD:

No.	Amount due to	Transacting company	Nature of relationship	Nature of transaction	FYE 2023		FYE 2024		FYE 2025		FYE 2026		As at the LPD	
					RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	%
Directors/ directors of a subsidiary														
1.	• Wong Hing Chong	Pioneer	Wong Hing Chong is our Promoter and substantial shareholder.	Advances from Wong Hing Chong to Pioneer	96	1.2	-	-	-	-	-	-	-	-
		BESB		Advances from Wong Hing Chong to BESB	65	0.8	-	-	-	-	-	-	-	-
2.	• Wong Hing Kok	Pioneer	Wong Hing Kok is our Promoter and substantial shareholder.	Advances from Wong Hing Kok to Pioneer	21	0.3	-	-	-	-	-	-	-	-
		PHTSB		Advances from Wong Hing Kok to PHTSB	-	-	-	-	100	0.8	-	-	-	-
3.	• Ken	BESB	Ken is our Chief Executive Officer / Executive Director and Promoter	Advances (from)/to BESB to Ken	-	-	30	0.3	30	0.2	-	-	-	-

10. RELATED PARTY TRANSACTIONS (CONT'D)

No.	Amount due to	Transacting company	Nature of relationship	Nature of transaction	FYE 2023		FYE 2024		FYE 2025		FYE 2026		As at the LPD	
					RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	%
		Continuity Engineering Pte Ltd (formerly known as Pioneer Heat Engineering Pte Ltd) ("Continuity Engineering")	substantial shareholder.	Advances from Ken to Continuity Engineering	10	0.1	11	0.1	-	-	-	-	-	-
		PHTSB	Continuity Engineering was a former subsidiary of Pioneer, disposed to a non-related party on 17 December 2024.	Advances from Ken to PHTSB	20	0.3	-	-	2	<0.1	-	-	-	-
		PTSB		Advances from Ken to PTSB	31	0.4	-	-	175	1.3	-	-	-	-
		Pioneer		Advances from Ken to Pioneer	-	-	-	-	58	0.4	-	-	-	-
		PHCDSB		Advances from Ken to PHCDSB	-	-	-	-	88	0.7	-	-	-	-
4.	•	William ⁽²⁾ PHTSB	William is our Executive Director Promoter and substantial shareholder.	Advances from William to PHTSB	40	0.5	-	-	-	-	-	-	-	-
		PTSB	Continuity Engineering was a former subsidiary of Pioneer, disposed to a non-related party on 17 December 2024.	Advances from William to PTSB	30	0.4	-	-	175	1.3	-	-	-	-
		BESB		Advances from William to BESB	-	-	50	0.5	130	1.0	-	-	-	-
		Pioneer		Advances from William to Pioneer	-	-	-	-	60	0.5	-	-	-	-

10. RELATED PARTY TRANSACTIONS (CONT'D)

No.	Amount due to	Transacting company	Nature of relationship	Nature of transaction	FYE 2023		FYE 2024		FYE 2025		FYE 2026		As at the LPD	
					RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	%
5.	• Wong Wei Yong	Pioneer	Wong Wei Yong is the director of PTSB, the wholly-owned subsidiary of Pioneer.	Advances from Wong Wei Yong to Pioneer	-	-	35	0.4	60	0.5	-	-	-	-
		BESB	BESB is a wholly-owned subsidiary of Pioneer.	Advances from Wong Wei Yong to BESB	-	-	40	0.4	98	0.7	-	-	-	-
6.	• Wong Wei Nanx	Pioneer	Wong Wei Nanx is the director of PTSB, the wholly-owned subsidiary of Pioneer.	Advances from Wong Wei Nanx to Pioneer	-	-	35	0.4	60	0.5	-	-	-	-
		BESB	BESB is a wholly-owned subsidiary of Pioneer.	Advances from Wong Wei Nanx to BESB	-	-	50	0.5	50	0.4	-	-	-	-
					313		251		1,086		-		-	

Shareholders

7.	• Goh Siew Lin	Pioneer	Goh Siew Lin is our Chief Operating Officer and shareholder of Pioneer.	Advances from Goh Siew Lin to Pioneer	109	1.4	-	-	-	-	-	-	-	-
		PHTSB		Advances from PHTSB to Goh Siew Lin	(65)	0.8	-	-	-	-	-	-	-	-
		BESB		Advances from Goh Siew Lin to BESB	-	-	-	-	112	0.9	-	-	-	-

10. RELATED PARTY TRANSACTIONS (CONT'D)

No.	Amount due to	Transacting company	Nature of relationship	Nature of transaction	FYE 2023		FYE 2024		FYE 2025		FYE 2026		As at the LPD	
					RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	%
8.	•	Wong Wei Heong	Wong Wei Heong is our Project Coordinator. Wong Wei Heong is the previous shareholder of PTSB (wholly-owned subsidiary of Pioneer), disposed his shareholdings to Pioneer on 14 August 2024.	Advances from Wong Wei Heong to PTSB	-	-	35	0.4	-	-	-	-	-	-
9.	•	Wong Wei Wang	Wong Wei Wang is our Project Supervisor in PTSB. Wong Wei Wang is the previous shareholder of PTSB (wholly-owned subsidiary of Pioneer), disposed his shareholdings to Pioneer on 14 August 2024.	Advances from Wong Wei Wang to PTSB	-	-	35	0.4	-	-	-	-	-	-
10.	•	Goh Chee Wong	Goh Chee Wong is the previous shareholder of PTSB (wholly-owned subsidiary of Pioneer), disposed his shareholdings to Pioneer on 14 August 2024.	Advances from Goh Chee Wong to PTSB	-	-	35	0.4	-	-	-	-	-	-
					44		105		112		-		-	

10. RELATED PARTY TRANSACTIONS (CONT'D)

Notes:

- (1) Calculated based on our Group's NA for each of the respective Financial Years Under Review.
- (2) Amount due to William by PHTSB of RM40,000 as at FYE 2023 (fully repaid in FYE 2024) carries an interest of 7.92% per annum. A total of RM4,000.00 in interests was paid to William in FYE 2024.

The amount due to William of RM40,000 as at FYE 2023 (fully repaid in FYE 2024) carried a reasonable interest rate that was at the market rate while the other advances due do not carry any interest. As such, save for the amount due to William of RM40,000.00, the other advances were not undertaken on an arm's length basis. All outstanding amounts due has been duly repaid as at the LPD.

All the amount due to Directors/directors of a subsidiary/shareholders were advances to the Group was classified as short term and was for working capital purposes. Moving forward, our Group will not enter into such transactions.

(bb) Amount due from a shareholder

The amount due from a shareholder for the Financial Years Under Review and up to the LPD:

Amount due from Shareholder	Transacting company	Nature of relationship	Nature of transaction	FYE 2023		FYE 2024		FYE 2025		FYE 2026		As at the LPD	
				RM'000	%	RM'000	(1)%	RM'000	%	RM'000	%	RM'000	%
• Goh Siew Lin	Pioneer	Goh Siew Lin is our Chief Operating Officer and shareholder of Pioneer.	Advances from Pioneer to Goh Siew Lin	-	-	1,029	10.4	-	-	-	-	-	-

Note:

- (1) Calculated based on our Group's NA for each of the respective Financial Years Under Review.

10. RELATED PARTY TRANSACTIONS (CONT'D)

The abovementioned amounts due were classified as short term and was for his personal use. It does not carry any interest and as such, are not undertaken on an arm's length basis. All outstanding amounts due has been duly repaid as at the LPD. Moving forward, our Group will not enter into such transactions.

(iii) Financial assistance provided for the benefit of a related party

There was no financial assistance provided by us for the benefit of any related party for the Financial Years Under Review and up to the LPD.

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10. RELATED PARTY TRANSACTIONS (CONT'D)

10.3 MONITORING AND OVERSIGHT OF RELATED PARTY TRANSACTIONS AND CONFLICT OF INTEREST

10.3.1 Audit and Risk Management Committee review

Our Audit and Risk Management Committee assesses the financial risk and matters relating to related party transactions and conflict of interest situations that may arise within our Group including any transactions, procedures or course of conduct that raises questions of management integrity. Our Audit and Risk Management Committee maintains and periodically reviews the adequacy of the procedures and processes set by our Company to monitor related party transactions and conflict of interest. It also sets the procedures and processes to ensure that transactions are carried out in the best interest of our Company on normal commercial terms that are industry norms and not more favourable to the related party than those generally available to third parties dealing at arm's length and are not to the detriment of the interest of our Company's minority shareholders. Amongst others, the related parties and parties who are in a position of conflict with the interest of our Group will be required to abstain from deliberations on the transactions.

All reviews by our Audit and Risk Management Committee are reported to our Board for its further action.

10.3.2 Our Group's policy on related party transactions and conflict of interest

It is the policy of our Group that all related party transactions and conflict of interest must be immediately and fully disclosed by our interested or conflicted Directors or substantial shareholders to the management for reporting to our Audit and Risk Management Committee. Any related party transactions must be reviewed by our Audit and Risk Management Committee to ensure that they are negotiated and agreed upon in the best interest of our Company on an arm's length basis, and are based on normal commercial terms not more favourable to the related party than those generally available to third parties, and are not to the detriment of the interest of our Company's minority shareholders. In respect of our Directors' interests in companies carrying on similar business, our Directors will also be required to abstain from deliberations and voting on resolutions pertaining to matters and/or transactions where a conflict of interest may arise.

In addition, in line with the Malaysian Code on Corporate Governance 2021 and the Corporate Governance Guide, our Directors are required to make an annual disclosure of any related party transactions and conflict of interest with our Group and our Audit and Risk Management Committee must carry out an annual assessment of our Directors which include an assessment of such related party transactions and/or conflict of interest. Our Audit and Risk Management Committee will in turn report to our Board after their evaluation and assessment and make the appropriate recommendations to our Board.

11. CONFLICT OF INTEREST

11.1 INTEREST IN SIMILAR BUSINESS OF OUR GROUP

As at the LPD, none of our Directors and/or substantial shareholders has any other interest, whether direct or indirect, in any businesses or corporations which are carrying on a similar trade as our Group or which are the customers or suppliers of our Group.

Moving forward, our Audit and Risk Management Committee will supervise any conflict of interest or potential conflict of interest situations and review our Group's current and future related party transactions and ensure that such transactions will be carried out on an arm's length basis and on commercial terms in the best interest of our Group. Our Group will also seek such relevant shareholders' approval where required. We will also make disclosures in our annual report of the aggregate value of any recurrent related party transactions to be entered into by us (where required) based on the nature of the transactions made, names of the related parties involved and their relationship with our Group. Please refer to Section 10.3 of this Prospectus for further details of our monitoring and oversight policy on conflicts of interest.

11.2 DECLARATIONS BY OUR ADVISERS

(i) Declaration by Malacca Securities

Malacca Securities has given its written confirmation that there is no existing or potential conflict of interest in its capacity as our Principal Adviser, Sponsor, Underwriter and Placement Agent for our Listing.

(ii) Declaration by Chan & Ong

Chan & Ong has given its written confirmation that there is no existing or potential conflict of interest in its capacity as the Solicitors to our Group in relation to our Listing.

(iii) Declaration by TGS TW PLT

TGS TW PLT has given its written confirmation that there is no existing or potential conflict of interest in its capacity as the Auditors and Reporting Accountants to our Group in relation to our Listing.

(iv) Declaration by SMITH ZANDER

SMITH ZANDER has given its written confirmation that there is no existing or potential conflict of interest in its capacity as the IMR to our Group in relation to our Listing.

(v) Declaration by AscendServ Capital Markets Services Sdn Bhd

AscendServ Capital Markets Services Sdn Bhd has given its written confirmation that there is no existing or potential conflict of interest in its capacity as the Share Registrar and Issuing House to our Group in relation to our Listing.